

EXTERNAL GUIDE

COMPREHENSIVE GUIDE TO THE ITR14

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1 INTRODUCTION

The Income Tax Return for Companies (ITR14) has been modernised and enhanced to increase the quality of the taxpayer experience for companies. The main purpose of this modernisation initiative was to include questions to be completed on the first page of the return that will customise the contents of the ITR14 for completion by the Company Representative/Public Officer.

Complex large companies will have to complete and submit a more comprehensive return and a simplistic small company will be required to complete a shortened and simplified return.

According to the first page of the new ITR14, SARS classifies a company as one of the following (Refer to the Company Classification in Section 3 below for the detailed definitions):

- Dormant - For the creation of the customised ITR14 return a dormant company is classified as a company that was not actively trading and / or did not receive any income or incur any expenses during the year of assessment (e.g. if the company partially traded during the year of assessment, the company will not be regarded as a dormant company).
- Companies that are not dormant will be classified as one of the following (definitions to follow in section 3):
 - Share Block Company/Body Corporate
 - Micro Business
 - Small Business
 - Medium to Large Business.

Note:

- Small Businesses and Medium to Large Businesses will be required to upload the signed off Annual Financial Statements (AFS) as part of the return submission. For all other companies it is optional.
- For mining companies, the submission of the mining schedule is also compulsory
- For short term insurers the submission of the short term insurance schedule is compulsory
- For Headquarter companies as defined in section 9I of the Income Tax Act No.58 of 1962 (Income Tax Act) the submission of the Schedule for Companies electing to be a Headquarter Company (RCH01) is compulsory
- For Controlled Foreign Companies, the submission of the Controlled Foreign Company (CFC) return IT10A (prior 2012) or IT10B (2012 onwards) must be completed.

Note: The ITR14 cannot be requested through the SARS Contact Centre since the ITR14 will not be emailed or posted to a taxpayer. The ITR14 can only be requested via eFiling if the company is a registered eFiler or at the nearest SARS branch if the company is not a registered eFiler. The Company Representative/Public Officer cannot submit the ITR14 which was requested at the branch and completed by hand (manually) or any relevant material via:

- Post
- Drop box at a SARS branch.

The following returns received via a postal submission or a SARS drop box, will be posted back to the company with a rejection letter indicating that SARS does not accept them anymore:

- Hand (manually) completed ITR14
- Old format IT14 returns.

This guide is designed to assist with the completion of the new ITR14 accurately and honestly.

For further information on the ITR14 visit www.sars.gov.za or call the SARS Contact Centre on 0800 00 7277 or visit your nearest SARS branch.

2 HOW TO INTERPRET THIS GUIDE

The next section of this guide will provide the classification used by SARS in order to customise the contents of the ITR14. The company must ensure that the correct classification is determined upfront, since the classification determines which section of this guide is applicable to the company.

The remainder of the guide addresses the following:

- How to request an ITR14
- How to submit an ITR14
- How to request a correction
- How to complete the ITR14.

3 DETERMINE COMPANY CLASSIFICATION

The ITR14 contains an “Information to create this income tax return” page which on completion by the taxpayer will generate the customised ITR14 according to the company type identified by SARS. These classifications have been formulated for SARS internal purposes and should not be applied elsewhere.

A company may for purposes of the ITR14 customisation, be classified as dormant, a share block company, a body corporate, a microbusiness, small business or as a medium to large business. These are discussed below.

- Dormant - For the creation of the customised ITR14 return a dormant company is classified as a company that was not actively trading and / or did not receive any income or incur any expenses during the year of assessment (e.g. if the company partially traded during the year of assessment, the company will not be regarded as a dormant company).
- Companies that are not dormant are classified as follows:
 - **Share Block Company** – as defined in s1 of the Share Blocks Control Act, 1980 (Act 59 of 1980).
 - **A Body Corporate** – as defined in s1 of the Sectional Titles Act, 1986 (Act 95 of 1986).
 - **Micro Business** - a company with a qualifying turnover (as defined in Paragraph 1 of the Sixth Schedule to the Income tax Act) not exceeding R1 million and the total assets (current and non-current) do not exceed R5 million, and that is not otherwise classified as a Body Corporate/Share Block Company for purposes of the ITR14 return.
 - **Small Business** - a company with a gross income (sales/turnover plus other income) not exceeding R20 million and total assets (current and non-current) not exceeding R10 million, that is not classified as a Body Corporate/Share Block Company or Micro Business.
 - **Medium to Large Business** - If a company is not classified as a body corporate/share block company, micro business or small business, it will be classified as a medium to large business (i.e. gross income (sales/turnover plus other income) exceeding R20 million and/or total assets exceeding R10 million).

4 REQUESTING THE ITR14 RETURN

The legal entity data of a company (incl. public officer particulars, company address/contact details and bank account details) must be verified and updated on a separate form before requesting an ITR14 on eFiling.

- To verify and update legal entity details, taxpayers can:
 - Click on “**Maintain SARS Registered Details**” on eFiling
 - Visit a SARS branch.
- For bank account and public officer updates, the required relevant material **must be** presented in the SARS branch.
- Please refer to the guide refer to “How to Complete the Registration Amendments and Verification form (RAV01) – External Guide” available on www.sars.gov.za

An ITR14 can only be requested via the following two channels:

- Companies that are registered eFilers can request the ITR14 online via eFiling.
- Companies that are not registered eFilers must visit the nearest SARS branch. The SARS agent will read each question on the first page of the ITR14 and request the Company Representative/Public Officer to provide an accurate response to each question. On response to each question, the agent will capture the response on the system. Once the answers to the questions on the first page under “Information to create this Income Tax Return” have been captured, the SARS agent will request additional information for completion and submit the return online at the branch
- SARS will no longer issue blank copies of the ITR14 return. An example of the ITR14 is available on the SARS website: www.sars.gov.za, designed to assist with the information required to complete the ITR14. Please note that the published ITR14 example must not be submitted to SARS.
- Companies who have not yet registered for eFiling are encouraged to do so as eFiling enables faster and more efficient submissions and payments.

5 SUBMITTING THE ITR14 RETURN

An ITR14 can be submitted via the following channels:

- Online via eFiling
- At the nearest SARS branch.

Note:

- The SARS agent in the branch will not assist with the interpretation of the financial statements and will only capture the information completed by the Company Representative/Public Officer. SARS recommends that you consult a tax practitioner of your choice should you require assistance with interpretation of the financial statements or unable to complete the ITR14 using the guide and the example of the ITR14 on the SARS website.
- If the financial information has not been prepared for capturing or the required relevant material, the SARS agent will not be able to finalise the capturing. In this instance, all captured information will be saved on the system, and the ITR14 will not be submitted. The Company Representative/Public Officer will have to re-visit the SARS branch with the outstanding information and/or relevant material within 21 calendar days in order to finalise the assessment.

As part of the Go-Green initiative to decrease the use of paper, agents at the SARS branch no longer print a copy of the ITR14 return for the taxpayer during submission. A copy of ITR14 will only be printed when the signature pad is not working and a manual signature of the captured data is required for back scanning. This is the only **exception**.

For Small Businesses and Medium to Large Businesses, the submission of **signed off** supporting AFS is compulsory. For all other companies, it is optional. The AFS must as a minimum contain the following:

- Income Statement
- Balance Sheet
- Notes to the AFS.

The AFS must be signed by the Company Representative or Public Officer. If the AFS of the Company is in draft format at the time of submission of the return, the onus will be on the signatory of the draft AFS (i.e. Company Representative/Public Officer) whether to submit the return or wait until the AFS are finalised.

Note: If SARS does not identify any risk on the return when submitted with draft AFS attached, the company can submit a correction and attach the final AFS without having to lodge an objection. If SARS identifies any risk on the return submitted AFS, the company has one opportunity to submit a correction with the final AFS attached. It is only where SARS identifies any risk on the final return (correction) and the subsequent Supplementary Declaration (IT14SD) that the company must follow the formal objection process should the company disagree with the final assessment.

The relevant material must be retained for a period of 5 years from the date of submission of the ITR14 to SARS and must be submitted on request by SARS. If a taxpayer is undergoing an audit, inspection, verification or criminal investigation or; the taxpayer has lodged an objection or appeal, the relevant records must be retained until such audit, investigation, objection or appeal is concluded or the assessment or decision becomes final.

The following schedules available on www.sars.gov.za must be completed and attached to the ITR14 as relevant material where applicable:

- A company that conducted short term insurance activities must complete the ICS01 Short term insurance schedule
- A company that conducted mining activities must complete the GEN-001 Mining schedule
- A company that elects to be a Headquarter Company must complete the RCH01 Schedule for companies electing to be a Headquarter Company
- A Controlled Foreign Company should complete the IT10A/B Controlled Foreign Company CFC return:
 - “IT10A – Controlled Foreign Company (CFC) – prior 2012” is applicable for years of assessment commencing prior to 1 April 2012.
 - “IT10B – Controlled Foreign Company (CFC) – 2012 onwards” is applicable for years of assessment commencing on or after 1 April 2012.
 - Where the number of Controlled Foreign Companies does not exceed 10, the company must submit IT10A/B forms as relevant material with the ITR14.
 - Where the number of Controlled Foreign Companies exceeds 10, the company will not be required to submit the IT10A/B forms together with the ITR14. The IT10A/B forms must be completed and retained for a period of five (5) years after the date of submission of the ITR14.
 - The information required on the IT10A/B forms can be submitted in a consolidated schedule provided that all the required data on the form template on the SARS website has been incorporated in the schedule.

The Company Representative/Public Officer's login will serve as authentication for the ITR14 submission on eFiling. However, if the ITR14 is requested at a SARS branch, the Company Representative/Public Officer's must sign the signature pad that will be presented by the SARS agent.

6 REQUEST FOR CORRECTION

The taxpayer will be able to perform a subsequent submission of an ITR14 (Request for Correction) via the following channels:

- If the company is a registered eFiler, online via eFiling
- If the company is not a registered eFiler, visit the nearest SARS branch.

On subsequent submission of the ITR14, the submission of the AFS is optional.

The Company Representative/Public Officer will only be able to capture or perform a Request for Correction (RFC) on the ITR14. The return will be pre-populated with the most recent ITR14 information submitted and a new version number will be allocated.

If a RFC is requested for a return submitted in the old format, eFiling will display a message when opening the old IT14 that the form will be converted to the new ITR14 for completion. This new version return will only be pre-populated with minimal data that could be transferred from the old format return. Therefore, the pre-populated data should be verified carefully and the missing information should be re-captured on the new return. Once a RFC has been submitted, no action can be taken on the previous version, as it will be replaced by the new version.

NOTE: A RFC will not be allowed by SARS under the following conditions:

- An active verification is in progress for the Company and one RFC has been allowed or the IT14SD has already been submitted by the Company
- An active audit or assurance case is in progress for the Company
- An agreed estimate was performed by SARS for the Company
- SARS has finalised an audit case or a Revised Declaration (RD) for the Company.

The Company should submit an objection if dissatisfied with the assessment.

7 COMPLETING THE ITR14 RETURN

In order to complete and submit the ITR14, determine which company type is applicable to the business. Refer to the Company Classification in Section 3 above for the relevant definitions.

After the company type has been established, the Company Representative/Public Officer must refer to the Annexure applicable to the company type for completion of the ITR14:

- **Dormant Company – Annexure A**
- **A Body Corporate, Share Block Company or Micro Business – Annexure B**
- **Small Business – Annexure C**
- **Medium to Large Business – Annexure D.**

The first page containing the “Information to create this income return” will be displayed and the following question is applicable to all company types:

7.1 REGISTERED DETAILS

Registered Details

Have the banking, public officer and contact details of the company been verified and confirmed as correct? (Refer to guide) Y ☐ N ☐

- **Have the banking, public officer and contact details of the company been verified and confirmed as correct?**
 - “Yes” or “No” must be selected.
 - If “Yes” is selected, the *Dormant; Capital Gain/Loss Transactions; Voluntary Disclosure Programme* sections in the “Information to create this income tax return” page will display additional questions for customisation of the ITR14.
 - If “No” is selected, the user will not be able to submit the return. Refer to Section 4 above for verification and updating of the legal entity information.
- Continue with the rest of the questions in the Annexure applicable to the specific company type.

The value in Rands representing the **total amount** realised from the “movement in assets, liabilities and / or reserves” must be inserted in the space provided:

Specify the movement in assets, liabilities and / or reserves?

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If the amount stated is above the 5 million thresholds, a balance sheet container for a dormant company will be displayed in which details of the “movement in assets, liabilities and / or reserves” must be completed before the return can be submitted.

8.1.2 CAPITAL GAIN / LOSS TRANSACTIONS

Capital Gain / Loss Transactions

Did the company have any local capital gain / loss transactions? Y ☐ N ☐

Did the company have any foreign capital gain / loss transactions? Y ☐ N ☐

- **Did the company have any local capital gain/loss transactions?**
Yes or **No** must be selected. If **Yes** is selected, the *Schedule of Local Capital Gains and Losses in respect of the disposal of assets* section in the income tax return will be displayed for completion.
- **Did the company have any foreign capital gain/loss transactions?**
Yes or **No** must be selected. If **Yes** is selected, *Schedule of Foreign Capital Gains and Losses in respect of the disposal of assets* section in the income tax return will be displayed for completion.

8.1.3 VOLUNTARY DISCLOSURE PROGRAMME

Voluntary Disclosure Programme

Does any declaration in this return relate to an application made under the SARS Voluntary Disclosure Programme? Y ☐ N ☐

- **Does any declaration in this return relate to an application made under the SARS Voluntary Disclosure Programme?**
Yes or **No** must be selected. If **Yes** is selected, *Voluntary Disclosure Programme* section in the income tax return will be displayed for completion.

8.2 COMPLETION OF RETURN

Once all the questions on the “Information to create this income tax return” page of the ITR14 have been completed, the return information must be completed as follows:

- If the taxpayer is an eFiler, the fields listed in this section must be captured electronically on eFiling
- If the taxpayer is not a registered eFiler and obtained an ITR14 example copy from the SARS website, the fields listed in this section must be completed on the example of the return and once all fields have been completed, the taxpayer must visit the nearest branch to have these fields captured by a SARS agent.

- If the taxpayer is a not a registered eFiler and is using this guide to prepare the information required for capturing at the nearest SARS branch without printing the ITR14 example from the SARS website, the fields as listed in this section must be used in preparation for capturing. Once all the fields have been prepared, the taxpayer must visit the nearest SARS branch with the prepared information to have these fields captured by a SARS agent.

8.2.1 COMPANY / CLOSE CORPORATION PARTICULARS AND TAX PRACTITIONER DETAILS

The screenshot shows the SARS ITR14 form for Companies. The form is divided into several sections:

- Company / Close Corporation Particulars:** Includes fields for Registered Name, Trading Name, Company / CC Reg No., Financial Year End (CCYYMMDD), and a section to indicate where the majority of the company's taxable income / loss is derived from (mark only one box). It also includes checkboxes for Eastern Cape, Free State, Gauteng, KwaZulu Natal, Limpopo, Mpumalanga, North West, Northern Cape, Western Cape, and International.
- Tax Practitioner Details (if applicable):** Includes fields for Registration No., Tel No., and Tax Practitioner Email address. There is a checkbox to mark here with an 'X' if you declare that you do not have an email address.
- Dormant Company Details:** Includes a section for what is the reason for dormancy? and checkboxes for Is the company acting as, or carrying on the activities of, a nominee? and Is the company a party to any contract in terms of which it has undertaken to conduct any activity or hold any assets on behalf of another person during the current or a future year of assessment?
- Voluntary Disclosure Programme:** Includes a section for VDP application no. issued by SARS.
- Declaration:** Includes a section for the taxpayer to declare that the information furnished is true and correct, and a section for the date (CCYYMMDD).

Note:

- The following read only fields will be pre-populated on the return:
 - Registered Name
 - Trading Name
 - Company/CC registration number
 - Financial year end (CCYYMMDD).
- Please complete the following fields:
 - **Is this return in respect of a branch/permanent establishment/agency of a foreign company?**
 - **Yes** or **No** must be selected. Please indicate where the majority of the company's taxable income/loss is derived from (mark only one box)
 - Select the relevant option from the following list:
 - Eastern Cape
 - Free State
 - Gauteng
 - KwaZulu Natal
 - Limpopo
 - Mpumalanga
 - North West
 - Northern Cape
 - Western Cape
 - International
 - **Source code of the main industry**
 - A pop-up list with all the Standard Industry Codes (SIC) will be displayed on eFiling and when the agent captures the information in the SARS branch. For

non-eFilers, the Company Representative/Public Officer completing the ITR14 manually, can access the Standard Industry Codes (SIC) booklet on www.statssa.gov.za

▫ **State the profit code of your main source of income**

A pop-up list with all the main source of income codes will be displayed on eFiling. If the company is dormant this field will be pre-populated with code 9994 and locked. For non eFilers that are not dormant, the Company Representative/Public Officer completing the ITR14 manually, can access the main industry source code booklet on www.sars.gov.za.

▫ **If the profit code is “other not specified”, please provide a description**

If the profit code of your main source of income ends with ‘98’, this is a mandatory free text field (maximum length 56 blocks).

8.2.2 TAX PRACTITIONER DETAILS (if applicable)

Tax Practitioner Details (if applicable)																																																			
Registration No.									Tel No.						Mark here with an 'X' if you declare that you do not have an email address.																																				
Tax Practitioner Email address																																																			

• **Registration No.**

Complete the tax practitioner’s registration number (alphanumeric field of 9 blocks)

• **Tel No.**

Complete the Telephone number (numeric field of 15 blocks)

• **Tax Practitioner Email address**

Complete the email address (free text field of 52 blocks)

• **Mark here with an “X” if you declare that you do not have an email address**

If you don’t have an email address, indicate this by selecting the field “Mark here with an ‘X’ if you declare that you do not have an email address”. The email address field will be locked and greyed out.

8.2.3 DECLARATION

Declaration		DECIF01
I declare that: - I am the duly appointed Public Officer / Representative of the company - The information furnished in this return is to the best of my knowledge both true and correct. - I have disclosed the gross amounts of all income received and / or accrued to this company during the period covered by this return - I have the necessary financial records and supporting schedules to support all declarations on this return which I will retain for audit purposes.		XXXXXXXXXXXXXXXXXXXXX XXXXXXXXXXXXXXXXXXXXX Please ensure you sign over the 2 lines of 'X's above
Date (CCYYMMDD)	For enquiries go to www.sars.gov.za or call 0800 00 SARS (7277)	

Note:

- Complete the date in the format (CCYYMMDD)
- The Company Representative/Public Officer’s login will serve as the authentication for the ITR14 submission on eFiling.
- The Public Officer/Representative must sign the signature pad when the ITR14 is submitted at a SARS branch.
- The ITR14 is a legal declaration to SARS and by signing you agree that the reconciled information is accurate.
- You are obliged to ensure that a full and accurate disclosure is made of all relevant information as required in the ITR14. Misrepresentation, neglect or omission to submit a declaration or supplying false information may result in prosecution.

8.2.4 DORMANT COMPANY DETAILS

Dormant Company Details																				DOCD01	
What is the reason for dormancy?																					
Is the company acting as, or carrying on the activities of, a nominee?																				Y ☐ N ☐	
Is the company a party to any contract in terms of which it has undertaken to conduct any activity or hold any assets on behalf of another person during the current or a future year of assessment?																				Y ☐ N ☐	

- **What is the reason for dormancy?**
Please complete the blocks provided with the reason for dormancy. (A pop-up will be displayed to select a reason).
- **Is the company acting as, or carrying on the activities of, a nominee?**
Select "Yes or No".
- **Is the company a party to any contract in terms of which it has undertaken to conduct any activity or hold any assets on behalf of another person during the current or a future year of assessment?**
Select "Yes or No".

8.2.5 VOLUNTARY DISCLOSURE PROGRAMME

This section will only display on the return if the question "Is this declaration or any part thereof made in respect of a VDP agreement with SARS?" in the "Information to create this income tax return" is "Yes"

Voluntary Disclosure Programme										VDPIF01	
If no VDP application was made, change your VDP answer to "No" on the first page of this return											
Please indicate the VDP application no. issued by SARS											

- **Please indicate the VDP application no. issued by SARS**
Complete the alphanumeric field of 10 blocks. The first three characters must start with "VDP". No spaces or dashes should be entered when completing the VDP Application No.

8.2.6 BALANCE SHEET

This section will only display on the return if the question "Specify the movements in assets, liabilities and/or reserves" in the "Information to create this return" exceeds R5 million.

Note:

- The figures to be used for completion are the figures reflected in the AFS of the Company (not the group or consolidated AFS).
- All fields listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.

Balance Sheet	Balance Sheet (Continued)	Balance Sheet (Continued)
Non-current Assets Property, plant and equipment R Investments in associates and joint ventures R Long term loans – interest bearing R Long term loans – interest free R Other non-current assets R Please provide descriptions relating to other non-current assets listed above Total non-current assets R Current Assets Inventory and work in progress (net after provisions) R Trade and other receivables (excl. debtors) – net after provisions R Debtors (excl. trade debtors) R	Current Assets (Continued) Cash and cash equivalents R Short-term investments R Other current assets R Please provide descriptions relating to other current assets listed above Total current assets R Capital and Reserves Non-distributable reserves R Other capital and reserves R Please provide descriptions relating to other capital and reserves listed above Total Capital and Reserves R	Non-Current Liabilities Long-term loans R Other non-current liabilities R Please provide descriptions relating to other non-current liabilities listed above Total Non-Current liabilities R Current Liabilities Trade and other payables (including accruals) R Overdraft and interest bearing short-term borrowings R Other current liabilities R Please provide descriptions relating to other current liabilities listed above Total Current liabilities R

Non-current assets

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Property, plant and equipment
 - Investments in associates and joint ventures
 - Long term loans – interest bearing
 - Long term loans – interest free
 - Other non-current assets
- Please provide descriptions relating to other non-current assets listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “Other non-current assets”. The maximum length is 3 rows of 17 blocks.
- Total non-current assets:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

Current Assets

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Inventory and work in progress (net after provisions)
 - Trade and other receivables (excl. debtors) – net after provisions
 - Debtors (excl. trade debtors)
 - Cash and cash equivalents
 - Short-term investments
 - Other current assets
- Please provide descriptions relating to other current assets listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “Other current assets”. The maximum length is 3 rows of 17 blocks
- Total current assets:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Capital and Reserves

- The following currency fields (15 blocks) must be completed in Rands (No Cents):

- Non-distributable reserves
 - Other capital and reserves
- **Please provide descriptions relating to other capital and reserves listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field *"Other capital and reserves"*. The maximum length is 3 rows of 17 blocks.
- If the company has a debit balance (assessed loss) then complete the "Non-distributable reserves" / "Other capital and reserves" field with a negative value (e.g. - 10000).
- If the company has a credit balance then complete the "Non-distributable reserves" / "Other capital and reserves" field then complete this field with a positive value (e.g. 100000).
- **Total Capital and Reserves:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

Non-Current Liabilities

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Long-term loans
 - Other non-current liabilities
- **Please provide descriptions relating to other non-current liabilities listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field *"Other non-current liabilities"*. The maximum length is 3 rows of 17 blocks).
- **Total Non-Current liabilities:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

Current Liabilities

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Trade and other payables (including accruals)
 - Overdraft and interest bearing short-term borrowings
 - Other current liabilities
- **Please provide descriptions relating to other current liabilities listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field *"Other current liabilities"*. The maximum length is 3 rows of 17 blocks.
- **Total Current liabilities:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

8.2.7 CAPITAL GAINS/LOSSES

Determining a capital gain or a capital loss

Use the financial information relating to any disposals or deemed disposals to complete this section. The Proceeds (selling price of the asset - Part VI of the Eighth Schedule) and the Base Cost (which includes the acquisition cost, improvement cost and direct cost in respect of

Since the return does not make provision for the separate disclosure of "Roll over base cost" and "Exclusions/Adjustments (excluding annual exclusion rate)", a manual calculation must be performed to calculate the correct capital gain or loss per main asset. The result of the manual calculation must be captured in the Capital Gain/Loss field against the applicable asset. Should there be more than one transaction for a specific asset type the amounts must be added together per asset type therefore the reason for the column "Number of Transactions".

- Refer to *Annexure E* for the main asset type source codes.
- The amount declared must be prior to the application of the inclusion rate as this will programmatically be applied by SARS during the assessment process.
- Even numbered codes refer to gains and uneven numbered codes refer to losses.

Schedule of Least Capital Gains and Losses in respect of the disposal of assets																		
Proceeds					Base Cost					Capital Gain / Loss					Number of transactions		Main Asset Use (see note 1)	
				15					15					15		4		
• Please refer to the guide with regards to the main asset type source code list. • Even numbered codes refer to gains and uneven numbered codes refer to losses. • Please note the inclusion rate will be applied by SARS.					Add: Adjustment for dragged losses included in amounts listed above to be carried forward (year: 38 of the Eighth Schedule) Less: Allowable deduction (i.e. prior year dragged losses carried forward on capital gain(s) to connected person(s) (year: 38 of the Eighth Schedule)													
Aggregate Gain															4250			
Aggregate Loss															4251			

Note: At least one row in this schedule must be completed. If one of the fields in a row is completed with a value, then all the fields in that specific row must be completed.

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Proceeds
 - Base Cost
 - Capital Gain/Loss
- **Number of Transactions:** Numeric field, complete the number of transactions.
- **Main Asset Type Source Code:** Refer to Annexure E - Local Assets to complete this numeric field. An even source code represents a capital gain and an uneven source code represents a capital loss.
- **Add: Adjustment for clogged losses included in amounts listed above to be carried forward (par. 39 of the Eighth Schedule):** This field is mandatory from 2014 onwards. For prior years it is optional. This currency field (15 blocks) must be completed with the relevant amount.
- **Less: Allowable deduction i.r.o prior year clogged losses carried forward on capital gain(s) to connected person(s) (par.39 of the Eighth Schedule):** This field is mandatory from 2014 onwards. For prior years it is optional. This currency field (15 blocks) must be completed with the relevant amount.

- **Aggregate Gain:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch by subtracting all capital losses (Capital gain/loss with uneven asset source code) from capital gains (Capital gain/loss with even asset source code). Either an aggregate gain or aggregate loss applies. If an aggregate gain applies, the aggregate loss field is not applicable. If the net figure is R0 (zero), then this value applies to the aggregate gain field.
- **Aggregate Loss:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch by subtracting all capital losses (Capital gain/loss with uneven asset source code) from capital gains (Capital gain/loss with even asset source code). Either an aggregate gain or aggregate loss applies. If an aggregate loss applies, the aggregate gain field is not applicable.
- **Foreign tax credit in respect of Capital Gains (Rand value only):** This currency field (15 blocks) must **only be completed** if a value exceeding R0 (zero) was calculated in the field Aggregate Gain or Aggregate Loss.

9 ANNEXURE B – BODY CORPORATE / SHARE BLOCK COMPANY / MICRO BUSINESS

Share Block Company – A Share Block Company is defined in s1 of the Share Blocks Control Act, 1980 (Act 59 of 1980).

A Body Corporate – A Body Corporate is defined in s1 of the Sectional Titles Act, 1986 (Act 95 of 1986).

Micro Business - A Micro Business is classified as a company with a gross income (sales/turnover plus other income) not exceeding R1 million and total assets (current and non-current) not exceeding R5 million, and that is not classified as a Body Corporate/Share Block Company.

Note:

- Any qualifying micro businesses can elect to be registered for Turnover Tax. By answering the Quick test for close corporations, companies and co-operatives questions on www.sars.gov.za, the Company Representative/Public Officer will be able to determine if a business meets the criteria to qualify for Turnover Tax registration. If any one of the questions is “NO”, the business will not qualify for Turnover Tax registration for that year of assessment.
- If the micro business elects to be registered for Turnover Tax, an ITR14 for a micro business must not be completed but a TT03 instead.
- Any micro business can also qualify as a Small Business corporation if the requirements of s12E are met, and the micro business is not registered for Turnover Tax.

9.1 INFORMATION TO CREATE THIS INCOME TAX RETURN

All questions on this page must be completed. Depending on the answer provided to each question, subsequent questions might display on this page. Please ensure that all questions on this page are completed before commencing with completion of the return.

Note: If any of the questions on this page are changed after the commencement of the completion of the return (refer to section “Completion of return”), it may result in the following:

- Existing sections on the return may be removed/deleted. The form will display a warning message to alert the taxpayer of any potential loss of data captured.
- Additional sections may be displayed on the return for completion.

Companies that are not registered eFilers and have online access to this guide in preparation of completing the ITR14; may print an ITR14 example copy available on SARS website prior to visiting the nearest branch to; prepare the necessary information and relevant material specified in this guide.

Each question in the ITR14 must be carefully reviewed to ensure that all the relevant information is ready for capturing of the ITR14 by a SARS agent at the nearest SARS branch and submitting the necessary relevant material specified in this guide in order to finalise the assessment.

9.1.1 DORMANT

Dormant

Is the company dormant?

Y ☐ N ☐

- **Is the company dormant?**

Yes or **No** must be selected. If **Yes** is selected, the company will be classified as a dormant company and Annexure B will not be applicable to the company. The Company Representative/Public Officer must refer to Annexure A if the company is dormant. If **No** is selected, the *Company Type and Tax Credits* sections on the "Information to create this income tax return" page will display additional questions for customisation of the income tax return.

9.1.2 COMPANY TYPE

Company Type

Is the company a body corporate / share block company as defined in s10(1)(e)? Y ☐ N ☐

Specify the gross income (sales / turnover plus other income) in respect of the year of assessment?

R

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Specify the total assets (current and non-current) of the company in respect of the year of assessment?

R

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- **Is the company a body corporate / share block company as referred to in s10(1)(e)?**

Yes or **No** must be selected. If **Yes** is selected, the content of the income tax return will also be expanded to display the following sections for completion:

- Balance Sheet
- Income Statement
- Tax Computation.

If **No** is selected, the next question will be displayed.

- **Specify the gross income (sales/turnover plus other income) in respect of the year of assessment?**

Complete the gross income in Rands. The gross income referred to in this question must be calculated as the sum of "Sales/Turnover" declared under "Gross Profit/Loss" and all income items declared under "Income Items" in the Income Statement.

- **Specify the total assets (current and non-current) of the company in respect of the year of assessment?**

If the gross income specified in the previous question does not exceed R1 million and the total assets does not exceed R5 million, the company will be classified as a Micro business.

- The Small Business Corporation and Company Information section on the "Information to create this income tax return" page will display additional questions for customisation of the income tax return.
- The content of the income tax return will also be expanded to display the following sections for completion:
 - Balance sheet
 - Income Statement
 - Tax Computation.

If the gross income in the previous question is in excess of R1 million and the total assets are in excess of R5 million, then the company will **not be** classified as a Micro business. Refer to **section 3** to determine the applicable company type and related section of the guide that is applicable to the company.

9.1.3 CAPITAL GAIN / LOSS TRANSACTIONS

Capital Gain / Loss Transactions

Did the company have any local capital gain / loss transactions? Y ☐ N ☐

Did the company have any foreign capital gain / loss transactions? Y ☐ N ☐

- **Did the company have any local capital gain/loss transactions?**
Yes or **No** must be selected. If **Yes** is selected, the *Schedule of Local Capital Gains and Losses in respect of the disposal of assets* section in the income tax return will be displayed for completion.
- **Did the company have any foreign capital gain/loss transactions?**
Yes or **No** must be selected. If **Yes** is selected, the *Schedule of Foreign Capital Gains and Losses in respect of the disposal of assets* section in the income tax return will be displayed for completion.

9.1.4 VOLUNTARY DISCLOSURE PROGRAMME

Voluntary Disclosure Programme

VDPIF01 ☐

If no VDP application was made, change your VDP answer to "No" on the first page of this return

Please indicate the VDP application no. issued by SARS

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- **Does any declaration in this return relate to an application made under the SARS Voluntary Disclosure Programme?**
Yes or **No** must be selected. If **Yes** is selected, the *Voluntary Disclosure Programme* section in the income tax return will be displayed for completion.

9.1.5 SMALL BUSINESS CORPORATION

Note: This question will only display for a Micro Business, NOT if the company is classified as a body corporate/share block company.

Small Business Corporation

Is the company a Small Business Corporation as defined in s12E? Y ☐ N ☐

- **Is the company a Small Business Corporation as referred to in s12E?**
Yes or **No** must be selected. If **Yes** is selected, the *Small Business Corporation* section in the income tax return will be displayed for completion.

9.1.6 TAX CREDITS

Tax Credits

Will the company be claiming any PAYE credits reflected on an IRP5 tax certificate? Y ☐ N ☐

Specify the number of IRP5 tax certificates

Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quat? Y ☐ N ☐

Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quin? Y ☐ N ☐

Were any foreign tax credits refunded / discharged during the year of assessment for which a rebate was allowed during a previous year of assessment in terms of s6quin? Y ☐ N ☐

- **Will the company be claiming any PAYE credits reflected on an IRP5 tax certificate?**
Yes" or "No" must be selected. If "Yes" is selected, complete the next question.
- **Specify the number of IRP5 tax certificates**
This field accepts numeric values between 1 and 20. Based on the numeric value entered in this field, the *PAYE Credits Available* section in the income tax return will repeatedly be displayed for completion (e.g. if the numeric value 5 was entered then 5 *PAYE Credits Available* sections will display in the return for completion).
- **Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quat?**
Yes" or "No" must be selected. If "Yes" is selected, the *Foreign Tax credits: Taxable Foreign Sourced Income of Resident Companies – s6quat (excluding foreign capital gain/loss)* section in the income tax return will be displayed for completion.
- **Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quin?**
"Yes" or "No" must be selected. If "Yes" is selected, the *Foreign Tax credits: Taxable South African Sourced Income – s6quin (already included in taxable income)* section in the income tax return will be displayed for completion.
- **Were any foreign tax credits refunded / discharged during the year of assessment for which a rebate was allowed during a previous year of assessment in terms of s6quin?**
"Yes" or "No" must be selected. If "Yes" is selected, the *Foreign Tax Credits Refunded / Discharged by the government of a foreign county in respect of rebate allowed by SARS in previous year – s6quin* will be displayed for completion.

9.1.7 COMPANY INFORMATION

Note: This question will only display for a Micro Business, NOT if the company is classified as a body corporate/share block company.

Company Information

Is the company a partner in a partnership?

Y ☐ N ☐

How many partnerships?

Is the company a Personal Service Provider as defined in the Fourth Schedule?

Y ☐ N ☐

- **Is the company a partner in a partnership?**
Yes” or “No” must be selected. If “Yes” is selected, complete the next question.
- **How many partnerships?**
This field accepts numeric values between 1 and 99. Based on the numeric value entered in this field, the *Partnerships* section in the income tax return will repeatedly be displayed for completion (e.g. if the numeric value 50 was entered then 50 Partnership sections will display in the return for completion).
- **Is the company a Personal Service Provider as defined in the Fourth Schedule?**
Yes” or “No” must be selected. If “Yes” is selected, the *Personal Service Provider* section in the income tax return will be displayed for completion.

9.2 COMPLETION OF RETURN

Once all the questions on the “Information to create this income tax return” page of the ITR14 have been completed, the return information must be completed as follows:

- If the taxpayer is an eFiler, the fields listed in this section must be captured electronically on eFiling
- If the representative taxpayer/tax practitioner of the company is not a registered eFiler and obtained an ITR14 example copy from the SARS website, the fields listed in this section must be completed on the example copy of the return and once all fields have been completed, visit the nearest branch to have these fields captured by a SARS agent;
- If the representative taxpayer/tax practitioner of the company is not a registered eFiler and is using this guide to prepare the information required for capturing at the nearest SARS branch without printing an example copy of the ITR14, the fields as listed in this section must be used in preparation for capturing. Once all the fields have been prepared, the taxpayer must visit the nearest branch with all the prepared information to have these fields captured by a SARS agent.

9.2.1 COMPANY / CLOSE CORPORATION PARTICULARS AND TAX PRACTITIONER DETAILS

SARS Income Tax Return for Companies (Income Tax Act, No. 58 of 1962, as amended) Taxpayer Reference Number: [] Year of Assessment: [] **ITR14**

Company / Close Corporation Particulars PRSIF01

Registered Name: []
 Trading Name: []
 Company / CC Reg No.: [] Financial Year End (CCYYMMDD): [] Is this return in respect of a branch / permanent establishment / agency of a foreign company? Y ☐ N ☐
 Please indicate where the majority of the company's taxable income / loss is derived from (mark only one box)
 Eastern Cape ☐ Free State ☐ Gauteng ☐ KwaZulu Natal ☐ Limpopo ☐ Mpumalanga ☐ North West ☐ Northern Cape ☐ Western Cape ☐ International ☐
 Source code of the main industry: [] State the profit code of your main source of income: []
 If the profit code is "other not specified", please provide a description: []

Tax Practitioner Details (if applicable)

Registration No.: [] Tel No.: [] Mark here with an 'X' if you declare that you do not have an email address. ☐
 Tax Practitioner Email address: []

Dormant Company Details DOCD01

What is the reason for dormancy? []
 Is the company acting as, or carrying on the activities of, a nominee? Y ☐ N ☐ Is the company a party to any contract in terms of which it has undertaken to conduct any activity or hold any assets on behalf of another person during the current or a future year of assessment? Y ☐ N ☐

Voluntary Disclosure Programme VDPIF01

If no VDP application was made, change your VDP answer to "No" on the first page of this return.
 Please indicate the VDP application no. issued by SARS: []

Declaration DECIF01

I declare that:
 • I am the duly appointed Public Officer / Representative of the company
 • The information furnished in this return is to the best of my knowledge both true and correct.
 • I have disclosed the gross amounts of all income received and / or accrued to this company during the period covered by this return.
 • I have the necessary financial records and supporting schedules to support all declarations on this return which I will retain for audit purposes.
 Date (CCYYMMDD): [] For enquiries go to www.sars.gov.za or call 0800 30 SARS (7277)
 Please ensure you sign over the 2 lines of PIN above: []

Note:

- The following read only fields will be pre-populated on the return:
 - Registered Name
 - Trading Name
 - Company/CC registration number
 - Financial year end (CCYYMMDD).
- Please complete the following fields:
 - **Is this return in respect of a branch/permanent establishment/agency of a foreign company?**
Select "Yes" or "No"
 - **Please indicate where the majority of the company's taxable income/loss is derived from (mark only one box)**
Select the relevant option from the following list:
 - Eastern Cape
 - Free State
 - Gauteng
 - KwaZulu Natal
 - Limpopo
 - Mpumalanga
 - North West
 - Northern Cape
 - Western Cape
 - International
 - **Source code of the main industry**
A pop-up list with all the Standard Industry Codes (SIC) will be displayed on eFiling and when the agent captures the information in the SARS branch. For non-eFilers, the Company Representative/Public Officer completing the ITR14 manually, can access the Standard Industry Codes (SIC) booklet on www.statssa.gov.za.
 - **State the profit code of your main source of income**

A pop-up list with all the main source of income codes will be displayed on eFiling. If the company is dormant this field will be pre-populated with code 9994 and locked. For non eFilers that are not dormant, the Company Representative/Public Officer completing the ITR14 manually, can access the main industry source code booklet on www.sars.gov.za.

- **If the profit code is “other not specified”, please provide a description**
If the profit code of your main source of income ends with ‘98’, this is a mandatory free text field (maximum length 56 blocks).

9.2.2 TAX PRACTITIONER DETAILS (if applicable)

Tax Practitioner Details (if applicable)																																																																																																			
Registration No.										Tel No.																Mark here with an 'X' if you declare that you do not have an email address.																																																																						☐			
Tax Practitioner Email address																																																																																																			

- **Registration No.**
Complete the tax practitioner’s registration number (alphanumeric field of 9 blocks).
- **Tel No.**
Complete the Telephone number (numeric field of 15 blocks)
- **Tax Practitioner Email address**
Complete the email address (free text field of 52 blocks)
- **Mark here with an “X” if you declare that you do not have an email address**
If you don’t have an email address, indicate this by selecting the field “*Mark here with an ‘X’ if you declare that you do not have an email address*”. The email address field will be locked and greyed out.

9.2.3 DECLARATION

Declaration		DECIF01
I declare that: • I am the duly appointed Public Officer / Representative of the company • The information furnished in this return is to the best of my knowledge both true and correct • I have disclosed the gross amounts of all income received and / or accrued to this company during the period covered by this return • I have the necessary financial records and supporting schedules to support all declarations on this return which I will retain for audit purposes.		XXXXXXXXXXXXXXXXXXXXX XXXXXXXXXXXXXXXXXXXXX Please ensure you sign over the 2 lines of 'X's above
Date (CCYYMMDD)	For enquiries go to www.sars.gov.za or call 0800 00 SARS (7277)	

Note:

- Complete the date in the format (CCYYMMDD).
- The Company Representative/Public Officer’s login will serve as the authentication for the ITR14 submission on eFiling.
- The Public Officer/Representative must sign the signature pad when the ITR14 is submitted at a SARS branch.
- The ITR14 is a legal declaration to SARS and by signing you agree that the reconciled information is accurate.
- You are obliged to ensure that a full and accurate disclosure is made of all relevant information as required in the ITR14. Misrepresentation, neglect or omission to submit a declaration or supplying false information may result in prosecution.

9.2.4 VOLUNTARY DISCLOSURE PROGRAMME

This section will only display on the return if the question “Is this declaration or any part thereof made in respect of a VDP agreement with SARS?” in the “Information to create this income tax return” is “Yes”.

Voluntary Disclosure Programme

VDPIF01

If no VDP application was made, change your VDP answer to “No” on the first page of this return

Please indicate the VDP application no. issued by SARS

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- **Please indicate the VDP application no. issued by SARS**
Complete the alphanumeric field of 10 blocks. The first three characters must start with “VDP”. No spaces or dashes should be entered when completing the VDP Application Number.

9.2.5 PERSONAL SERVICE PROVIDER

This section of the return will only display if the question “Is the company a Personal Service Provider as defined in the Fourth Schedule?” in the “Information to create this income tax return” is “Yes”

Personal Service Provider

PESPA01

Was any service rendered on behalf of the company rendered by a connected person in relation to the company?

Y ☐ N ☐

How many full-time employees are on a full-time basis engaged in rendering any service of the company, excluding those who are shareholders or members or are connected to such shareholder or member?

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Would the person who is personally rendering the service have been regarded as an employee of the client if the service was rendered directly to the client and not through the company?

Y ☐ N ☐

Must the person who is rendering the service, perform the duties mainly at the premises of the client, and if so, is that person subject to the control or supervision of the client as to the manner in which the duties are performed or are to be performed?

Y ☐ N ☐

Does more than 80% of the income from services rendered by the company consist of or is likely to consist of amounts directly or indirectly received from any one client, or from any associated institution in relation to the client?

Y ☐ N ☐

Were the necessary adjustments made in respect of expenses not allowable in terms of s23(k)?

Y ☐ N ☐

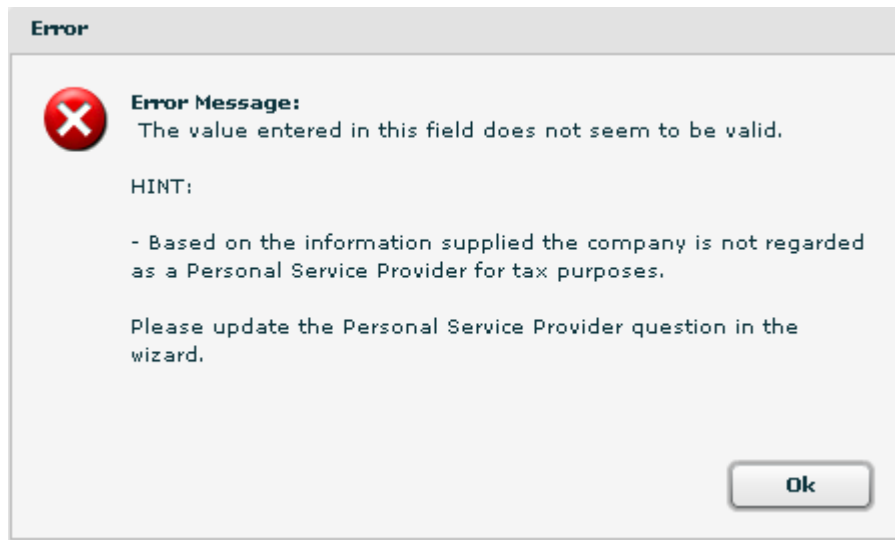
Note:

- A Personal Service Provider is any company or trust where services are rendered on behalf of such company or trust to a client of a company or trust is rendered personally by any connected person (usually the shareholder, a relative of the shareholder or beneficiary in the case of a trust) as defined in s1 of the Income Tax Act in relation to such company and:
 - The person rendering the service would be regarded as an employee of the client, had such service been performed directly to the client; or
 - The person or company or trust rendering the service is subject to the control and supervision of the client as to the manner in which the duties are performed in rendering such service and must be mainly performed at the premises of the client; or

- More than 80% of the income of the company or trust is directly or indirectly derived during the tax year from one client of the company or trust or any associated institution as defined in the Seventh Schedule of the Income Tax Act;
 - If the company or trust throughout the year of assessment employs three or more full-time employees who are on a full-time basis engaged in the business of such company of rendering any such service, other than any employee who is a shareholder or member of the company or is a connected person in relation to such person will not be regarded as a personal service provider.
- S23(k) is applicable to a Personal Service Provider and prohibits a deduction of the following expenses incurred:
 - Legal expenses
 - Bad debts
 - Employers contribution to pension funds, provident funds or benefit funds
 - Refunds of any amount, including voluntary awards, that are received or accrued for services rendered or to be rendered or any amount received or accrued for or by virtue of any employment or the holding of any office as was included in the taxable income of that person
 - Refunds of restraint of trade payments
 - Expenses in respect of premises
 - Expenses for premises, finance charges, insurance, repairs and fuel and maintenance cost for assets where the premises or assets are used wholly or exclusively for the purposes of trade.
- **Was any service rendered on behalf of the company rendered by a connected person in relation to the company?**
Yes or **No** must be selected. If **No** is selected, the company will not be regarded as a Personal Service Provider and the error message below will be displayed. If **Yes** is selected, complete the next question.
- **How many full-time employees are on a full-time basis engaged in rendering any service of the company, excluding those who are shareholders or members or are connected to such shareholder or member?**
 If this value exceeds two, the company will not be regarded as a Personal Service Provider and the error message below will be displayed. If this value is not in excess of two, complete the next question.

Note: All the questions below must be completed with a **Yes** or **No**. If any of the following three questions is **No**, the company will not be regarded as a Personal Service Provider and the error message below will be displayed:

- **Would the person who is personally rendering the service have been regarded as an employee of the client if the service was rendered directly to the client and not through the company? Must the person who is rendering the service, perform the duties mainly at premises of the client, and if so, is that person subject to the control or supervision of the client as to the manner in which the duties are performed or are to be performed?**
- **Does more than 80% of the income from services rendered by the company consist of or is likely to consist of amounts directly or indirectly received from any one client or from any associated institution in relation to the client”?**



- **Were the necessary adjustments made in respect of expenses not allowable in terms of s23(k)?**
"Yes" or "No" must be selected.

9.2.6 SMALL BUSINESS CORPORATION

This section of the return will only display if the question "Is the company a Small Business Corporation as referred to in s12E?" in the "Information to create this income tax return" is "Yes"

Small Business Corporation												SMCPA01
State the gross income, as defined in s1 of the Income Tax Act, of the company												
R												
Does the company declare that not more than 20% of the total of all receipts and accruals (other than of a capital nature) and all capital gains of the company consists collectively of investment income and income from rendering a personal service?												Y ☐ N ☐
Does the company declare that the company is not a Personal Service Provider as defined in the Fourth Schedule?												Y ☐ N ☐
Does the company declare that all of the shareholders / members were natural persons (individuals) throughout the year of assessment?												Y ☐ N ☐
Does the company declare that none of the shareholders / members of the company held shares / interests in another close corporation, company or co-operative other than those specified in s12E(4)(a)(ii)?												Y ☐ N ☐

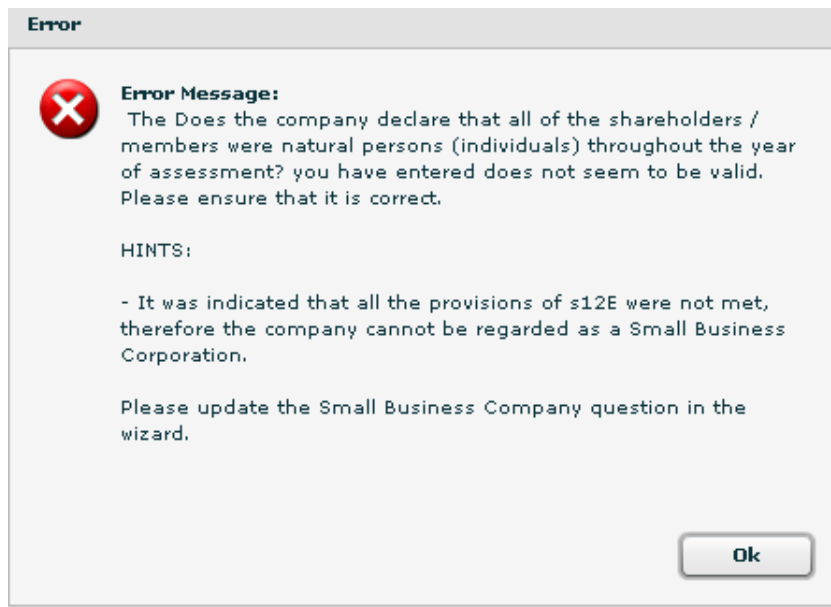
Note:

- Section 12E(4)(a) makes a provision requires that a company will be a Small Business Corporation if:
 - The taxpayer is incorporated within South Africa and is trading as either a close corporation, co-operative or private company
 - All the holders of the shares in the company, close corporation or co-operative are, at all times, must be natural persons
 - The gross income of the company, close corporation or co-operative does not exceed R20 million during the year of assessment;
 - The personal service income and investment income, collectively, does not exceed 20% of the total receipts and accruals (excluding capital receipts but including capital gains; and

- The company is not a personal service provider.
- **State the gross income, as defined in s1 of the Income Tax Act, of the company**
 - Complete the gross amount
 - For Financial Year End prior to 20130430, the gross income should not be in excess of R14 million - if it is in excess of R14 million the business will not qualify as a Small Business Corporation
 - For Financial Year End on or after 20130430, the gross income should not be in excess of R20 million - if it is in excess of R20 million the business will not qualify as a Small Business Corporation.

All the questions below must be completed with a **Yes** or **No**. If any of the answers to the following questions are "No" the company will not be regarded as a small business corporation and the error message below will be displayed:

- **Does the company declare that not more than 20% of the total of all receipts and accruals (other than of a capital nature) and all capital gains of the company consists collectively of investment income and income from rendering a personal service?**
- **Does the company declare that the company is not a Personal Service Provider as defined in the Fourth Schedule?**
- **Does the company declare that all of the shareholders / members were natural persons (individuals) throughout the year of assessment?**
- **Does the company declare that none of the shareholders / members of the company held shares / interests in another close corporation, company or co-operative other than those specified in s12(E)(4)(a)(ii)?**



9.2.7 BALANCE SHEET

- The figures to be used are the figures reflected in the annual financial statements of the Company (not the group or consolidated annual financial statements).
- All fields listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.

Balance Sheet	
Assets	
Non-current assets – Property, plant and equipment	R
Non-current assets – Long-term loans	R
Current assets – Inventory and work in progress (net after provisions)	R
Current assets – Trade and other receivables (net after provisions)	R
Current assets – Cash and cash equivalents	R
Other assets	R
Total assets	R
Equity and Liabilities	
Total Equity (Capital and reserves)	R
Non-current liabilities – Long-term loans & provisions	R
Current liabilities – Trade and other payables (including accruals)	R
Other equity and liabilities	R
Total equity and Liabilities	R

Assets

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Non-current assets - Property, plant and equipment
 - Non-current assets – Long-term loans
 - Current assets – Inventory and work in progress (net after provisions)
 - Current assets – Trade and other receivables (net after provisions)
 - Current assets – Cash and cash equivalents
 - Other assets.
- Total assets:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

Equity and Liabilities

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Total Equity (Capital and reserves)
 - Non-current liabilities – Long-term loans & provisions
 - Current liabilities - Trade and other payables (including accruals)
 - Other equity and liabilities.
- If the company has a debit balance (assessed loss) for Total Equity (Capital and reserves) then complete this field with a negative value (e.g. -10000).
- If the company has a credit balance for Total Equity (Capital and reserves) then complete this field with a positive value (e.g. 100000).
- Total equity and Liabilities:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

9.2.8 INCOME STATEMENT

- The figures to be used are the figures reflected in the annual financial statement of the Company (not the group or consolidated annual financial statements).

- **When** completing the Gross Profit / Loss part of the return, the normal accounting meaning attached to the terms reflected in the tax return must be followed. In the event that a company does not have any cost of sales, for example a property rental company, the turnover and gross profit will be the same amount.
- All **fields** listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.

Income Statement															Income Statement (Continued)															BSISM0
Gross Profit / Loss															Expense Items (Only debit amounts)															
Sales (Turnover)															Bad debts written off															
R															R															
Less: Cost of sales															Depreciation															
R															R															
Gross profit - subtotal															Donations															
R															R															
Gross loss - subtotal															Municipal charges (electricity, water, sewerage, refuse, rates & taxes)															
R															R															
Income Items (Only credit amounts)															Provision for doubtful debts															
Interest received															Salaries and wages (incl. directors' / members' remuneration)															
R															R															
REIT dividends received															Repairs, maintenance, insurance, alterations and improvements															
R															R															
Accounting profit on disposal of fixed assets and / or other assets															Travelling expenses															
R															R															
Bad and doubtful debts recovered															Other expenses															
R															R															
Levy income															Control Total															
R															R															
Other income															Net Profit / Loss															
R															Net Profit - Subtotal															
Control Total															R															
R															Net Loss - Subtotal															
Expense Items (Only debit amounts)															R															
Accounting loss on disposal of fixed assets / other assets																														
R																														

Gross Profit / Loss

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Sales (Turnover)
 - Less: Cost of sales.
- **Gross profit – subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a gross profit or gross loss applies. If a gross profit applies, the gross loss field is not applicable. If the net figure is R0 (zero), then this value applies to the gross profit field.
- **Gross loss – subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a gross profit or gross loss applies. A loss is indicated as a positive value in the gross loss field.

Income Items (Only credit amounts)

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Interest received
 - REIT dividends received
 - Accounting profit on disposal of fixed assets and / or other assets
 - Bad and doubtful debts recovered
 - Levy income
 - Other income.
- **Control Total:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Expense Items (Only debit amounts)

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Accounting loss on disposal of fixed assets / other assets
 - Bad debts written off
 - Depreciation
 - Donations
 - Municipal charges (electricity, water, sewerage, refuse, rates & taxes)
 - Provision for doubtful debts
 - Salaries and wages (incl. directors' / members' remuneration)
 - Repairs, maintenance, insurance, alterations and improvements
 - Travelling expenses
 - Other expenses.
- **Control Total:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

Net Profit / Loss

- **Net Profit – Subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a net profit or net loss applies. If a net profit applies, the net loss field is not applicable. If the net figure is R0 (zero), then this value applies to the net profit field.
- **Net Loss – Subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a net profit or net loss applies. A loss is indicated as a positive value in the net loss field.

9.2.9 TAX COMPUTATION

In all instances where the accounting and tax treatment of items are different, the full accounting amount must be reversed and similarly the full tax treatment amount disclosed.

Please take note of the following provisions in the Act:

- In terms of s18A, a deduction (subject to a 10% limit of taxable income) is allowed in respect of the sum of *bona fide* donations of cash or property in kind made by a taxpayer during the year of assessment to any:
 - Public benefit organisation (PBO) approved by the Commissioner under s30
 - Institution, board or body contemplated in s10(1)(cA)(i) and subject to the requirements listed in s18A(1)(a)(ii)(aa) and (bb)

- PBO approved by the Commissioner under s30 which provides funds or assets to any other approved PBO, or to any institution, board or body contemplated in s10(1)(cA)(i)
- Agency as contemplated in the definition of “specialised agency” in s1 of the Convention on the Privileges and Immunities of the Specialised Agencies, 1947, set out in Schedule 4 to the Diplomatic Immunities and Privileges Act, 2001 (Act 37 of 2001) subject to the provisions listed in s18A(1)(bA)(i), (ii) and (iii)
- Department of government in the national, provincial or local sphere as contemplated in s 10(1)(a) to be used for purposes of any activity referred to in Part II of the Ninth Schedule.

All fields listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.

Adjustments: Added back

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Accounting interest paid / payable
 - Accounting loss on disposal of fixed and / or other assets
 - Capital expenditure and / or losses
 - Depreciation according to financial statements
 - Doubtful debts
 - Expenses attributable to exempt income and not actually incurred in production of income
 - Non-deductible provisions
 - Reversal of previous year allowances / deductions granted
 - Taxable amounts not declared in Income Statement (incl. recoupments)
 - Other Adjustments: Added Back.
- **Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

Adjustments: Allowable

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Accounting profit on disposal of fixed and / or other assets
 - Local dividends excluding dividends mentioned in s8E, s8EA and 103(5)
 - Receipts and / or accruals of a capital nature
 - Reversal of provisions
 - Levy exemption in terms of s10(1)(e)(i) (refer to guide): This field is only applicable if the company is classified as a Body Corporate or Share Block Company. If the company is classified as a Micro Business, this field will be disabled / greyed out. Section 10(1)(e)(i) exempts any levy income received by or accrued to a Body Corporate / Share Block company from normal tax.
 - Other income exemption (excluding levy) in terms of s10(1)(e)(ii) (refer to guide): This field is only applicable from 2009 onwards if the company is classified as a Body Corporate or Share Block Company. If the company is classified as a Micro Business, this field will be disabled / greyed out. Section 10(1)(e)(ii) exempts from normal tax any receipts and accruals other than levy income derived by a Body Corporate/Share Block company to the extent that the aggregate of those receipts and accruals does not exceed R50 000.
 - Wear and tear: s11(e)
 - Doubtful Debt Allowance: s11(j)
 - Depreciable Asset Allowance: s 11(o)
 - Plant and machinery where company qualifies as a SBC (Small Business Corporation): s12E: Only applicable from Year of Assessment 2002 onwards
 - Other Adjustments: Allowable.

- **Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

Amounts to be Included in the Determination of Taxable Income (Excluding assessed losses brought forward and capital gains / losses)

- **Calculated profit excluding net income from CFC (Controlled Foreign Company):**
This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a calculated profit or calculated loss applies. If a calculated profit applies, the calculated loss field and associated source code is not applicable. If the net figure is R0 (zero), then this value applies to the calculated profit.
- **Source Code:** If a calculated profit applies, this source code is compulsory for completion. Numeric field, a pop-up list will be displayed on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Alternatively the source code booklet will be available on www.sars.gov.za.
- **Note:** The source code 3008 / 3009 (valid 1999 - 2002) or 3018 / 3019 (2003 onwards) for exempt organisations only applies to a body corporate / share block company where all income declared is exempt i.t.o s10(1)(e). If any additional **taxable** income was declared in the income statement, a different source code relating to the nature of the taxable income portion not exempt i.t.o. s10(1)(e) must be selected.
- **Calculated loss:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a calculated profit or calculated loss applies. If a calculated loss applies, the calculated profit field and associated source code is not applicable. A loss is indicated as a positive value in the calculated loss field.
- **Source Code:** If a calculated loss applies, this field is compulsory for completion. Otherwise this field is not applicable. Numeric field, a pop-up list will be displayed on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Alternatively the source code booklet will be available on www.sars.gov.za.
- **Imputed net income from CFC:** This currency field (15 blocks) must be completed in Rands (No Cents)).

- **Add: Adjustment for clogged losses included in amounts listed above to be carried forward (par. 39 of the Eight Schedule):** This field is mandatory from 2014 onwards. For prior years it is optional. This currency field (15 blocks) must be completed with the relevant amount.
- **Less: Allowable deduction i.r.o prior year clogged losses carried forward on capital gain(s) to connected person(s) (par.39 of the Eighth Schedule):** This field is mandatory from 2014 onwards. For prior years it is optional. This currency field (15 blocks) must be completed with the relevant amount.
- **Aggregate Gain:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch by subtracting all capital losses (Capital gain/loss with uneven asset source code) from capital gains (Capital gain/loss with even asset source code). Either an aggregate gain or aggregate loss applies. If an aggregate gain applies, the aggregate loss field is not applicable. If the net figure is R0 (zero), then this value applies to the aggregate gain field.
- **Aggregate Loss:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch by subtracting all capital losses (Capital gain/loss with uneven asset source code) from capital gains (Capital gain/loss with even asset source code). Either an aggregate gain or aggregate loss applies. If an aggregate loss applies, the aggregate gain field is not applicable.

Schedule of Foreign Capital Gains and Losses in respect of the disposal of assets									
Proceeds		Base Cost		Capital Gain / Loss		Number of Transmissions		New Asset Type (Source Code)	
	15		15		15		4		4
- Please refer to the guide with regards to the main asset type source code list. - Even numbered codes refer to gains and uneven numbered codes refer to losses. - Please note the inclusion rate will be applied by SARS.		Add: Adjustment for digged losses included in amounts listed above to be carried forward (par. 39 of the Eighth Schedule) Less: Allowable deduction (i.e. prior year digged losses carried forward on capital gain(s) to connected person(s) (par. 39 of the Eighth Schedule)							
		Aggregate Gain				4252			
		Aggregate Loss				4253			
		Foreign tax credits in respect of capital gains (Rand value only)				4114			

Note: At least one row in this schedule must be completed. If one of the fields in a row is completed with a value, then all the fields in that specific row must be completed.

onwards. For prior years it is optional. This currency field (15 blocks) must be completed with the relevant amount.

- **Less: Allowable deduction i.r.o prior year clogged losses carried forward on capital gain(s) to connected person(s) (par.39 of the Eighth Schedule):** This field is mandatory from 2014 onwards. For prior years it is optional. This currency field (15 blocks) must be completed with the relevant amount.
- **Aggregate Gain:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch by subtracting all capital losses (Capital gain/loss with uneven asset source code) from capital gains (Capital gain/loss with even asset source code). Either an aggregate gain or aggregate loss applies. If an aggregate gain applies, the aggregate loss field is not applicable. If the net figure is R0 (zero), then this value applies to the aggregate gain field.
- **Aggregate Loss:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch by subtracting all capital losses (Capital gain/loss with uneven asset source code) from capital gains (Capital gain/loss with even asset source code). Either an aggregate gain or aggregate loss applies. If an aggregate loss applies, the aggregate gain field is not applicable.
- **Foreign tax credit in respect of Capital Gains (Rand value only):** This currency field (15 blocks) must **only be completed** if a value exceeding R0 (zero) was calculated in the field Aggregate Gain or Aggregate Loss.

9.2.11 PAYE CREDITS (excluding provisional tax)

This section of the return will only display if the question “**Will the company be claiming any PAYE credits reflected on an IRP5 tax certificate?**” in the “*Information to create this income tax return*” is “Yes”

PAYE Credits Available (excluding provisional tax)															CTAVL01														
IRP5 certificate number															PAYE Credit														
R 															 4102														

- The PAYE credits Available section will be repeated according to the numeric value completed in the question “Specify the number of IRP5 certificates” field on the “Information to create this income tax return” page.
- The following fields must be completed for each “*PAYE Credits Available*” section:
 - **IRP5 certificate number:** Alphanumeric field (maximum length is 30 blocks)
 - **PAYE Credit:** Currency field - complete in Rands (15 blocks) and Cents (2 blocks)

This section of the return will only display if the question **“Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quat?”** in the *“Information to create this income tax return”* is **“Yes”**

Foreign Tax Credits: Taxable Foreign Sourced Income of Resident Companies – s6quat (excluding foreign capital gain / loss)		TXFQT01	
	Net Losses	Taxable Income	Foreign Tax Credits
Foreign income			7454
Imputed net income OFC			7455
		Foreign Tax Credit (stand value only) R	

- **Relief from double taxation**
 - A South African resident is subject to normal tax on income derived worldwide (i.e. income derived from sources within and outside of the Republic of South Africa). However, any income which is derived by a resident from a foreign source may have been or may be subjected to tax in a foreign country, resulting in double taxation on this amount. Section 6quat grants relief from any potential double taxation, in that any foreign taxes payable in respect of income derived from a source outside South Africa and which is included in the taxable income of a resident, may (subject to certain conditions) be allowed as a rebate against normal income tax payable in South Africa by the resident.
- **Conditions governing the granting of a rebate**
 - The sum of foreign taxes payable may qualify for a rebate against the normal income tax payable by a resident if the following conditions are met:
 - The taxes must be taxes payable on income:

- The taxes have to be imposed in terms of the laws of a foreign country, whether it be at national, state, local or other level of government;
- The taxes should be proved to be payable, i.e. a legal obligation to pay must exist;
- The taxes must be payable without any right of recovery by any person (other than a right of recovery in terms of an entitlement to carry back losses arising during any year of assessment to a prior year of assessment); and
- The taxes ought to be payable in respect of amounts included in that resident's taxable income.

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- In order to qualify for a rebate in terms of *s6quat*, the foreign taxes must be payable in respect of any of the following items of income, provided it was included in the resident's taxable income:
 - Any income received by or accrued to a resident, excluding foreign dividends, from an actual (real) source outside the Republic, which is not deemed to be from a source within the Republic (section 6 *quat*(1)(a)(i))
 - Any portion of the net income of a controlled foreign company (CFC) as contemplated in section 9D which is attributed to a resident that holds participation rights in that CFC under section 9D(2) (section 6 *quat*(1)(b)).
 - Any foreign dividends (section 6 *quat*(1)(d))
 - Any taxable capital gain as contemplated in section 26A from a foreign source which is not deemed to be from a source in the Republic (section 6 *quat*(1)(e))
 - Any amount dealt with above which is received by or accrued to a particular person, for example, a trust, but which is deemed to be derived by another person (the resident) (section 6 *quat*(1)(f)(i) and (ii))
 - Any amount dealt with above which forms part of the capital of a trust established in a foreign country, which is regarded as being derived by a resident for either income tax or capital gains tax purposes (section 6 *quat*(1)(f)(iii)).

- **Limitation on the amount of the rebate**

- The amount of foreign taxes which qualify for the *s6quat* rebate is limited to a *pro rata* amount calculated in accordance with the following formula:

<i>Taxable income derived from all foreign sources (A)</i>	×	<i>Normal tax payable on (B)</i>
<i>Taxable income derived from all sources (B)</i>		

- **The carry forward of an excess amount of foreign tax credits**

- Where the sum of foreign taxes payable exceeds the amount of the rebate, the excess amount may be carried forward to the immediately succeeding year of assessment. This excess amount will be ranked as a foreign tax credit available for set off against the normal tax payable in that year of assessment, in respect of foreign taxable income after the qualifying foreign taxes for that year have been taken into account.

- **Instances where no rebate is forthcoming**

- No foreign tax relief will be granted where the foreign taxes do not qualify for the rebate, for example if the actual source of the amount is located in South Africa. In such instances the amount may qualify as a deduction in terms of *s6quat* (1C) in determining taxable income for a particular year of assessment. The foreign taxes must have been incurred in respect of the resident's trading operations and must be proved to be payable without a right of recovery. A resident may not elect to claim the foreign taxes either as a rebate or alternatively as a deduction. Only those foreign taxes that do not qualify for a rebate may be considered as a deduction.
 - If a resident elects for the relief provided in a double taxation agreement which does not refer to the *s6quat* method of relief, none of the provisions of *s6quat* will apply. It should be noted that the carry forward of excess tax credits is only allowed in terms of the *s6quat* method of relief. None of South Africa's double taxation agreements provide for the carry forward of excess tax credits.

- **All fields listed in this section are compulsory for completion.** If a specific field is not applicable to the company, a zero (0) must be completed for the field.

- **Net losses:** This currency field (15 blocks) must be completed in Rands (No Cents) for **Foreign income**.

- The following currency fields (15 blocks) for **Foreign income** and **Imputed net income CFC** must be completed in Rands (No Cents):
 - Taxable Income**
 - Foreign Tax Credits.**
- Foreign Tax Credits:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch as the sum of Foreign Tax Credits.

9.2.13 FOREIGN TAX CREDITS: South African Sourced Income – s6quin (already elsewhere included in this return) – s6quin (Rands only, unless cents specified)

This section of the return will only display if the question “Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quin?” in the “Information to create this income tax return” is “Yes”

Foreign Tax Credits – South African Sourced Income (already elsewhere included in this return) – s6quin (Rands only, unless cents specified)

FTCRA01 

Taxable income from services rendered in South Africa taxed outside the RSA

R

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Was the declaration of foreign tax withheld (FTW01) submitted to the Commissioner within 60 days? Y ☐ N ☐

Please confirm that this amount was not claimed as a deduction in terms of s6quat(1C)? Y ☐ N ☐

Foreign Tax Credits

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 7456

Section 6quin provides for a rebate for foreign taxes paid on income derived by a taxpayer from services rendered in South Africa.

- The return of foreign tax withheld (FTW01) and the relevant material in respect of foreign tax withheld must be sent to SARS within 60 days from the date the tax was withheld or paid. The declaration must be sent to 6quin@sars.gov.za
- The return of Foreign Tax Withheld (FTW01) can be downloaded from the SARS website on www.sars.gov.za
- The amount of income must be from a source within the Republic and received by or accrued to a resident for services rendered.
- With the submission of the ITR14 the currency must be translated to RSA currency at the last day of the year of assessment by applying the average exchange rate for the year of assessment.
- The tax credit may be in respect of an amount of tax levied by any sphere of the government of any country:
 - Other than the Republic, and
 - With which the Republic has concluded a Double Tax Agreement (DTA)

- 9.2.14 FOREIGN TAX CREDITS REFUNDED / DISCHARGED BY THE GOVERNMENT OF A FOREIGN COUNTRY IN RESPECT OF A REBATE ALLOWED BY SARS IN A PREVIOUS YEAR – S6QUIN**

FTCRD01

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[illegible]

- Complete the amount refunded /discharged under “Specify the portion of the amount so refunded / discharged as was previously allowed by SARS as a rebate” field.

This section of the return will only display if the question **“Is the company a partner in a partnership?”** in the *“Information to create this income tax return”* is **“Yes”**

Partnerships															PRTIF01	
Partnership Name																
Specify the company's profit / loss sharing % during the year of assessment:																
Indicate if the company derived a profit / loss from this partnership during the year of assessment: Profit ☐ Loss ☐ Indicate if this information is in respect of a local or a foreign partnership: Local ☐ Foreign ☐																

- The Partnerships section will repeat according to the numeric value entered in the question “How many partnerships” on the “Information to create this income tax return” page.
- If 5 Partnerships sections were created, it is mandatory that all 5 must be completed. If incorrectly created, refer back to the “Information to create this income tax return” to rectify.

- The following fields must be completed for each *Partnerships* section:
 - **Partnership Name:** Free text field (maximum length is 53 blocks)
 - **Specify the company's profit / loss sharing % during the year of assessment:** Numeric field – complete the percentage
 - **Indicate if the company derived a profit / loss from this partnership during the year of assessment:** Select “Profit” or “Loss”
 - **Indicate if this information is in respect of a local or a foreign partnership:** Select “Local” or “Foreign”

10 ANNEXURE C – SMALL BUSINESS

A small business is classified as a company with a gross income (sales/turnover plus other income) not exceeding R20 million and total assets (current and non-current) not exceeding R10 million, that is not classified as a Body Corporate/Share Block Company or Micro Business.

Note:

- The classification of the total assets that must not be in excess of R10 million does not define a Small Business Corporation (s12E); this only serves as a classification to create this income tax return for a small business.
- Small Business is not the same as a Small Business Corporation as defined in s12E.

10.1 INFORMATION TO CREATE THIS INCOME TAX RETURN

All questions on this page must be completed. Depending on the answer provided to each question, subsequent questions might display on this page. Please ensure that all questions on this page are completed before commencing with completion of the return.

Note: If any of the questions on this page are changed subsequent to the commencement of the completion of the return (refer to section “Completion of return”), it may result in the following:

- Existing sections on the return may be removed / deleted. The form will display a warning message to alert the taxpayer of any potential loss of data captured; or
- Additional sections may be displayed on the return for completion.

For companies that are not registered eFilers and have online access to this guide may print the ITR14 example available from SARS website prior visiting the nearest branch for preparing the necessary information and relevant material specified in this guide, in preparation of completing the ITR14.

Each question in the ITR14 must be carefully reviewed to ensure that all the relevant information is ready for capturing of the ITR14 by a SARS agent at the nearest SARS branch and submitting the necessary relevant material specified in this guide in the branch in order to finalise the assessment.

10.1.1 DORMANT

Dormant

Is the company dormant?

Y ☐ N ☐

- **Is the company dormant?**

Yes or **No** must be selected. If “Yes” is selected, the company will be classified as a dormant company and Annexure B will not be applicable to the company. The Company Representative / Public Officer must refer to Annexure A if the company is dormant. If “No” is selected, the *Company Type and Tax Credits sections* on the “Information to create this income tax return” page will display additional questions for customisation of the income tax return.

10.1.2 COMPANY TYPE

Company Type

Is the company a body corporate / share block company as defined in s10(1)(e)? Y ☐ N ☐

Specify the gross income (sales / turnover plus other income) in respect of the year of assessment?

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Specify the total assets (current and non-current) of the company in respect of the year of assessment?

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- **Is the company a body corporate / share block company as referred to in s10(1)(e)?**
“Yes” or “No” must be selected. If “Yes” is selected, the Company Representative / Public Officer must refer to Annexure B for a Body Corporate / Share Block Company. If “No” is selected, the next question will be displayed.

- **Specify the gross income (sales / turnover plus other income) in respect of the year of assessment?**

Complete the gross income in Rands. - The gross income referred to in this question must be calculated as the sum of “Sales / Turnover” declared under “Gross Profit / Loss” and all income items declared under “Income Items” in the Income Statement.

- **Specify the total assets (current and non-current) of the company in respect of the year of assessment?**

If the gross income specified in the previous question does not exceed R1 million and the total assets does not exceed R5 million and the Company, the company will be classified as a Micro Business and must refer to Section B for completion of the ITR14.

If the company is not a Micro business and the gross income specified in the previous question does not exceed R20 million and the total assets does not exceed R10 million and the Company, the company will be classified as a Small Business.

- The *Small Business Corporation and Company Information* section on the “Information to create this income tax return” page will display additional question for customisation of the income tax return.
- The content of the income tax return will also be expanded to display the following sections for completion:
 - *Additional Assessment Information,*
 - *Shares,*
 - *Balance sheet,*
 - *Income Statement,*
 - *Tax Computation, and*
 - *Tax Allowances / Limitations.*

If the gross income in the previous question exceeds R20 million and / or the total assets exceed R10 million, then the company will **be classified as a Medium to Large Business** and must refer to Annexure D for completion of the ITR14.

10.1.3 CAPITAL GAIN / LOSS TRANSACTIONS

Capital Gain / Loss Transactions

Did the company have any local capital gain / loss transactions? Y ☐ N ☐

Did the company have any foreign capital gain / loss transactions? Y ☐ N ☐

- **Did the company have any local capital gain / loss transactions?**
Yes or **No** must be selected. If **Yes** is selected, the *Schedule of Local Capital Gains and Losses in respect of the disposal of assets* section in the income tax return will be displayed for completion.
- **Did the company have any foreign capital gain / loss transactions?**
Yes or **No** must be selected. If **Yes** is selected, the *Schedule of Foreign Capital Gains and Losses in respect of the disposal of assets* section in the income tax return will be displayed for completion.

10.1.4 VOLUNTARY DISCLOSURE PROGRAMME

Voluntary Disclosure Programme

Does any declaration in this return relate to an application made under the SARS Voluntary Disclosure Programme? Y ☐ N ☐

- **Does any declaration in this return relate to an application made under the SARS Voluntary Disclosure Programme?**
Yes or **No** must be selected. If **Yes** is selected, the *Voluntary Disclosure Programme* section in the income tax return will be displayed for completion.

10.1.5 SMALL BUSINESS CORPORATION

Small Business Corporation

Is the company a Small Business Corporation as defined in s12E? Y ☐ N ☐

- **Is the company a Small Business Corporation as defined in s12E?**
Yes or **No** must be selected. If **Yes** is selected, the *Small Business Corporation* section in the income tax return will be displayed for completion.

10.1.6 TAX CREDITS

Tax Credits

Will the company be claiming any PAYE credits reflected on an IRP5 tax certificate? Y ☐ N ☐

Specify the number of IRP5 tax certificates

Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quat? Y ☐ N ☐

Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quin? Y ☐ N ☐

Were any foreign tax credits refunded / discharged during the year of assessment for which a rebate was allowed during a previous year of assessment in terms of s6quin? Y ☐ N ☐

- **Will the company be claiming any PAYE credits reflected on an IRP5 tax certificate?**
Yes" or "No" must be selected. If "Yes" is selected, complete the next question.
- **Specify the number of IRP5 tax certificates**
This field accepts numeric values between 1 and 20. Based on the numeric value entered in this field, the *PAYE Credits Available* section in the income tax return will repeatedly be displayed for completion (e.g. if the numeric value 5 was entered then 5 *PAYE Credits Available* sections will display in the return for completion).
- **Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quat?**
Yes" or "No" must be selected. If "Yes" is selected, the *Foreign Tax credits: Taxable Foreign Sourced Income of Resident Companies – s6quat (excluding foreign capital gain/loss)* section in the income tax return will be displayed for completion.
- **Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quin?**
"Yes" or "No" must be selected. If "Yes" is selected, the *Foreign Tax credits: Taxable South African Sourced Income – s6quin (already included in taxable income)* section in the income tax return will be displayed for completion.
- **Were any foreign tax credits refunded / discharged during the year of assessment for which a rebate was allowed during a previous year of assessment in terms of s6quin?**
"Yes" or "No" must be selected. If "Yes" is selected, the *Foreign Tax Credits Refunded / Discharged by the government of a foreign county in respect of rebate allowed by SARS in previous year – s6quin* will be displayed for completion.

10.1.7 COMPANY INFORMATION

Company Information

Is the company a partner in a partnership?	Y	☐	N	☐
How many partnerships?				
Is the company a Personal Service Provider as defined in the Fourth Schedule?	Y	☐	N	☐
Is the company resident in South Africa for income tax purposes?	Y	☐	N	☐
How many different classes of shares have been issued by the company?				
Did the company qualify for a Urban Development Zone deduction (s13quat) ?	Y	☐	N	☐
Did the company enter into any reportable arrangement in terms of s34 – 39 of the Tax Administration Act or s80M-s80T of the Income Tax Act?	Y	☐	N	☐
Specify the number of reportable arrangements				
Were any dividends declared during the year of assessment?	Y	☐	N	☐

- Is the company a partner in a partnership?**
Yes or **No** must be selected. If **Yes** is selected, complete the next question.
- How many partnerships?**
 This field accepts numeric values between 1 and 99. Based on the numeric value entered in this field, the *Partnerships* section in the income tax return will repeatedly be displayed for completion (e.g. if the numeric value 50 was entered then 50 *Partnership* sections will display in the return for completion).
- Is the company a Personal Service Provider as defined in the Fourth Schedule?**
Yes or **No** must be selected. If **Yes** is selected, the *Personal Service Provider* section in the income tax return will be displayed for completion.
- Is the company resident in South Africa for income tax purposes?**
Yes or **No** must be selected. If **No** is selected, the *Non-Residency* section in the income tax return will be displayed for completion. If **Yes** is selected, complete the next question.
- How many different classes of shares have been issued by the company?**
 This field accepts numeric values between 1 and 100. Based on the numeric value entered in this field, the *Contributed Tax Capital* section in the income tax return will repeatedly be displayed for completion (e.g. if the numeric value 5 was entered then 5 *Contributed Tax Capital* sections will display in the return for completion).
 For Close Corporations, the definition of a “share” (any unit into which the proprietary interest in the company is divided) according to the Companies Act includes the members’ interests in a Close Corporation. Members’ interest therefore must be regarded as a class of share.
 The distinction between different types of shares (e.g. ordinary, preference, redeemable etc.) must be declared separately. Furthermore, if the company has only issued one class of ordinary shares (for example) then a general description would be in order. However, if classes A, B and N ordinary shares have been issued then each

class of ordinary share must be specified separately i.e. if there are shares with different rights for the different shareholders they must be declared separately.

- **Did the company qualify for an Urban Development Zone deduction in terms of s13quat?**
Yes or **No** must be selected. If **Yes** is selected, the *Urban Development Zone (s13quat)* section in the income tax return will be displayed for completion.
- **Did the company enter into any reportable arrangement in terms of s34 – 39 of the Tax Administration Act or s80M – S80T of the Income Tax Act?**
Yes or **No** must be selected. If **Yes** is selected, complete the next question.
- **Specify the number of reportable arrangements**
This field accepts numeric values between 1 and 100. Based on the numeric value entered in this field, the *Reportable Arrangement* section in the income tax return will be **expanded** to display a field for each reportable arrangement number for completion (e.g. if the numeric value 4 was entered then 4 Reportable Arrangement Numbers will display for completion in the *Reportable Arrangement* section of the return).
- **Were any dividends declared during the year of assessment?**
Yes or **No** must be selected. If **Yes** is selected, the *Dividends Declared* section in the income tax return will be displayed for completion.

10.2 COMPLETION OF RETURN

Once all the questions on the “Information to create this income tax return” page of the ITR14 have been completed, the return information must be completed as follows:

- If the taxpayer is an eFiler, the fields listed in this section must be captured electronically on eFiling;
- If the representative taxpayer/tax practitioner of the company is not a registered eFiler and obtained an ITR14 example copy from the SARS website, the fields listed in this section must be completed on the example copy of the return and once all fields have been completed, visit the nearest branch to have these fields captured by a SARS agent;
- If the representative taxpayer/tax practitioner of the company is not a registered eFiler and is using this guide to prepare the information required for capturing at the nearest SARS branch without printing an example copy of the ITR14, the fields as listed in this section must be used in preparation for capturing. Once all the fields have been prepared, the taxpayer must visit the nearest branch with all the prepared information to have these fields captured by a SARS agent.

	Income Tax Return for Companies (Income Tax Act, No. 58 of 1962, as amended)	Taxpayer Reference Number 	Year of Assessment 	ITR14
Company / Close Corporation Particulars				
Registered Name 				
Trading Name 				
Company / CC Reg No. Fiscal Year End (CCYYMMDD) Is this return in respect of a branch / permanent establishment / agency of a foreign company? Y ☐ N ☐				
Please indicate where the majority of the company's taxable income / loss is derived from (mark only one box)				
Eastern Cape ☐ Free State ☐ Gauteng ☐ KwaZulu Natal ☐ Limpopo ☐ Mpumalanga ☐ North West ☐ Northern Cape ☐ Western Cape ☐ International ☐				
Source code of the main industry. State the profit code of your main source of income. 				
If the profit code is 'other not specified', please provide a description. 				
Tax Practitioner Details (if applicable)				
Registration No. Tel No. Mark here with an 'X' if you declare that you do not have an email address. ☐				
Tax Practitioner Email address 				
Dormant Company Details				
What is the reason for dormancy? 				
Is the company acting as, or carrying on the activities of, a nominee? Y ☐ N ☐ Is the company a party to any contract in terms of which it has undertaken to conduct any activity or hold any assets on behalf of another person during the current or a future year of assessment? Y ☐ N ☐				
Voluntary Disclosure Programme				
VDPiF01 ☐				
If no VDP application was made, change your VDP answer to 'No' on the first page of this return.				
Please indicate the VDP application no. issued by SARS 				
Declaration				
I declare that:				
- I am the duly appointed Public Officer / Representative of the company - The information furnished in this return is to the best of my knowledge both true and correct - I have disclosed the gross amounts of all income received and / or accrued to this company during the period covered by this return - I have the necessary financial records and supporting schedules to support all declarations on this return which I will retain for audit purposes.				
Date (CCYYMMDD) 				
For enquiries go to www.sars.gov.za or call 0800 00 SARS (7277)				
Please ensure you sign over the 2 lines of 'X's above				

- The following read only fields will be pre-populated on the return:
 - Registered Name
 - Trading Name
 - Company / CC registration number
 - Financial year end.
- Please complete the following fields:
 - **Is this return in respect of a branch / permanent establishment / agency of a foreign company?**
Select “Yes” or “No”
 - **Please indicate where the majority of the company’s taxable income / loss is derived from (mark only one box)**
Select the relevant option from the following list:
 - Eastern Cape
 - Free State
 - Gauteng
 - KwaZulu Natal
 - Limpopo
 - Mpumalanga
 - North West
 - Northern Cape
 - Western Cape
 - International.
 - **Source code of the main industry**
A pop-up list with all the Standard Industry Codes (SIC) will be displayed on eFiling and when the agent captures the information in the SARS branch. For non-eFilers, the Company Representative / Public Officer completing the ITR14 manually, can access the Standard Industry Codes (SIC) booklet on www.statssa.gov.za
 - **State the profit code of your main source of income**

A pop-up list with all the main source of income codes will be displayed on eFiling. If the company is dormant this field will be pre-populated with code 9994 and locked. For non eFilers that are not dormant, the Company Representative / Public Officer completing the ITR14 manually, can access the main industry source code booklet on www.sars.gov.za

- **If the profit code is “other not specified”, please provide a description**
If the profit code of your main source of income ends with ‘98’, this is a mandatory free text field (maximum length 56 blocks).

10.2.2 TAX PRACTITIONER DETAILS (if applicable)

Tax Practitioner Details (if applicable)			
Registration No.		Tel No.	
Tax Practitioner Email address		Mark here with an 'X' if you declare that you do not have an email address. ☐	

- **Registration No.**
Complete the tax practitioner’s registration number (alphanumeric field of 9 blocks).
- **Tel No.**
Complete the Telephone number (numeric field of 15 blocks)
- **Tax Practitioner Email address**
Complete the email address (free text field of 52 blocks)
- **Mark here with an “X” if you declare that you do not have an email address**
If you don’t have an email address, indicate this by selecting the field “Mark here with an ‘X’ if you declare that you do not have an email address”. The email address field will be locked and greyed out.

10.2.3 DECLARATION

Declaration		DECIF01
I declare that: • I am the duly appointed Public Officer / Representative of the company • The information furnished in this return is to the best of my knowledge both true and correct. • I have disclosed the gross amounts of all income received and / or accrued to this company during the period covered by this return • I have the necessary financial records and supporting schedules to support all declarations on this return which I will retain for audit purposes.		XXXXXXXXXXXXXXXXXXXXX XXXXXXXXXXXXXXXXXXXXX Please ensure you sign over the 2 lines of 'X's above
Date (CCYYMMDD)	For enquiries go to www.sars.gov.za or call 0800 00 SARS (7277)	

Note:

- Complete the date in the format (CCYYMMDD)
- The Company Representative / Public Officer’s login will serve as the authentication for the ITR14 submission on eFiling.
- The Public Officer / Representative must sign the signature pad when the ITR14 is submitted at a SARS branch.
- The ITR14 is a legal declaration to SARS and by signing you agree that the reconciled information is accurate.
- You are obliged to ensure that a full and accurate disclosure is made of all relevant information as required in the ITR14. Misrepresentation, neglect or omission to submit a declaration or supplying false information may result in prosecution.

10.2.4 VOLUNTARY DISCLOSURE PROGRAMME

This section will only display on the return if the question “**Is this declaration or any part thereof made in respect of a VDP agreement with SARS?**” in the “*Information to create this income tax return*” is “Yes”

Voluntary Disclosure Programme

VDPIF01

If no VDP application was made, change your VDP answer to “No” on the first page of this return

Please indicate the VDP application no. issued by SARS

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- **Please indicate the VDP application no. issued by SARS**

Complete the alphanumeric field of 10 blocks. The first three characters must start with “VDP”. No spaces or dashes should be entered when completing the VDP Application No.

10.2.5 REPORTABLE ARRANGEMENT

This section will only display on the return if the question “**Did the company enter into any reportable arrangement in terms of s34 – 39 of the Tax Administration Act or s80M-s80T of the Income Tax Act?**” in the “*Information to create this income tax return*” is “Yes”

Reportable Arrangement

RPTAA01

Specify the reportable arrangement number:

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Is the company party to any arrangements which has the following features:

Round trip financing (s80D)?

Y ☐ N ☐

Elements that have the effect of offsetting or cancelling each other?

Y ☐ N ☐

Presence of an accommodating or tax-indifferent party (s80E)?

Y ☐ N ☐

Note:

- The list of reportable arrangements has been significantly extended. Arrangements that constitute or would have constituted hybrid debt instruments (s8F) or hybrid equity instruments (s8E) remain reportable arrangements, but the prescribed period for determining this has been extended to ten years. Arrangements where the calculation of interest, finance costs, fees or other charges is wholly or partly dependent on the tax treatment of the arrangement also remain reportable arrangements. However, the requirement that provision be made for the variation thereof has been removed.
- Arrangements will constitute reportable arrangements if any tax benefit is derived by virtue of the arrangement and should the arrangement contain any of the following characteristics:
 - The quantification of any finance costs or other charges are partially or fully dependent on the tax benefits derived by the arrangement.
 - The transaction results in round tripping of funds (a defined term), involving an accommodating or tax indifferent party (a defined term) or contains elements that have the effect of offsetting or cancelling each other.

- The transaction gives rise to a liability for generally accepted accounting purposes, but not for income tax purposes.
 - The transaction does not result in a reasonable expectation of a pre-tax profit for any participant.
 - The present value of the tax benefit exceeds the present value of the non-tax benefits derived by the participants.
- **Specify the reportable arrangement number:**
This alphanumeric field of length 12 will be repeated based on the numeric value entered in the field "Specify the number of reportable arrangements" in the *"Information to create this Income Tax Return"* page. Each field is mandatory for completion.

In each of the following questions a "Yes" or "No" must be completed
- **Is the company party to any arrangements which has the following features:**
 - Round trip financing (s80D)?
 - Elements that have the effect of offsetting or cancelling each other?
 - Presence of an accommodating or tax-indifferent party (s80E)?

10.2.6 DIVIDENDS DECLARED

This section will only display on the return if the question **"Were any dividends declared during the year of assessment?"** in the *"Information to create this income tax return"* is **"Yes"**

Dividends Declared

DIDEA01 ■

Specify the total dividends declared consisting of the following:

Total dividends subject to STC (Before 1 April 2012)

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Total dividends subject to dividends tax (From 1 April 2012)

R

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Total dividends exempt from dividends tax

R

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Total dividends subject to double taxation relief

R

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Total dividends in specie declared

R

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Note:

- Dividends tax replaced Secondary Tax on Companies (STC) on 01 April 2012. The final dividend cycle for all companies ended on 31 March 2012, and any STC credit remaining at the end of the final cycle may be carried forward to be utilised against the dividends tax liability.
- Dividends tax operates from the principle that the liability for dividends tax is triggered by the payment of the dividend and the tax liability falls on the recipient (i.e. beneficial owner) of the dividend. However, dividends tax is administered on the basis of withholding the applicable tax from the dividend payment by either the company declaring the dividend or, where relevant, certain withholding agents (i.e. regulated intermediaries).
- All currency fields (15 blocks) listed below must be completed. If a specific field is not applicable to the company, a zero (0) must be completed for the field.

- **Specify the total dividends declared consisting of the following:**

- **Total dividends subject to STC (Before 1 April 2012)**
- **Total dividends subject to dividends tax (From 1 April 2012)**
- **Total dividends exempt from dividends tax**
- **Total dividends subject to double taxation relief**
- **Total dividends in specie declared**

10.2.7 NON-RESIDENCY

This section will only display on the return if the question **“Is the company resident in South Africa for income tax purposes?”** in the *“Information to create this income tax return”* is **“No”**

Non-Residency

NRSYA01 

Is the company resident outside South Africa due to:

Foreign incorporation (and not being effectively managed in SA)? Y ☐ N ☐

By virtue of a treaty to avoid double taxation? Y ☐ N ☐

Note:

- A company will be a non-resident if it is not incorporated, established or formed in South Africa and does not have its place of effective management in South Africa. The place of effective management in the case of a company is the place where it is managed on a regular or day-to-day basis by the directors or senior managers of the company, irrespective of where the overriding control is exercised, or where the board of directors meets.
- Management by these directors or senior managers refers to the execution and implementation of policy and strategy decisions made by the board of directors. It can also be referred to as the place of implementation of the entity's overall group vision and objectives.

In both questions below, a **“Yes”** or **“No”** must be selected

- **Is the company resident outside South Africa due to:**
 - **Foreign incorporation (and not being effectively managed in SA)?**
 - **By virtue of a treaty to avoid double taxation?**

10.2.8 PERSONAL SERVICE PROVIDER

This section of the return will only display if the question **“Is the company a Personal Service Provider as defined in the Fourth Schedule?”** in the *“Information to create this income tax return”* is **“Yes”**

Personal Service Provider

PESPA01 ☐

Was any service rendered on behalf of the company rendered by a connected person in relation to the company?

Y ☐ N ☐

How many full-time employees are on a full-time basis engaged in rendering any service of the company, excluding those who are shareholders or members or are connected to such shareholder or member?

Would the person who is personally rendering the service have been regarded as an employee of the client if the service was rendered directly to the client and not through the company?

Y ☐ N ☐

Must the person who is rendering the service, perform the duties mainly at the premises of the client, and if so, is that person subject to the control or supervision of the client as to the manner in which the duties are performed or are to be performed?

Y ☐ N ☐

Does more than 80% of the income from services rendered by the company consist of or is likely to consist of amounts directly or indirectly received from any one client, or from any associated institution in relation to the client?

Y ☐ N ☐

Were the necessary adjustments made in respect of expenses not allowable in terms of s23(k)?

Y ☐ N ☐

Note:

- A Personal Service Provider is any company or trust where services are rendered on behalf of such company or trust to a client of a company or trust is rendered personally by any connected person (usually the shareholder, a relative of the shareholder or beneficiary in the case of a trust) as defined in s1 of the Income Tax Act in relation to such company and:
 - The person rendering the service would be regarded as an employee of the client, had such service been performed directly to the client; or
 - The person or company or trust rendering the service is subject to the control and supervision of the client as to the manner in which the duties are performed in rendering such service and must be mainly performed at the premises of the client; or
 - More than 80% of the income of the company or trust is directly or indirectly derived during the tax year from one client of the company or trust or any associated institution as defined in the Seventh Schedule of the Income Tax Act;
 - If the company or trust throughout the year of assessment employs three or more full-time employees who are on a full-time basis engaged in the business of such company of rendering any such service, other than any employee who is a shareholder or member of the company or is a connected person in relation to such person will not be regarded as a personal service provider.
- S23(k) is applicable to a Personal Service Provider and prohibits a deduction of the following expenses incurred:
 - Legal expenses
 - Bad debts
 - Employers contribution to pension funds, provident funds or benefit funds
 - Refunds of any amount, including voluntary awards, that are received or accrued for services rendered or to be rendered or any amount received or accrued for or by virtue of any employment or the holding of any office as was included in the taxable income of that person
 - Refunds of restraint of trade payments
 - Expenses in respect of premises
 - Expenses for premises, finance charges, insurance, repairs and fuel and maintenance cost for assets where the premises or assets are used wholly or exclusively for the purposes of trade.
- **Was any service rendered on behalf of the company rendered by a connected person in relation to the company?**

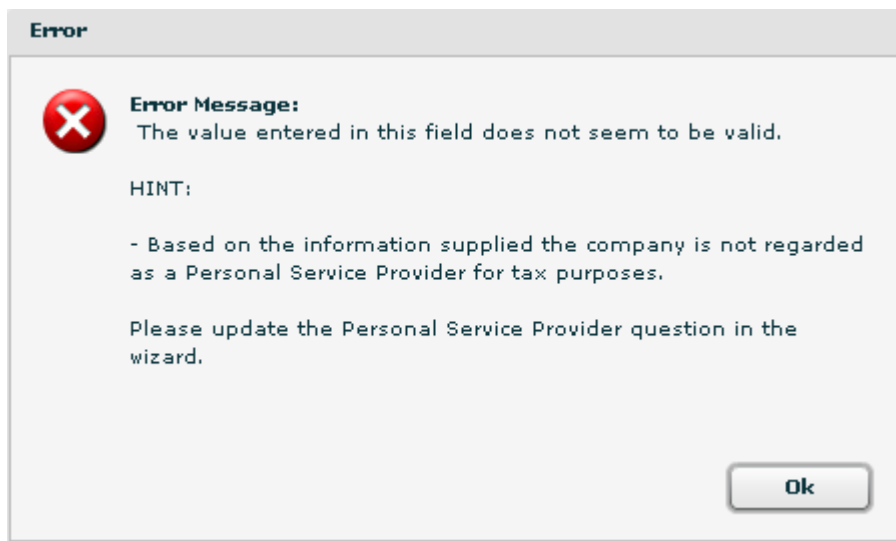
Yes or **No** must be selected. If **No** is selected, the company will not be regarded as a Personal Service Provider and the error message below will be displayed. If **Yes** is selected, complete the next question.

- **How many full-time employees are on a full-time basis engaged in rendering any service of the company, excluding those who are shareholders or members or are connected to such shareholder or member?**

If this value exceeds two, the company will not be regarded as a Personal Service Provider and the error message below will be displayed. If this value is not in excess of two, complete the next question.

Note: All the questions below must be completed with a **Yes** or **No**. If any of the following three questions is **No**, the company will not be regarded as a Personal Service Provider and the error message below will be displayed.

- **Would the person who is personally rendering the service have been regarded as an employee of the client if the service was rendered directly to the client and not through the company?**
Must the person who is rendering the service, perform the duties mainly at premises of the client, and if so, is that person subject to the control or supervision of the client as to the manner in which the duties are performed or are to be performed?
- **Does more than 80% of the income from services rendered by the company consist of or is likely to consist of amounts directly or indirectly received from any one client or from any associated institution in relation to the client”?**



- **Were the necessary adjustments made in respect of expenses not allowable in terms of s23 (k)?**
Yes or **No** must be selected.

Additional Assessment Information															OTHTGA01			
Do you give consent that SARS can provide the attached financial statements to the Companies and Intellectual Property Commission (CIPC)?															Y	☐	N	☐
Have the financial statements been audited / reviewed?															Y	☐	N	☐
If Yes, provide the name of the firm that conducted the audit																		
Have the financial statements been qualified?															Y	☐	N	☐
If Yes, does this have any tax effects?															Y	☐	N	☐
Did the company generate a capital gain / loss or revenue gain / loss in respect of the early termination of a foreign instrument?															Y	☐	N	☐
Did the company prematurely terminate / unwind a hedge position where the tax value differs in relation to the economic value?															Y	☐	N	☐
Is the company a beneficiary of a trust?															Y	☐	N	☐
If Yes, how many trusts?																		
Is the company a Real Estate Investment Trust?															Y	☐	N	☐

- **Do you give consent that SARS can provide the attached financial statements to the Companies and Intellectual Property Commission (CIPC)?**
When the company answers “Yes” to this question, the intent from SARS is to make the AFS available to the CIPC.
- **Have the financial statements been audited / reviewed?**
If “Yes” is selected the following fields must be completed:
 - **If Yes, provide the name of the firm that conducted the audit:** Free text field (max. length of 3 rows of 17 blocks)
 - **Have the financial statements been qualified?** Select “Yes” or “No”.
If “Yes” is selected, the following question must be completed:
 - **If Yes, does this have any tax effects?**
Select “Yes” or “No”
- **Did the company generate a capital gain / loss or revenue gain / loss in respect of the early termination of a foreign instrument?**
- **Did the company prematurely terminate / unwind a hedge position where the tax value differs in relation to the economic value?**
- **Is the company a beneficiary of a trust?** Select “Yes” or “No”.
- If “Yes” is selected, the following question must be completed:
 - **If Yes, how many trusts?** Numeric value (3 blocks)
 - **Is the company a Real Estate Investment Trust?** Select “Y” or “N” to indicate whether the company is the real estate investment trust. This field is mandatory from 2014 tax year onwards and optional for prior years.

10.2.10 SMALL BUSINESS CORPORATION

This section of the return will only display if the question “**Is the company a Small Business Corporation as defined in s12E?**” in the “*Information to create this income tax return*” is “**Yes**”

Small Business Corporation

SMCPA01 ■

State the gross income, as defined in s1 of the Income Tax Act, of the company

R

Does the company declare that not more than 20% of the total of all receipts and accruals (other than of a capital nature) and all capital gains of the company consists collectively of investment income and income from rendering a personal service?

Y ☐ N ☐

Does the company declare that the company is not a Personal Service Provider as defined in the Fourth Schedule?

Y ☐ N ☐

Does the company declare that all of the shareholders / members were natural persons (individuals) throughout the year of assessment?

Y ☐ N ☐

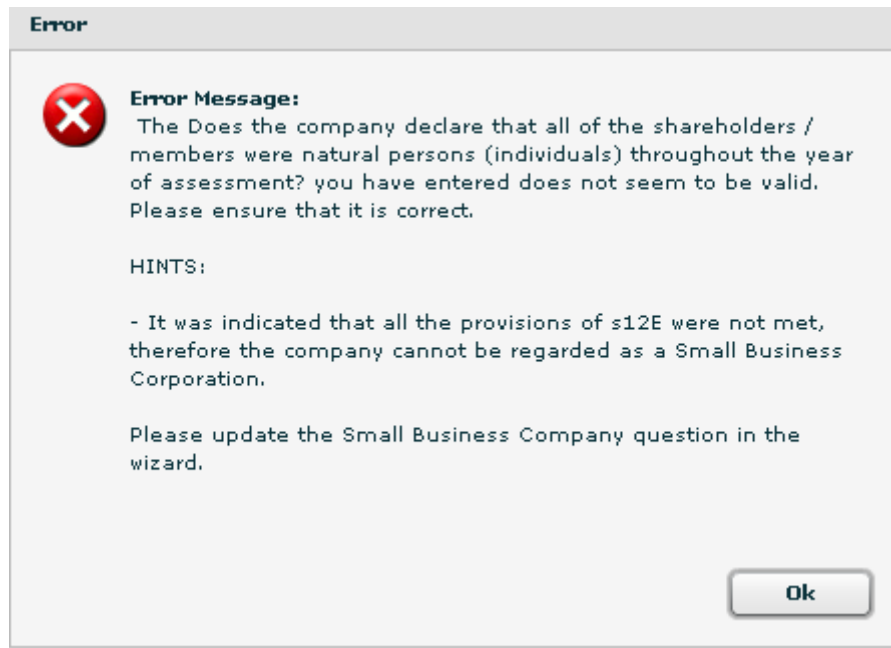
Does the company declare that none of the shareholders / members of the company held shares / interests in another close corporation, company or co-operative other than those specified in s12E(4)(a)(ii)?

Y ☐ N ☐

Note:

- Section 12E(4)(a) requires that a company will be a Small Business Corporation if:
 - The taxpayer is incorporated within South Africa and is trading as either a close corporation, co-operative or private company
 - All the holders of the shares in the company, close corporation or co-operative are, at all times, must be natural persons
 - The gross income of the company, close corporation or co-operative does not exceed R20 million during the year of assessment
 - The personal service income and investment income, collectively, does not exceed 20% of the total receipts and accruals (excluding capital receipts but including capital gains)
 - The company is not a personal service provider.
- **State the gross income, as defined in s1 of the Income Tax Act, of the company**
Complete the gross amount.
For Financial Year End prior to 20130430, the gross income should not be in excess of R14 million - if it is in excess of R14 million the business will not qualify as a Small Business Corporation.
For Financial Year End on or after 20130430, the gross income should not be in excess of R20 million - if it is in excess of R20 million the business will not qualify as a Small Business Corporation.
- Complete the following lists of questions as “Yes” or “No”. If any of the following questions are “No”, the company will not be regarded as a small business corporation and the error message below will be displayed.
 - **Does the company declare that not more than 20% of the total of all receipts and accruals (other than of a capital nature) and all capital gains of the company consists collectively of investment income and income from rendering a personal service?**
 - **Does the company declare that the company is not a Personal Service Provider as defined in the Fourth Schedule?**

- Does the company declare that all of the shareholders / members were natural persons (individuals) throughout the year of assessment?
- Does the company declare that none of the shareholders / members of the company held shares / interests in another close corporation, company or co-operative other than those specified in s12(E)(4)(a)(ii)?



10.2.11 CONTRIBUTED TAX CAPITAL

This section of the return will only display if the question **“Is the company resident in South Africa for income tax purposes?”** in the *“Information to create this income tax return”* is **“Yes”**

Note:

- The *Contributed Tax Capital* sections will repeat according to the numeric value entered in the question **“How many different classes of shares have been issued by the company?”** on the *“Information to create this income tax return”* page.
- If 4 *Contributed Tax Capital* sections were created, it is mandatory that all 4 must be completed. If incorrectly created, refer back to the *“Information to create this income tax return”* to rectify.

Contributed Tax Capital

CCTIF01 ■

Description of class of shares

Amount of contributed tax capital:

(a) Immediately before 1 January 2011; or

R

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(b) Where the company became a resident since 1 January 2011

R

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Add: Consideration received or accrued for the issue of shares by the company

R

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

Deduct: Amounts transferred to holders of shares

R

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

Deduct: Reduction as a result of the application of s42

R

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

Deduct: Reduction as a result of the application of s44

R

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Deduct: Reduction as a result of the application of s46

R

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Balance of contributed tax capital at the end of the year of assessment

R

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Note:

- Companies must have a Contributed Tax Capital (CTC) register in place for each class of share, which reflects its CTC balance as at 1 January 2011. CTC consists of a company's pure share capital and share premium. This excludes any capitalised reserves as at 1 January 2011, but includes any consideration received after that date for the issue of shares, reduced by any subsequent distribution of CTC.
- The company's CTC opening balance as at 1 January 2011 must have been calculated as follows:
 - The value of the company's share capital and share premium prior to 1 January 2011
 - The above result must have been reduced by so much of the share capital and share premium as would have constituted a dividend (as defined before 1 January 2011), had that share capital been distributed immediately before that date.
- The definition (applicable from 1 January 2011) of a dividend is linked to the CTC concept. If a company is distributing an amount to shareholders, an important question is whether the amount is a dividend or a reduction of CTC. A reduction of CTC will not constitute a dividend.
- In terms of the definition of "dividend" any buy-back of shares or distribution by a company will constitute a dividend unless the amount transferred:

- Reduces the CTC
- Constitutes shares in that company
- Is a buy-back of listed shares under specified circumstances.

- **Description of class of shares**

Complete the description of class of shares in the 3 rows of 17 blocks each provided. For Close Corporations, the definition of a “share” (any unit into which the proprietary interest in the company is divided) according to the Companies Act includes the members’ interests in a close corporation. Members’ interest therefore must be regarded as a class of share.

The distinction between different types of shares (e.g. ordinary, preference, redeemable etc.) must be declared separately. Furthermore, if the company has only issued one class of ordinary shares (for example) then a general description would be in order. However, if classes A, B and N ordinary shares have been issued then each class of ordinary share must be specified separately i.e. different rights for the different shareholders must be declared separately.

- Complete the following currency fields (15 blocks) in Rands (No cents):

- Amount of contributed tax capital:
 - (a) Immediately before 1 January 2011; or
 - (b) Where the company became a resident since 1 January 2011
- Add: Consideration received or accrued for the issue of shares by the company
- Deduct: Amounts transferred to holders of shares
- Deduct: Reduction as a result of the application of s42
- Deduct: Reduction as a result of the application of s44
- Deduct: Reduction as a result of the application of s 46.

- **Balance of contributed tax capital at the end of the year of assessment:** This field will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. The balance can never be a negative value.

10.2.12 URBAN DEVELOPMENT ZONE (s13quat)

This section of the return will only display if the question “**Did the company qualify for an Urban Development Zone deduction (s13quat)?**” in the “*Information to create this income tax return*” is “Yes”

Urban Development Zone (s13quat)

URDEA01

Is the building for which the company is claiming an allowance in an approved demarcated zone?

Y ☐ N ☐

Did the company receive a certificate issued by the municipality confirming that the building for which the company is claiming an allowance is in an urban development zone?

Y ☐ N ☐

Did the company erect, extend, add to or improve the building for which the company is claiming an allowance with the sole purpose of disposing thereof directly on completion?

Y ☐ N ☐

If No, state the total amount incurred for the erection, extension, addition or improvement of the building

R

Did the company purchase the building or part thereof from a developer?

Y ☐ N ☐

If Yes, state the purchase price of the building or part thereof

R

State the amount of the purchase price deemed to be cost incurred by the company in terms of s13quat(3B)

R

Did the company use the building erected, extended, improved or added on to solely for the trade of the company during the year of assessment?

Y ☐ N ☐

Did the company incur costs for the erection, extension or addition relating to low cost housing (s13quat(3A))?

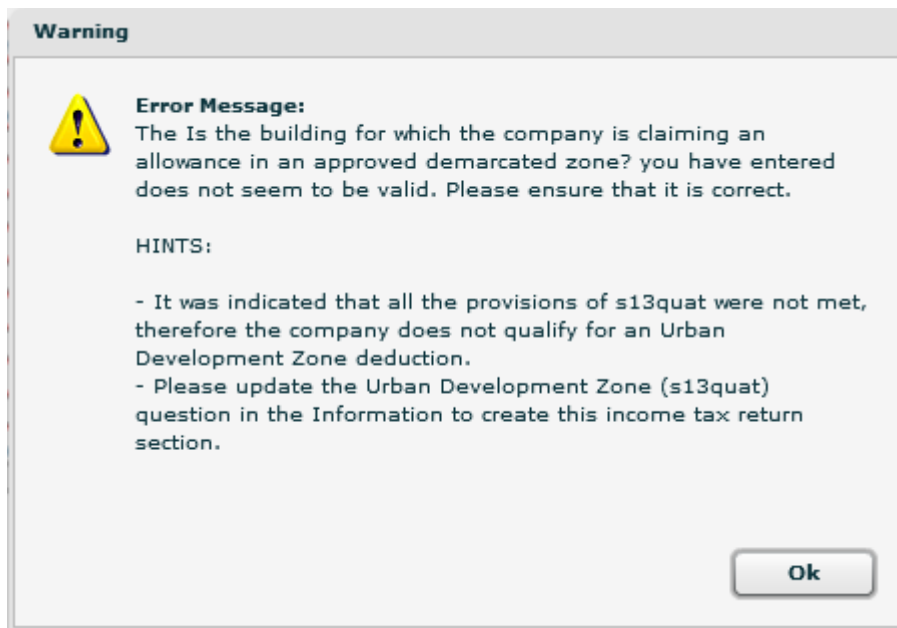
Y ☐ N ☐**Note:**

- A deduction in respect of the Urban Development Zone (UDZ) allowance will be allowed in the determination of the taxable income of a person that constructed, improved or purchased a building from a developer, provided all the requirements are complied with. When claimed, the tax incentive reduces the taxable income. The incentive is not limited to the taxable income and can create an assessed loss. This allowance (the UDZ allowance) is applicable in respect of the –
 - Erection, extension, or improvement of or addition to an entire building;
 - Erection, extension, improvement or addition of part of a building representing a floor area of at least 1 000 m²; or
 - Purchase of such a building or part of a building directly from a developer on or after 8 November 2005, provided that certain requirements are met.
- A person will only qualify for the UDZ allowance in respect of a building or part of the building constructed, improved or purchased directly from a developer within an urban development zone (UDZ), if the building or that part of the building is used solely for the purposes of that person's trade and was brought into use for these purposes on or before 31 March 2020.

The following questions must be completed with a “Yes” or “No”:

- **Is the building for which the company is claiming an allowance in an approved demarcated zone?**
 - If “No” is selected, the error message below will tell you that an UDZ allowance cannot be claimed.
- **Did the company receive a certificate issued by the municipality confirming that the building for which the company is claiming an allowance is in an urban development zone?**
 - If “No” is selected, the error message below will tell you that an UDZ allowance cannot be claimed.

- **Did the company erect, extend, add or improve the building for which the company is claiming an allowance with the sole purpose of disposing thereof directly on completion?**
 - If “Yes” is selected, the error message below will tell you that an UDZ allowance cannot be claimed.
 - If “No” is selected, the following currency field (15 blocks) must be completed in Rands (No Cents):
 - If No, state the total amount incurred for the erection, extension, addition or improvement of the building
- **Did the company purchase the building or part thereof from a developer?**
 - If “Yes” is selected, the following currency field (15 blocks) must be completed in Rands (No Cents):
 - If Yes, state the purchase price of the building or part thereof
 - State the amount of the purchase price deemed to be cost incurred by the company in terms of s13quat(3B).
- **Did the company use the building erected, extended, improved or added on to in use solely for the trade of the company during the year of assessment?**
 - If “No” is selected, the error message below will tell you that an UDZ allowance cannot be claimed.
- **Did the company incur costs for the erection, extension or addition relating to low cost housing (s13quat(3A))?**



10.2.13 SHARES

Shares

COSHR01 ■

Was there any change in shareholder's interest during the year of assessment (excluding listed companies)?

Y ☐ N ☐

Did the company convert par value shares to no par value shares during the year of assessment?

Y ☐ N ☐

If Yes, specify the value

[illegible]

The following questions must be completed with a “Yes” or “No”:

- Was there any change in shareholder's interest during the year of assessment (excluding listed companies)?
- Did the company convert par value shares to no par value shares during the year of assessment?
 - If "Yes" is selected, the following currency field (15 blocks) must be completed in Rands (No Cents): **If "Yes", specify the value**

10.2.14 BALANCE SHEET

- The figures to be used for completion are the figures reflected in the annual financial statements of the Company (not the group or consolidated annual financial statements).
- All fields listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.

Balance Sheet

Non-current Assets

Property, plant and equipment
R

Investments in associates and joint ventures
R

Long term loans - interest bearing
R

Long term loans - interest free
R

Other non-current assets
R

Please provide descriptions relating to other non-current assets listed above

Total non-current assets
R

Current Assets

Inventory and work in progress (net after provisions)
R

Trade and other receivables (excl. debtors) - net after provisions
R

Debtors (excl. trade debtors)
R

Balance Sheet (Continued)

Current Assets (Continued)

Cash and cash equivalents
R

Short-term investments
R

Other current assets
R

Please provide descriptions relating to other current assets listed above

Total current assets
R

Capital and Reserves

Non-distributable reserves
R

Other capital and reserves
R

Please provide descriptions relating to other capital and reserves listed above

Total Capital and Reserves
R

Balance Sheet (Continued)

Non-Current Liabilities

Long-term loans
R

Other non-current liabilities
R

Please provide descriptions relating to other non-current liabilities listed above

Total Non-Current liabilities
R

Current Liabilities

Trade and other payables (including accruals)
R

Overdraft and interest bearing short-term borrowings
R

Other current liabilities
R

Please provide descriptions relating to other current liabilities listed above

Total Current liabilities
R

Non-current assets

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Property, plant and equipment

- Investments in associates and joint ventures
 - Long term loans – interest bearing
 - Long term loans – interest free
 - Other non-current assets.
- **Please provide descriptions relating to other non-current assets listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “*Other non-current assets*”. The maximum length is 3 rows of 17 blocks.
- **Total non-current assets:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Current Assets

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Inventory and work in progress (net after provisions)
 - Trade and other receivables (excl. debtors) – net after provisions
 - Debtors (excl. trade debtors)
 - Cash and cash equivalents
 - Short-term investments
 - Other current assets.
- **Please provide descriptions relating to other current assets listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “*Other current assets*”. The maximum length is 3 rows of 17 blocks
- **Total current assets:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Capital and Reserves

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Non-distributable reserves
 - Other capital and reserves.
- **Please provide descriptions relating to other capital and reserves listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “*Other capital and reserves*”. The maximum length is 3 rows of 17 blocks.
- If the company has a debit balance (assessed loss) then complete the "Non-distributable reserves" / "Other capital and reserves" field with a negative value (e.g. - 10000).
- If the company has a credit balance then complete the "Non-distributable reserves" / "Other capital and reserves" field then complete this field with a positive value (e.g. 100000).
- **Total Capital and Reserves:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

Non-Current Liabilities

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Long-term loans
 - Other non-current liabilities.

- **Please provide descriptions relating to other non-current liabilities listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field *"Other non-current liabilities"*. The maximum length is 3 rows of 17 blocks).
- **Total Non-Current liabilities:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Current Liabilities

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Trade and other payables (including accruals)
 - Overdraft and interest bearing short-term borrowings
 - Other current liabilities.
- Please **provide descriptions relating to other current liabilities listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field *"Other current liabilities"*. The maximum length is 3 rows of 17 blocks.
- **Total Current liabilities:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

10.2.15 INCOME STATEMENT

- The figures to be used are the figures reflected in the annual financial statement of the Company (not the group or consolidated annual financial statements).
- When completing the Gross Profit / Loss part of the return, the normal accounting meaning attached to the terms reflected in the tax return must be followed. In the event that a company does not have any cost of sales, for example a property rental company, the turnover and gross profit will be the same amount.
- All fields listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.

Income Statement	Income Statement (Continued)	Income Statement (Continued)
Gross Profit / Loss	Income Items (Only credit amounts) (Continued)	Expense Items (Only debit amounts) (Continued)
Sales (Turnover) R	Other income R	Donations – other R
Plus: Closing stock R	Please provide descriptions relating to other income listed above R	Travelling expenses R
Less: Purchases R	R	Interest paid R
Less: Opening stock R	R	Provision for doubtful debts R
Gross profit – subtotal R	Control Total R	Repairs and maintenance R
Gross loss – subtotal R	Expense Items (Only debit amounts)	Salaries and Wages (incl. Medical, Pension and Provident Fund Contributions) R
Income Items (Only credit amounts)	Accounting loss on disposal of fixed assets / other assets R	Other expenses R
Admin., management, secretarial, rentals R	Admin., management, secretarial fees, rentals R	Please provide descriptions relating to other expenses listed above R
Bad and doubtful debts recovered R	Alterations and improvements R	R
Dividends received R	Bad debts written off R	Control Total R
REIT dividends received R	Consulting, legal and professional fees R	Net Profit / Loss
Interest received R	Depreciation R	Net Profit - Subtotal R
Accounting profit on disposal of fixed assets and / or other assets R	Directors' / members' remuneration R	Net Loss - Subtotal R
	Donations (s18A) R	

Gross Profit / Loss

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Sales (Turnover)
 - Plus: Closing stock
 - Less: Purchases
 - Less: Opening stock.
- **Gross profit – subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a gross profit or gross loss applies. If a gross profit applies, the gross loss field is not applicable. If the net figure is R0 (zero), then this value applies to the gross profit field.
- **Gross loss – subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a gross profit or gross loss applies. A loss is indicated as a positive value in the gross loss field.

Income Items (Only credit amounts)

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Admin, secretarial, rentals
 - Bad and doubtful debts recovered
 - Dividends received
 - REIT dividends received
 - Interest received
 - Accounting profit on disposal of fixed assets and / or other assets
 - Other income.
- **Please provide descriptions relating to other income listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “Other income”. The maximum length is 3 rows of 17 blocks
- **Control Total:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Expense Items (Only debit amounts)

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Accounting loss on disposal of fixed assets / other assets
 - Admin, secretarial fees, rentals
 - Alterations and improvements
 - Bad debts written off
 - Consulting, legal and professional fees
 - Depreciation
 - Directors’ / members’ remuneration
 - Donations (s18A)
 - Donations – other
 - Travelling expenses
 - Interest paid
 - Provision for doubtful debts
 - Repairs and maintenance
 - Salaries and Wages (incl. Medical, Pension and Provident Fund Contributions)
 - Other expenses.
- **Please provide descriptions relating to other expenses listed above:** This free text field must only be completed if a value exceeding R0 (zero) was entered in the field “Other expenses”. The maximum length is 3 rows of 17 blocks.

- **Control Total:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Net Profit / Loss

- **Net Profit – Subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a net profit or net loss applies. If a net profit applies, the net loss field is not applicable. If the net figure is R0 (zero), then this value applies to the net profit field.
- **Net Loss – Subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a net profit or net loss applies. A loss is indicated as a positive value in the net loss field.

10.2.16 TAX COMPUTATION

In all instances where the accounting and tax treatment of items are different, the full accounting amount must be reversed and similarly the full tax treatment amount disclosed.

- For example: Prepayment is claimed for accounting purposes on the income statement but is limited by **s. 23H**. The portion that is limited (not allowed) must be added back as a credit adjustment. If the relevant payment is on the balance sheet, then only the qualifying portion must be indicated under the "Special allowances not claimed" section.

Please take note of the following provisions in the Income Tax Act, 1962 (Act No. 58 of 1962):

- **Section 12M** allows as a deduction an amount paid by an employer as a lump sum to a former employee who retired on the grounds of old age, ill health, or infirmity or to a dependant of that former employee or under a policy of insurance taken out with an insurer solely in respect of one or more former employees who retired on the grounds of old age, ill health, or infirmity, or their dependants, but only to the extent that the lump sum is to be used to make contributions to a medical scheme or fund registered under the Medical Schemes Act, or under a similar provision in another country

The payment to the individual has to be that he or she can pay the future medical scheme payments. Where the payment is to an insurer, the policy must be only for the retired employee and his or her dependants. If the policy only relates partly to medical scheme coverage, only that part of the premium is deductible. No deduction is allowed if the employer or a connected person to the employer has any further obligation or retains any further obligation (even a contingent obligation) to pay any other amount in respect of any shortfall under the policy.

- **S. 120** provides a 100% tax exemption (with effect from 1 January 2012) in respect of all receipts and accruals in respect of films of which principal photography commences on or after 1 January 2012, but before 1 January 2022.
- **S. 24F** provides a 100% deduction in respect of the cost of production and purchase of films. It will no longer apply to films in respect of which the principal photography commenced on or after 1 January 2012, and to any film after 31 December 2012.
- In terms of **s. 18A**, a deduction (subject to a 10% limit of taxable income) is allowed in respect of the sum of *bona fide* donations of cash or property in kind made by a taxpayer during the year of assessment to any:
 - Public benefit organisation (PBO) approved by the Commissioner under s. 30;

- Institution, board or body contemplated in s10(1)(cA)(i) and subject to the requirements listed in s18A(1)(a)(ii)(aa) and (bb)
- PBO approved by the Commissioner under s30 which provides funds or assets to any other approved PBO, or to any institution, board or body contemplated in s10(1)(cA)(i)
- Agency as contemplated in the definition of “specialised agency” in s1 of the Convention on the Privileges and Immunities of the Specialised Agencies, 1947, set out in Schedule 4 to the Diplomatic Immunities and Privileges Act, 2001 (Act 37 of 2001) subject to the provisions listed in s18A(1)(bA)(i), (ii) and (iii)
- Department of government in the national, provincial or local sphere as contemplated in s 10(1)(a) to be used for purposes of any activity referred to in Part II of the Ninth Schedule.

10.2.17 **DEBIT ADJUSTMENTS (Decrease net profit / Increase net loss) Non-Taxable Amounts Credited to the Income Statement**

- Only complete the relevant currency fields (15 blocks) where the adjustment is applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up selection box will display from which only those adjustments relevant to the company must be selected and completed:
 - Accounting interest received / receivable
 - Accounting profit on disposal of fixed and / or other assets
 - Local dividends excluding dividends mentioned in s8E, s8EA and s103(5)
 - Receipts and / or accruals of a capital nature
 - Reversal of provisions
 - Other.
- **Please provide descriptions relating to ‘other’ consolidated above:** This free text field (maximum length of 3 rows with 17 blocks) must **only be completed** if a value exceeding R0 (zero) was entered in the field “Other”. On eFiling and in the branch, this field will only display if “Other” was checked on the selection list.
- **Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

10.2.18 **SPECIAL ALLOWANCES NOT CLAIMED IN THE INCOME STATEMENT**

- Only complete the relevant currency fields (15 blocks) where the special allowances are applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up selection box will display from which only those special allowances relevant to the company must be selected and completed:
 - Restraint of trade (s11(cA)): Only applicable from Year of Assessment 23 February 2000 onwards
 - Wear and tear allowance (s11(e))
 - Lease premium allowance (s11(f))
 - Improvement to leasehold premises (s11(g))
 - Doubtful debt allowance (s11(j))
 - Amortisation of lump sum contributed to retirement / benefit funds (s11(l))
 - Broad-based employee share plan (deduction this year) (s11A)
 - Depreciable asset allowance (s11(o))
 - Expenditure before commencing trade (s11A)
 - Deduction against Foreign Dividends (s11C): Only applicable from Year of Assessment 2005 to 31 March 2012.
 - Research and development deduction (s11D)
 - Machinery, plant, implements, utensils and articles deduction (s12B)
 - Manufacturers, hotelkeepers, aircraft, ship, storage and packing of agricultural products deduction (s12C)
 - Pipelines, transmission and rail deduction (s12D)

- Rolling stock (s12DA)
 - Plant and machinery where company qualifies as a SBC (s12E): Only applicable from Year of Assessment 2002 onwards
 - Airport and port assets (s12F)
 - Industrial assets used for qualifying industrial policy projects (s12G)
 - Learnership agreements registered / in effect (s12H): Only applicable from Year of Assessment 2002 to 1 January 2013
 - Registered learnership agreements completed in current year (s12H): Only applicable from Year of Assessment 2002 onwards
 - Industrial policy projects: Brownfield projects (s12I)
 - Industrial policy projects: Greenfield projects (s12I)
 - Deduction of medical lump sum payments (s12M): Only applicable from Year of Assessment 2010 onwards
 - Energy efficiency savings deduction (s12L)
 - Certified Emission Reduction – Exemption (s12K)
 - Exemption in respect of films (s12O): Only applicable from Year of Assessment 2012 onwards
 - Deduction for buildings used in a manufacturing process (s13)
 - Hotel building deduction (s13bis)
 - Residential building deduction (s13ter)
 - UDZ (s13quat) - erection of a new building this year: Only applicable from Year of Assessment 2005 onwards
 - UDZ (s13quat) - improvements this year: Only applicable from Year of Assessment 2005 onwards
 - Commercial building deduction (s13quin): Only applicable from Year of Assessment 2008 onwards
 - Residential unit deduction (s13sex): Only applicable from Year of Assessment 2009 onwards
 - Low cost residential unit deduction (s13sept): Only applicable from Year of Assessment 2009 onwards
 - Reversal of closing values of work in progress (s 22(2A)) - previous year: Only applicable from Year of Assessment 2003 onwards
 - Reversal of closing values of consumable stock and spare parts (previous year): Only applicable from Year of Assessment 2000 onwards
 - Prepaid expenditure not limited by s23H: Only applicable from Year of Assessment 2000 onwards
 - Allowance for future expenditure (s24C)
 - Credit agreement and debtors allowance (hire-purchase) (s24)
 - Interest Incurred (s24J)
 - Film allowance (s24F)
 - Deductions in respect of co-operatives (s27)
 - Environmental conservation and maintenance deduction (s37C)
 - Lease payments on capitalised leased assets
 - Other.
- **Please provide descriptions relating to ‘other’ consolidated above:** This free text field (maximum length of 3 rows with 17 blocks) must **only be completed** if a value exceeding R0 (zero) was entered in the field “Other”. On eFiling and in the branch, this field will only display if “Other” was checked on the selection list.
 - **Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

10.2.19 CREDIT ADJUSTMENTS (Increase net profit / Decrease net loss) Non-Deductible Amounts Debited to the Income Statement

Tax Computation (Continued)	TXSLF01	Tax Computation (Continued)	TXSLG01
Debit Adjustments (decrease net profit / increase net loss)		Credit Adjustments (increase net profit / decrease net loss)	
Special Allowances Not Claimed in the Income Statement (Continued)		Non-Deductible Amounts Debited to the Income Statement (Continued)	
Deductions in respect of co-operatives (s27)		Adjustments to comply with IFRS: Accounting	
R		R	
Environmental asset deduction (s37B)		Adjustments to comply with IFRS: Fair value	
R		R	
Environmental conservation and maintenance deduction (s37C)		Amortisation of lease premiums and improvements to leasehold premises	
R		R	
Lease payments on capitalised leased assets		Capital expenditure and / or losses	
R		R	
Other		Capital Improvement - Farming operations (par 12 of the First Schedule)	
R		R	
Please provide descriptions relating to other listed above		Depreciation according to financial statements	
		R	
		Donations (s18A)	
		R	
Control Total		Donations - Other	
R		R	
Credit Adjustments (increase net profit / decrease net loss)		Expenses attributable to exempt income - Local	
Non-Deductible Amounts Debited to the Income Statement		R	
Please select / de-select the non-deductible items debited to the Income Statement		Expenses attributable to exempt income - Foreign	
Selection		R	
Accounting interest paid / payable		Expenses not actually incurred in the production of income (s11(a))	
R		R	
Accounting losses derived from foreign sources (excluding CFC)		Financial assistance (s31)	
R		R	
Accounting loss on disposal of fixed and / or other assets			
R			

- Only complete the relevant currency fields (15 blocks) where the adjustments are applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up selection box will display from which only those special allowances relevant to the company must be selected and completed:

- ☐ Accounting interest paid / payable
- ☐ Accounting losses derived from foreign sources (excluding CFC)
- ☐ Accounting loss on disposal of fixed and / or other assets
- ☐ Adjustments to comply with IFRS: Accounting
- ☐ Adjustments to comply with IFRS: Fair value
- ☐ Amortisation of lease premiums and improvements to leasehold premises
- ☐ Capital expenditure and /or losses
- ☐ Capital Improvement - Farming operations (par 12 of the First Schedule)
- ☐ Depreciation according to financial statements
- ☐ Donations (s18A)
- ☐ Donations - Other
- ☐ Expenses attributable to exempt income - Local
- ☐ Expenses attributable to exempt income - Foreign
- ☐ Expenses not actually incurred in the production of income (s11(a))
- ☐ Financial assistance (s31)
- ☐ Interest paid in respect of capitalised leased assets.

- 10.2.20 ALLOWANCES / DEDUCTIONS GRANTED IN PREVIOUS YEARS OF ASSESSMENT AND NOW REVERSED**

TXSLI01

Allowances / Deductions Granted in Previous Years of Assessment and now Reversed

Please select / de-select the allowances / deductions granted in previous years as assessment and now reversed.

Selection

Allowance for future expenditure (s24C)

R

[illegible]

Credit agreements and debtors allowance (hire-purchase) (s24)

R

[illegible]

Doubtful debt allowance (s11(j))

R

[illegible]

Other

R

[illegible]

Please provide descriptions relating to other listed above

[illegible][illegible][illegible]

Control Total

R

[illegible]

- Only complete the relevant currency fields (15 blocks) where the adjustments are applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up selection box will display from which only those special allowances relevant to the company must be selected and completed:
 - Allowance for future expenditure (s24C)
 - Credit agreements and debtors allowance (hire-purchase) (s24)
 - Doubtful debt allowance (s11(j))
 - Other.
- Please provide descriptions relating to 'other' consolidated above:** This free text field (maximum length of 3 rows with 17 blocks) must **only be completed** if a value exceeding R0 (zero) was entered in the field "Other". On eFiling and in the branch, this field will only display if "Other" was checked in the selection list.
- Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

10.2.21 AMOUNTS NOT CREDITED TO THE INCOME STATEMENT

Tax Computation (Continued)															TXSLJ01				
Amounts not Credited to the Income Statement																			
Please select / de-select the amounts not credited to the Income Statement															Selection				
Amounts received in advance																			
R																			
Amounts accrued but not received																			
R																			
Closing value of consumable stock and spare parts																			
R																			
Amounts not Credited to the Income Statement (Continued)																			
Closing balance of stock values of work in progress - (s22(2A))																			
R																			
Income deemed to be from a South African source																			
R																			
Interest accrued (s24J)																			
R																			
Loans / advances granted by an insurer (par. (m) of def. of "gross income")																			
R																			
Transfer pricing adjustment																			
R																			
Other																			
R																			
Please provide descriptions relating to other listed above																			
Control Total																			
R																			

- Only complete the relevant currency fields (15 blocks) where the adjustments are applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up

selection box will display from which only those special allowances relevant to the company must be selected and completed:

- Amounts received in advance
 - Amounts accrued but not received
 - Closing value of consumable stock and spare parts
 - Closing balance of stock values of work in progress - (s22(2A)): Only applicable from year of assessment 2003 and onwards
 - Income deemed to be from a South African source [in terms of section 9(2)(b)]
 - Interest accrued (s24J)
 - Loans / advances granted by an insurer (par. (m) of def. of "gross income")
 - Transfer pricing adjustment
 - Other.
- **Please provide descriptions relating to 'other' consolidated above:** This free text field (maximum length of 3 rows with 17 blocks) must only be completed if a value exceeding R0 (zero) was entered in the field "Other". On eFiling and in the branch, this field will only display if "Other" was checked in the selection list.
 - **Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

Tax Computation (Continued)

TXSLK01

Recoupment of Allowances Previously Granted

Please select / de-select the recoupment of allowances previously granted

Selection

Bad debts

R

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Lease charges (s8(5))

R

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Wear and tear (s8(4))

R

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Other

R

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Please provide descriptions relating to other listed above

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Control TotalR

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- Only complete the relevant currency fields (15 blocks) where the adjustments are applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up selection box will display from which only those special allowances relevant to the company must be selected and completed:
 - Bad debts
 - Lease charges (s8(5))
 - Wear and tear (s8(4))
 - Other.
- **Please provide descriptions relating to 'other' consolidated above:** This free text field (maximum length of 3 rows with 17 blocks) must **only be completed** if a value exceeding R0 (zero) was entered in the field "Other". On eFiling and in the branch, this field will only display if "Other" was checked in the selection list.
- **Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

10.2.23 AMOUNTS TO BE INCLUDED IN THE DETERMINATION OF TAXABLE INCOME (Excluding assessed losses brought forward and capital gains / losses)

Tax Computation (Continued) TXSLL01

Amounts to be Included in the Determination of Taxable Income
(Excluding assessed losses brought forward and capital gains / losses)

Calculated Profit excluding net income from CFC

R

Calculated Loss

R

Source code

Imputed net income from CFC

R

4278

- Calculated profit excluding net income from CFC:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a calculated profit or calculated loss applies. If a calculated profit applies, the calculated loss field and associated source code is not applicable. If the net figure is R0 (zero), then this value applies to the calculated profit.
- Source Code:** If a calculated profit applies, this source code is compulsory for completion. Numeric field, a pop-up list will be displayed on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Alternatively the source code booklet will be available on www.sars.gov.za.
- Calculated loss:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a calculated profit or calculated loss applies. If a calculated loss applies, the calculated profit field and associated source code is not applicable. A loss is indicated as a positive value in the calculated loss field.
- Source Code:** If a calculated loss applies, this field is compulsory for completion. Otherwise this field is not applicable. Numeric field, a pop-up list will be displayed on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Alternatively the source code booklet will be available on www.sars.gov.za.
- Imputed net income from CFC:** This currency field (15 blocks) must be completed in Rands (No Cents)).

Tax Allowances / Limitations

TASLA01

Note:

Schedules must be prepared in all cases where the questions below are answered in the affirmative. The schedules must be retained for a period of 5 years after submission of this return.

Did the company make any contributions to the benefit of the employees to any pension, provident or medical fund in excess of 20% of the approved remuneration (s11(l))?

Y ☐ N ☐

Was the doubtful debt allowance as referred to in s11(j) based on a fixed percentage of all debtors as at year end in respect of the current year of assessment?

Y ☐ N ☐

Did the company complete IT180's for learnership agreements in respect of s12H?

Y ☐ N ☐

Does the company carry on any business as a hotelkeeper (s13bis)?

Y ☐ N ☐

Was the allowance claimed in respect of s13ter for the erection of at least 5 residential units?

Y ☐ N ☐

Does the company use a building in the production of income in respect of trade other than the provision of residential accommodation (s13quin)?

Y ☐ N ☐

Did the company incur any insurance premiums on the lives of employees or directors?

Y ☐ N ☐

If Yes, state the total amount of insurance premiums incurred during the year of assessment:

R

- **Did the company make any contributions to the benefit of the employees to any pension, provident or medical fund in excess of 20% of the approved remuneration (s11(l))?**

This field must **only be completed** if the field *Amortisation of lump sum contributed to retirement / benefit funds (s11(l))* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".

- **Was the doubtful debt allowance as referred to in s11(j) based on a fixed percentage of all debtors as at year end in respect of the current year of assessment?**

This field must **only be completed** if the field *Doubtful debt allowance (s11(j))* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".

- **Did the company complete IT180's for learnership agreements in respect of s12H?**

This field must only be completed if the field *learnership agreements registered / in effect (s12H)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".

- **Note:** A company can claim a deduction for registered learnership agreements in terms of the provisions of section 12H of the Income Tax Act.

- The agreement must be registered with the relevant Sector Education Training Authority (SETA) in the prescribed manner.
- For more information refer to the following publications on the SARS website:
 - Guide on Learnership Agreements
 - Interpretation Note: No. 20 (Issue 4) – Section 12H – Additional Deduction For Learnership Agreements

- **Note:** The following relevant material must be made available on request by SARS:
 - A copy of the learnership agreement
 - Confirmation of the SETA registration,
 - The employment contract; and
 - Adequate proof that the learnership has been completed successfully or a confirmation from the SETA (if obtained within that year of assessment).
- **Does the company carry on any business as a hotelkeeper (s13bis)?**
This field must **only be completed** if the field *Hotel building deduction (s13bis)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".
- **Was the allowance claimed in respect of s13ter for the erection of at least 5 residential units?**
This field must **only be completed** if the field *Residential building deduction (s13ter)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".
- **Does the company use a building in the production of income in respect of trade other than the provision of residential accommodation (s13quin)?**
This field must **only be completed** if the field *Commercial building deduction (s13quin)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".
- **Did the company incur any insurance premiums on the lives of employees or directors?**
This field must be completed with a "Yes" or "No".
 - If "Yes" is selected, the following currency field (15 blocks) must be completed in Rands (No Cents):
 - **If Yes, state the total amount of insurance premiums incurred during the year of assessment.**

10.2.25 CAPITAL GAINS / LOSSES

Determining a capital gain or a capital loss

Use the financial information relating to any disposals or deemed disposals to complete this section. The Proceeds (selling price of the asset - Part VI of the Eighth Schedule) and the Base Cost (which includes the acquisition cost, improvement cost and direct cost in respect of the acquisition and disposal of the asset - Part V of the Eighth Schedule) must be completed to calculate the capital gain or loss.

Since the return does not make provision for the separate disclosure of "Roll over base cost" and "Exclusions/Adjustments (excluding annual exclusion rate)", a manual calculation must be performed to calculate the correct capital gain or loss per main asset. The result of the manual calculation must be captured in the Capital Gain/Loss field against the applicable asset. Should there be more than one transaction for a specific asset type the amounts must be added together per asset type therefore the reason for the column "Number of Transactions".

Note:

- Refer to *Annexure E* for the main asset type source codes.
- The amount declared must be prior to the application of the inclusion rate as this will programmatically be applied by SARS during the assessment process.
- Even numbered codes refer to gains and uneven numbered codes refer to losses.

Schedule of Local Capital Gains and Losses in respect of the disposal of assets

- Please refer to the guide with regards to the main asset type source code list.
- Even numbered codes refer to gains and uneven numbered codes refer to losses.
- Please note the inclusion rate will be applied by SARS.

Aggregate Gain

Aggregate Loss

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Schedule of Foreign Capital Gains and Losses in respect of the disposal of assets																		
Proceeds					Base Cost					Capital Gain / Loss					Number of Transactions		Main Asset Type (Number of Lots)	
				15					15					15		4		4
• Please refer to the guide with regards to the main asset type source code list. • Even numbered codes refer to gains and uneven numbered codes refer to losses. • Please note the inclusion rate will be applied by SARS.					Add: Adjustment for dlogged losses included in amounts listed above to be carried forward (par. 39 of the Eighth Schedule) Less: Allowable deduction i.e. prior year dlogged losses carried forward on capital gain(s) to connected person(s) (par. 39 of the Eighth Schedule)													
					Aggregate Gain										4252			
					Aggregate Loss										4253			
					Foreign tax credits in respect of capital gains (Rand value only)										4114			

Note: At least one row in this schedule must be completed. If one of the fields in a row is completed with a value, then all the fields in that specific row must be completed.

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Proceeds
 - Base Cost
 - Capital Gain/Loss.
- **Number of Transactions:** Numeric field, complete the number of transactions.
- **Main Asset Type Source Code:** Refer to Annexure E – Foreign Assets to complete this numeric field. An even source code represents a capital gain and an uneven source code represents a capital loss.
- **Add: Adjustment for clogged losses included in amounts listed above to be carried forward (par. 39 of the Eight Schedule):** This field is mandatory from 2014 onwards. For prior years it is optional. This currency field (15 blocks) must be completed with the relevant amount.
- **Less: Allowable deduction i.r.o prior year clogged losses carried forward on capital gain(s) to connected person(s) (par.39 of the Eighth Schedule):** This field is mandatory from 2014 onwards. For prior years it is optional. This currency field (15 blocks) that must be completed with the relevant amount.
- **Aggregate Gain:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch by subtracting all capital losses (Capital gain/loss with uneven asset source code) from capital gains (Capital gain/loss with even asset source code). Either an aggregate gain or aggregate loss applies. If an aggregate gain applies, the aggregate loss field is not applicable. If the net figure is R0 (zero), then this value applies to the aggregate gain field.
- **Aggregate Loss:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch by subtracting all capital losses (Capital gain/loss with uneven asset source code) from capital gains (Capital gain/loss with even asset source code). Either an aggregate gain or aggregate loss applies. If an aggregate loss applies, the aggregate gain field is not applicable.

- **Foreign tax credit in respect of Capital Gains (Rand value only):** This currency field (15 blocks) must **only be completed** if a value exceeding R0 (zero) was calculated in the field Aggregate Gain or Aggregate Loss.

10.2.26 PAYE CREDITS (excluding provisional tax)

This section of the return will only display if the question “**Will the company be claiming any PAYE credits reflected on an IRP5 tax certificate?**” in the “*Information to create this income tax return*” is “Yes”

PAYE Credits Available (excluding provisional tax) CTAVL01																																																
IRP5 certificate number															PAYE Credit																																	
															R																														,			4102

Note:

- The PAYE credits Available section will be repeated according to the numeric value completed in the question “Specify the number of IRP5 certificates” field on the “Information to create this income tax return” page.
- The following fields must be completed for each *PAYE Credits Available* section:
 - **IRP5 certificate number:** Alpha numeric field (maximum length is 30 blocks)
 - **PAYE Credit:** Currency field - complete in Rands (15 blocks) and Cents (2 blocks).

10.2.27 FOREIGN TAX CREDITS: Taxable Foreign Sourced Income of Resident Companies – *s6quat* (excluding foreign capital gain / loss)

This section of the return will only display if the question “**Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of *s6quat*?**” in the “*Information to create this income tax return*” is “Yes”

Foreign Tax Credits: Taxable Foreign Sourced Income of Resident Companies – <i>s6quat</i> (excluding foreign capital gain / loss) TXFQT01																														
Net Losses										Taxable Income										Foreign Tax Credits										
																														7454
																														7455
																														R

During the assessment process the information in this section is used when calculating the allowable amount in foreign tax credits in terms of *s. 6quat*.

- **Relief from double taxation**
 - A South African resident is subject to normal tax on income derived worldwide (i.e. income derived from sources within and outside of the Republic of South Africa). However, any income which is derived by a resident from a foreign source may have been or may be subjected to tax in a foreign country, resulting in double taxation on this amount. *S. 6quat* grants relief from any potential double taxation, in that any foreign taxes payable in respect of income derived from a foreign source which is included in the taxable income of a resident, may (subject to certain conditions) be allowed as a rebate against normal income tax payable in South Africa by the resident.
- **Conditions governing the granting of a rebate**
 - The sum of foreign taxes payable may qualify for a rebate against the normal income tax payable by a resident if the following conditions are met:

- The taxes must be taxes payable on income;
- **Please note:** Capital gains are included in taxable income (s. 26A) and the tax payable thereon is regarded as a tax on income.
 - The taxes have to be imposed in terms of the laws of a foreign country, whether it be at national, state, local or other level of government
 - The taxes should be proved to be payable, i.e. a legal obligation to pay must exist
 - The taxes must be payable without any right of recovery by any person (other than a right of recovery in terms of an entitlement to carry back losses arising during any year of assessment to a prior year of assessment)
 - The taxes ought to be payable in respect of amounts included in that resident's taxable income.
- **Qualifying amounts of income derived from foreign sources**
 - In order to qualify for a rebate in terms of s6quat, the foreign taxes must be payable in respect of any of the following items of income, provided it was included in the resident's taxable income:
 - Any income received by or accrued to a resident, excluding foreign dividends), from an actual (real) source outside the Republic, which is not deemed to be from a source within the Republic (section 6 quat(1)(a)(i))
 - Any portion of the net income of a controlled foreign company (CFC) as contemplated in section 9D which is attributed to a resident that holds participation rights in that CFC under section 9D(2) (section 6 quat(1)(b)).
 - Any foreign dividends (section 6 quat(1)(d))
 - Any taxable capital gain as contemplated in section 26A from a foreign source which is not deemed to be from a source in the Republic (section 6 quat(1)(e))
 - Any amount dealt with above which is received by or accrued to a particular person, for example, a trust, but which is deemed to be derived by another person (the resident) (section 6 quat(1)(f)(i) and (ii))
 - Any amount dealt with above which forms part of the capital of a trust established in a foreign country, which is regarded as being derived by a resident for either income tax or capital gains tax purposes (section 6 quat(1)(f)(iii)).
- **Limitation on the amount of the rebate**
 - The amount of foreign taxes which qualify for the s6quat rebate is limited to a *pro rata* amount calculated in accordance with the following formula:

<i>Taxable income derived from all foreign sources (A)</i>	×	<i>Normal tax payable on (B)</i>
<i>Taxable income derived from all sources (B)</i>		

- **The carry forward of an excess amount of foreign tax credits**
 - Where the sum of foreign taxes payable exceeds the amount of the rebate, the excess amount may be carried forward to the immediately succeeding year of assessment. This excess amount will be ranked as a foreign tax credit available for set off against the normal tax payable in that year of assessment, in respect of foreign taxable income after the qualifying foreign taxes for that year have been taken into account.
- **Instances where no rebate is forthcoming**
 - No foreign tax relief will be granted where the foreign taxes do not qualify for the rebate, for example if the actual source of the amount is located in South Africa. In such instances the amount may qualify as a deduction in terms of s.6quat

(1C) in determining taxable income for a particular year of assessment. The foreign taxes must have been incurred in respect of the resident's trading operations and must be proved to be payable without a right of recovery. A resident may not elect to claim the foreign taxes either as a rebate or alternatively as a deduction. Only those foreign taxes that do not qualify for a rebate may be considered as a deduction.

- If a resident elects for the relief provided in a double taxation agreement which does not refer to the s. 6quat method of relief, none of the provisions of s. 6quat will apply. It should be noted that the carry forward of excess tax credits is only allowed in terms of the s. 6quat method of relief. None of South Africa's double taxation agreements provide for the carry forward of excess tax credits.
- All fields listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.
- **Net losses:** This currency field (15 blocks) must be completed in Rands (No Cents) for **Foreign Income**.
- **The following currency fields (15 blocks) for Foreign income and Imputed net income CFC must be completed in Rands (No Cents):**
 - **Taxable Income**
 - **Foreign Tax Credits.**
- **Foreign Tax Credits:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch as the sum of Foreign Tax Credits.

10.2.28 FOREIGN TAX CREDITS: South African Sourced Income – s6quin (already elsewhere included in this return) – s6quin (Rands only, unless cents specified)

This section of the return will only display if the question “Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quin?” in the “Information to create this income tax return” is “Yes”

Foreign Tax Credits – South African Sourced Income (already elsewhere included in this return) – s6quin (Rands only, unless cents specified)

FTCRA01

Taxable income from services rendered in South Africa taxed outside the RSA

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Was the declaration of foreign tax withheld (FTW01) submitted to the Commissioner within 60 days? Y ☐ N ☐

Please confirm that this amount was not claimed as a deduction in terms of s6quat(1C)? Y ☐ N ☐

Foreign Tax Credits

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Section 6quin provides for a rebate for foreign taxes paid on income derived by a taxpayer from services rendered in South Africa.

- 10.2.29 FOREIGN TAX CREDITS REFUNDED / DISCHARGED BY THE GOVERNMENT OF A FOREIGN COUNTRY IN RESPECT OF A REBATE ALLOWED BY SARS IN A PREVIOUS YEAR – S6QUIN**

FTCRD01

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[illegible]

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- Complete the amount refunded /discharged under “Specify the portion of the amount so refunded / discharged as was previously allowed by SARS as a rebate” field.

10.2.30 PARTNERSHIPS

This section of the return will only display if the question “**Is the company a partner in a partnership?**” in the “*Information to create this income tax return*” is “**Yes**”

Partnerships																																																					PRTIF01
Partnership Name																																																					
Specify the company's profit / loss sharing % during the year of assessment:										, %		Indicate if the company derived a profit / loss from this partnership during the year of assessment:										Profit ☐ Loss ☐		Indicate if this information is in respect of a local or a foreign partnership:										Local ☐ Foreign ☐																			

Note:

- The Partnerships section will repeat according to the numeric value entered in the question “How many partnerships” on the “Information to create this income tax return” page.
- If 5 Partnerships sections were created, it is mandatory that all 5 must be completed. If incorrectly created, refer back to the “Information to create this income tax return” to rectify.
- The following fields must be completed for each *Partnerships* section
 - **Partnership Name:** Free text field (maximum length is 53 blocks)
 - **Specify the company's profit / loss sharing % during the year of assessment:** Numeric field – complete the percentage
 - **Indicate if the company derived a profit / loss from this partnership during the year of assessment:** Select “Profit” or “Loss”
 - **Indicate if this information is in respect of a local or a foreign partnership:** Select “Local” or “Foreign”.

11 ANNEXURE D – MEDIUM TO LARGE BUSINESS

If a company is not classified as a body corporate / share block company / micro business or small business, it will be classified as a medium to large business.

11.1 INFORMATION TO CREATE THIS INCOME TAX RETURN

All questions on this page must be completed. Depending on the answer provided to each question, subsequent questions might display on this page. Please ensure that all questions on this page are completed before commencing with completion of the return.

Note: If any of the questions on this page are changed subsequent to the commencement of the completion of the return (refer to section “Completion of return”), it may result in the following:

- Existing sections on the return may be removed / deleted. The form will display a warning message to alert the taxpayer of any potential loss of data captured; or
- Additional sections may be displayed on the return for completion.

If the company is not a registered eFiler and is using this guide to prepare the information required for capturing at the nearest SARS branch without printing an example copy of the ITR14, the fields as listed in this section must be used in preparation for capturing. Once all the fields have been prepared, the taxpayer must visit the nearest branch with all the prepared information to have these fields captured by a SARS agent.

Each question in the ITR14 must be carefully reviewed to ensure that all the relevant information is ready for capturing of the ITR14 by a SARS agent at the nearest SARS branch and submitting the necessary relevant material specified in this guide in the branch in order to finalise the assessment.

11.1.1 DORMANT

Dormant

Is the company dormant?

Y ☐ N ☐

- **Is the company dormant?**
Yes or **No** must be selected. If “Yes” is selected, the company will be classified as a dormant company and Annexure B will not be applicable to the company. The Company Representative / Public Officer must refer to Annexure A if the company is dormant. If “No” is selected, the *Company Type and Tax Credits* sections on the “Information to create this income tax return” page will display additional questions for customisation of the income tax return.

11.1.2 COMPANY TYPE

Company Type

Is the company a body corporate / share block company as defined in s10(1)(e)? Y ☐ N ☐

Specify the gross income (sales / turnover plus other income) in respect of the year of assessment?

[illegible]

Specify the total assets (current and non-current) of the company in respect of the year of assessment?

[illegible]

- **Is the company a body corporate / share block company as referred to in s10(1)(e)?**
Yes” or **No**” must be selected. If “Yes” is selected, the Company Representative / Public Officer must refer to Annexure B for a Body Corporate / Share Block Company. If **No**” is selected, the next question will be displayed.

- Specify the gross income (sales / turnover plus other income) in respect of the year of assessment?

Complete the gross income in Rands. The gross income referred to in this question must be calculated as the sum of "Sales / Turnover" declared under "Gross Profit / Loss" and all income items declared under "Income Items" in the Income Statement.

- Specify the total assets (current and non-current) of the company in respect of the year of assessment?

If the gross income specified in the previous question exceeds R14 million and / or the total assets exceed R10 million, then the company is classified as a Medium to Large Business. If the values entered for gross income and total assets do not meet the Medium to Large Business criteria, please refer to section 3 to determine the correct classification.

For Medium to Large Business:

- The *Company Information* section on the “Information to create this income tax return” page will display additional questions for customisation of the income tax return.
- If the gross income specified previously **does not exceed R14 million** if the financial year end is prior to 20130430 or R20 million if the financial year end is from 20130430 and onwards the *Small Business Corporation* section on the “Information to create this income tax return” page will display additional questions for customisation of the income tax return.
- The content of the income tax return will also be expanded to display the following sections for completion:
 - *Additional Assessment Information,*
 - *Shares,*
 - *Balance sheet,*
 - *Income Statement,*
 - *Tax Computation,*
 - *Tax Allowances, and*
 - *Corporate Rules.*

11.1.3 CAPITAL GAIN / LOSS TRANSACTIONS

Capital Gain / Loss Transactions

Did the company have any local capital gain / loss transactions? Y ☐ N ☐

Did the company have any foreign capital gain / loss transactions? Y ☐ N ☐

- **Did the company have any local capital gain / loss transactions?**
Yes" or "No" must be selected. If "Yes" is selected, the *Schedule of Local Capital Gains and Losses in respect of the disposal of assets* section in the income tax return will be displayed for completion.
- **Did the company have any foreign capital gain / loss transactions?**
Yes" or "No" must be selected. If "Yes" is selected, the *Schedule of Foreign Capital Gains and Losses in respect of the disposal of assets* section in the income tax return will be displayed for completion.

11.1.4 VOLUNTARY DISCLOSURE PROGRAMME

Voluntary Disclosure Programme

Does any declaration in this return relate to an application made under the SARS Voluntary Disclosure Programme? Y ☐ N ☐

- **Does any declaration in this return relate to an application made under the SARS Voluntary Disclosure Programme?**
Yes" or "No" must be selected. If "Yes" is selected, the *Voluntary Disclosure Programme* section in the income tax return will be displayed for completion.

11.1.5 SMALL BUSINESS CORPORATION

Note: This section of questions will only display if the gross income **does not exceed R14 million**

Small Business Corporation

Is the company a Small Business Corporation as defined in s12E? Y ☐ N ☐

- **Is the company a Small Business Corporation as defined in s12E?**
Yes" or "No" must be selected. If "Yes" is selected, the *Small Business Corporation* section in the income tax return will be displayed for completion.

11.1.6 TAX CREDITS

Tax Credits

Will the company be claiming any PAYE credits reflected on an IRP5 tax certificate? Y ☐ N ☐

Specify the number of IRP5 tax certificates

Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quat? Y ☐ N ☐

Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quin? Y ☐ N ☐

Were any foreign tax credits refunded / discharged during the year of assessment for which a rebate was allowed during a previous year of assessment in terms of s6quin? Y ☐ N ☐

- **Will the company be claiming any PAYE credits reflected on an IRP5 tax certificate?**
Yes or **No** must be selected. If **Yes** is selected, complete the next question.
- **Specify the number of IRP5 tax certificates**
 This field accepts numeric values between 1 and 20. Based on the numeric value entered in this field, the *PAYE Credits Available* section in the income tax return will repeatedly be displayed for completion (e.g. if the numeric value 5 was entered then 5 *PAYE Credits Available* sections will display in the return for completion).
- **Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quat?**
Yes or **No** must be selected. If **Yes** is selected, the *Foreign Tax credits: Taxable Foreign Sourced Income of Resident Companies – s6quat (excluding foreign capital gain/loss)* section in the income tax return will be displayed for completion.
- **Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quin?**
Yes or **No** must be selected. If **Yes** is selected, the *Foreign Tax credits: Taxable South African Sourced Income – s6quin (already included in taxable income)* section in the income tax return will be displayed for completion.
- **Were any foreign tax credits refunded / discharged during the year of assessment for which a rebate was allowed during a previous year of assessment in terms of s6quin?**
 - **Yes** or **No** must be selected. If **Yes** is selected, the *Foreign Tax Credits Refunded / Discharged by the government of a foreign county in respect of rebate allowed by SARS in previous year – s6quin* will be displayed for completion.

11.1.7 COMPANY INFORMATION

Company Information	
Is the company a partner in a partnership?	Y ☐ N ☐
How many partnerships?	
Is the company a Personal Service Provider as defined in the Fourth Schedule?	Y ☐ N ☐
Is the company resident in South Africa for income tax purposes?	Y ☐ N ☐
How many different classes of shares have been issued by the company?	
Did the company qualify for a Urban Development Zone deduction (s13quat)?	Y ☐ N ☐
Did the company enter into any reportable arrangement in terms of s34 – 39 of the Tax Administration Act or s80M-s80T of the Income Tax Act?	Y ☐ N ☐
Specify the number of reportable arrangements	
Were any dividends declared during the year of assessment?	Y ☐ N ☐
Does the company elected to be a headquarter company in terms of s9I?	Y ☐ N ☐
Specify the main industry code	
Is the company a subsidiary of a group of companies as defined in s1?	Y ☐ N ☐
Did the company receive / accrue any foreign income or incur any foreign expenditure or pay any royalties, interest, dividends or consulting fees to a non-resident?	Y ☐ N ☐
For years of assessment commencing on or after 1 April 2012 (for prior years refer to guide), did the company enter into an "affected transaction" as set out in section 31(1)(a), where the company:	
Received / accrued income?	Y ☐ N ☐
Incurred expenditure?	Y ☐ N ☐

- **Is the company a partner in a partnership?**
Yes" or "No" must be selected. If "Yes" is selected, complete the next question.
- **How many partnerships?**
This field accepts numeric values between 1 and 99. Based on the numeric value entered in this field, the *Partnerships* section in the income tax return will repeatedly be displayed for completion (e.g. if the numeric value 50 was entered then 50 Partnership sections will display in the return for completion).
- **Is the company a Personal Service Provider as defined in the Fourth Schedule?**
Yes" or "No" must be selected. If "Yes" is selected, the *Personal Service Provider* section in the income tax return will be displayed for completion.
- **Is the company resident in South Africa for income tax purposes?**
Yes" or "No" must be selected. If "No" is selected, the *Non-Residency* section in the income tax return will be displayed for completion. If "Yes" is selected, complete the next question.
- **How many different classes of shares have been issued by the company?**
This field accepts numeric values between 1 and 100. Based on the numeric value entered in this field, the *Contributed Tax Capital* section in the income tax return will repeatedly be displayed for completion (e.g. if the numeric value 5 was entered then 5

Contributed Tax Capital sections will display in the return for completion).

For Close Corporations, the definition of a “share” (any unit into which the proprietary interest in the company is divided) according to the Companies Act includes the members’ interests in a close corporation. Members’ interest therefore must be regarded as a class of share.

The distinction between different types of shares (e.g. ordinary, preference, redeemable etc.) must be declared separately. Furthermore, if the company has only issued one class of ordinary shares (for example) then a general description would be in order. However, if classes A, B and N ordinary shares have been issued then each class of ordinary share must be specified separately i.e. if there are shares with different rights for the different shareholders they must be declared separately.

- **Did the company qualify for an Urban Development Zone deduction in terms of s13quat?**

Yes or **No** must be selected. If **Yes** is selected, the *Urban Development Zone (s13quat)* section in the income tax return will be displayed for completion.

- **Did the company enter into any reportable arrangement in terms of s34 – 39 of the Tax Administration Act or s80M – S80T of the Income Tax Act?**

Yes or **No** must be selected. If **Yes** is selected, complete the next question.

- **Specify the number of reportable arrangements**

This field accepts numeric values between 1 and 100. Based on the numeric value entered in this field, the *Reportable Arrangement* section in the income tax return will be **expanded** to display a field for each reportable arrangement number for completion (e.g. if the numeric value 4 was entered then 4 Reportable Arrangement Numbers will display for completion in the *Reportable Arrangement* section of the return).

- **Were any dividends declared during the year of assessment?**

Yes or **No** must be selected. If **Yes** is selected, the *Dividends Declared* section in the income tax return will be displayed for completion.

- **Does the company elect to be a headquarter company in terms of s9I?**

Yes or **No** must be selected. If **Yes** is selected, the *Headquarter Company System* section in the income tax return will be displayed for completion.

- **Specify the main industry code**

- A pop-up list with all the Standard Industry Codes (SIC) will be displayed on eFiling and when the agent captures the information in the SARS branch. For non-eFilers, the Company Representative / Public Officer completing the ITR14 manually can access the Standard Industry Codes (SIC) available on www.statssa.gov.za.
- If the main industry code starts with 05, 06, 07, 08 or 09: The *Industry Related Information: Mining and Quarrying* section in the income tax return will be displayed for completion
- If the main industry code starts with 41, 42 or 43: The *Industry Related Information: Construction* section in the income tax return will be displayed for completion
- If the main industry code starts with 45, 46 or 47: The *Industry Related Information: Wholesale and Retail Trade* section in the income tax return will be displayed for completion
- If the main industry code starts with 64, 65 or 66: The *Industry Related Information: Financial and Insurance Activities* section in the income tax return will be displayed for completion.

- **Is the company a subsidiary of a group of companies as defined in s1?**

Yes or **No** must be selected. If **Yes** is selected, the *Company Structure* section in

the income tax return will be displayed for completion.

- **Did the company receive / accrue any foreign income or incur any foreign expenditure or pay any royalties, interest, dividends or consulting fees to a non-resident?**

Yes or **No** must be selected. If **Yes** is selected, the *International* section in the income tax return will be displayed for completion.

- **For years of assessment commencing on or after 1 April 2012 (for prior years refer to guide), did the company enter into an “affected transaction” as set out in section 31(1)(a), where the company:**

Significant amendments have been made to section 31 of the Income Tax Act 58 of 1962 (“ITA”), which relates to transfer pricing. The amended section 31 came into operation on 1 April 2012 and applies in respect of years of assessment commencing on or after that date. The “version” of section 31 applicable to year of assessment commencing before 1 April 2012 is referred to in this guide as the “old section 31”.

The data that needs to be provided in the transfer pricing sections of the return depends on the legislation that applies to the particular year of assessment. Therefore, the year of assessment in respect of which the return is being completed, will determine which “version” of section 31 will apply and therefore what data should be provided in the transfer pricing sections of the return.

For example: If the company’s financial year commences on 1 January 2012, the first year of assessment to which the amended section 31 will apply, will be the 2013 tax year. For the 2012 tax year (i.e. the financial year ending 31 December 2012), the provisions of the “old section 31” will apply.

For years of assessment commencing before 1 April 2012:

- For years of assessment commencing before 1 April 2012, the “old section 31” applies which reads as follows:

“31 (2) Where any supply of goods or services has been effected-

- (a) Between –
 - (i)(aa) A resident
 - (bb) Any other person who is not a resident
 - (ii)(aa) A person who is not a resident
 - (bb) A permanent establishment in the Republic of any other person who is not a resident
 - (iii) (aa) a person who is a resident
 - (bb) a permanent establishment outside the Republic of any other person who is a resident
- (b) Between those persons who are connected persons in relation to one another
- (c) At a price which is either –
 - (i) Less than the price which such goods or services might have been expected to fetch if the parties to the transaction had been independent persons dealing at arm’s length (such price being the arm’s length price
 - (ii) Greater than the arm’s length price the Commissioner may, for the purposes of this Act in relation to either the acquirer or supplier, in the determination of the taxable income of either the acquirer or supplier, adjust the consideration in respect of the transaction to reflect an arm’s length price for the goods or services.”

During years of assessment commencing before 1 April 2012, where the company was party to a supply of goods or services (as defined in section 31(1) of the “old section 31”) between persons (as described in section 31(2)(a) and (b) of the “old section 31”) that resulted in the company:

- **Received / accrued income?**
Yes or **No** must be selected. If **Yes** is selected, the *Transfer Pricing Received /*

Receivable section in the income tax return will be displayed for completion

- **Incurred expenditure?**
“Yes” or “No” must be selected. If “Yes” is selected, the *Transfer Pricing Paid / Payable section* in the income tax return will be displayed for completion.

For years of assessment commencing after 1 April 2012:

- For years of assessment commencing after 1 April 2012, the “old section 31” applies which reads as follows:
“31 (2) Where-
(a) Any transaction, operation, scheme, agreement or understanding constitutes an affected transaction
(b) Any term or condition of that transaction, operation, scheme, agreement or understanding –
(i) Is a term or condition contemplated in paragraph (b) of the definition of “affected transaction”, and
(ii) Results or will result in any tax benefit being derived by a person that is a party to that transaction, operation, scheme, agreement or understanding,

the taxable income or tax payable by any person contemplated in paragraph (b) (ii) that derives a tax benefit contemplated in that paragraph must be calculated as if that transaction, operation, scheme, agreement or understanding had been entered into on the terms and conditions that would have existed had those persons been independent persons dealing at arm’s length”
- During years of assessment commencing after 1 April 2012, where the company was party to a supply of goods or services (as defined in section 31(1)) between persons (as described in section 31(2)(a) and (b)) that resulted in the company:
 - **Received / accrued income?**
“Yes” or “No” must be selected. If “Yes” is selected, the *Transfer Pricing Received / Receivable section* in the income tax return will be displayed for completion.
 - **Incurred expenditure?**
“Yes” or “No” must be selected. If “Yes” is selected, the *Transfer Pricing Paid / Payable section* in the income tax return will be displayed for completion.

11.2 COMPLETION OF RETURN

Once all the questions on the “Information to create this income tax return” page of the ITR14 have been completed, the return information must be completed as follows:

- If the taxpayer is an eFiler, the fields listed in this section must be captured electronically on eFiling
- If the taxpayer is not a registered eFiler and obtained an ITR14 example copy from the SARS website, the fields listed in this section must be completed on the example copy of the return and once all fields have been completed, visit the nearest branch to have these fields captured by a SARS agent
- If the taxpayer is not a registered eFiler and is using this guide to prepare the information required for capturing at the nearest SARS branch without printing an example copy of the ITR14, the fields as listed in this section must be used in preparation for capturing. Once all the fields have been prepared, the taxpayer must visit the nearest branch with all the prepared information to have these fields captured by a SARS agent.

11.2.1 COMPANY / CLOSE CORPORATION PARTICULARS AND TAX PRACTITIONER DETAILS

SARS Income Tax Return for Companies
(Income Tax Act, No. 58 of 1962, as amended) Taxpayer Reference Number: Year of Assessment: **ITR14**

Company / Close Corporation Particulars PRSIF01

Registered Name: Trading Name: Company / CC Reg No.: Financial Year End (CCYYMMDD): Is this return in respect of a branch / permanent establishment / agency of a foreign company? Y ☐ N ☐

Please indicate where the majority of the company's taxable income / loss is derived from (mark only one box): Eastern Cape ☐ Free State ☐ Gauteng ☐ KwaZulu Natal ☐ Limpopo ☐ Mpumalanga ☐ North West ☐ Northern Cape ☐ Western Cape ☐ International ☐

Source code of the main industry: State the profit code of your main source of income:

If the profit code is "other not specified", please provide a description:

Tax Practitioner Details (if applicable)

Registration No.: Tel No.: Mark here with an 'X' if you declare that you do not have an email address.

Tax Practitioner Email address:

Dormant Company Details DOCD01

What is the reason for dormancy? Is the company acting as, or carrying on the activities of, a nominee? Y ☐ N ☐ Is the company a party to any contract in terms of which it has undertaken to conduct any activity or hold any assets on behalf of another person during the current or a future year of assessment? Y ☐ N ☐

Voluntary Disclosure Programme VDPF01

If no VDP application was made, change your VDP answer to "No" on the first page of this return. Please indicate the VDP application no. issued by SARS:

Declaration DECIF01

I declare that:

- I am the duly appointed Public Officer / Representative of the company
- The information furnished in this return is to the best of my knowledge both true and correct.
- I have disclosed the gross amounts of all income received and / or accrued to this company during the period covered by this return.
- I have the necessary financial records and supporting schedules to support all declarations on this return which I will retain for audit purposes.

Date (CCYYMMDD): For enquiries go to www.sars.gov.za or call 0800 30 SARS (7277)

Please ensure you sign over the 2 lines of PIN above:

Note:

- The following read only fields will be pre-populated on the return:
 - Registered Name
 - Trading Name
 - Company / CC registration number
 - Financial year end (CCYYMMDD).
- Please complete the following fields:
 - Is this return in respect of a branch / permanent establishment / agency of a foreign company?
Select "Yes" or "No"
 - Please indicate where the majority of the company's taxable income / loss is derived from (mark only one box)
Select the relevant option from the following list:
 - Eastern Cape
 - Free State
 - Gauteng
 - KwaZulu Natal
 - Limpopo
 - Mpumalanga
 - North West
 - Northern Cape
 - Western Cape
 - International.
 - Source code of the main industry
A pop-up list with all the Standard Industry Codes (SIC) will be displayed on eFiling and when the agent captures the information in the SARS branch. For non-eFilers, the Company Representative / Public Officer completing the ITR14 manually, can access the Standard Industry Codes (SIC) booklet on www.statssa.gov.za
 - State the profit code of your main source of income

A pop-up list with all the main source of income codes will be displayed on eFiling. If the company is dormant this field will be pre-populated with code 9994 and locked. For non eFilers that are not dormant, the Company Representative / Public Officer completing the ITR14 manually, can access the main industry source code booklet on www.sars.gov.za

- **If the profit code is “other not specified”, please provide a description**
If the profit code of your main source of income ends with ‘98’, this is a mandatory free text field and the length is 56 blocks.

11.2.2 TAX PRACTITIONER DETAILS (if applicable)

Tax Practitioner Details (if applicable)																																																																																																			
Registration No.																Tel No.																Mark here with an 'X' if you declare that you do not have an email address.	☐																																																																		
Tax Practitioner Email address																																																																																																			

- **Registration No.**
Complete the tax practitioner’s registration number (alphanumeric field of 9 blocks).
- **Tel No.**
Complete the Telephone number (numeric field of 15 blocks)
- **Tax Practitioner Email address**
Complete the email address (free text field of 52 blocks)
- **Mark here with an “X” if you declare that you do not have an email address**
If you don’t have an email address, indicate this by selecting the field “Mark here with an ‘X’ if you declare that you do not have an email address”. The email address field will be locked and greyed out.

11.2.3 DECLARATION

Declaration																																																																						DECIF01									
I declare that: - I am the duly appointed Public Officer / Representative of the company - The information furnished in this return is to the best of my knowledge both true and correct - I have disclosed the gross amounts of all income received and / or accrued to this company during the period covered by this return - I have the necessary financial records and supporting schedules to support all declarations on this return which I will retain for audit purposes.																																																																															
Date (CCYYMMDD)																				For enquiries go to www.sars.gov.za or call 0800 00 SARS (7277)																																																											
XXXXXXXXXXXXXXXXXXXX XXXXXXXXXXXXXXXXXXXX Please ensure you sign over the 2 lines of X's above																																																																															

Note:

- Complete the date in the format (CCYYMMDD)
- The Company Representative / Public Officer’s login will serve as the authentication for the ITR14 submission on eFiling.
- The Public Officer / Representative must sign the signature pad when the ITR14 is submitted at a SARS branch.
- The ITR14 is a legal declaration to SARS and by signing you agree that the reconciled information is accurate.
- You are obliged to ensure that a full and accurate disclosure is made of all relevant information as required in the ITR14. Misrepresentation, neglect or omission to submit a declaration or supplying false information may result in prosecution.

11.2.4 VOLUNTARY DISCLOSURE PROGRAMME

This section will only display on the return if the question “Is this declaration or any part

thereof made in respect of a VDP agreement with SARS?" in the "Information to create this income tax return" page is "Yes"

Voluntary Disclosure Programme

VDPIF01

If no VDP application was made, change your VDP answer to "No" on the first page of this return

Please indicate the VDP application no. issued by SARS

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- **Please indicate the VDP application no. issued by SARS**
Complete the alphanumeric field of 10 blocks. The first three characters must start with "VDP". No spaces or dashes should be entered when completing the VDP Application No.

11.2.5 INTERNATIONAL

This section will only display on the return if the question "Did the company receive / earn any foreign income or incur any foreign expenditure or pay any royalties, interest, dividends or consulting fees to a non-resident?" in the "Information to create this income tax return" is "Yes"

International INTNA0 Does the company own any foreign assets or investments? Y ☐ N ☐ Did the company receive any income subject to foreign taxes paid / payable? Y ☐ N ☐ Is the company a founder / settler / beneficiary of a foreign trust? Y ☐ N ☐ Did the company make any donations to a foreign trust? Y ☐ N ☐ Foreign Exchange Gains / Losses Is the foreign exchange gain / loss incurred in respect of an exchange item where the counterparty is a connected person? Y ☐ N ☐ If Yes, was the foreign exchange gain / loss realised during this year of assessment? Y ☐ N ☐ Foreign Dividends Did the company receive any foreign dividends? Y ☐ N ☐ Has the company claimed an exemption for any foreign dividends as referred to in s10(1)(k)(i)(dd) or s10B (2)(a)? Y ☐ N ☐ Were any of the foreign dividends subject to the participation exemption? Y ☐ N ☐ Capital Gains Has the company claimed an exemption for any amounts relating to the disposal of equity shares in a foreign company, as contemplated in par 64B of the Eighth Schedule? Y ☐ N ☐ SA Withholding Tax Was any tax withheld in terms of royalties, interest, dividends or services / management fees? Y ☐ N ☐ If Yes, please specify the amount R <table border="1"><tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr></table> Was the amount of tax withheld by virtue of: Application of domestic law? Y ☐ N ☐ Application of a double taxation agreement? Y ☐ N ☐																					International (continued) INTNB01 Controlled Foreign Company Does the company together with any connected person in relation to the company hold more than 10% of the participation rights in any CFC? If Yes, complete the applicable schedule (IT10) (refer to guide). Y ☐ N ☐ Double Taxation Did the company earn any income from a foreign source that was exempt from tax in accordance with a double taxation agreement? Y ☐ N ☐

Note:

- All foreign dividends are taxable in the hands of South African residents unless one of the exemptions set out below applies. Amounts received by a resident from a source outside of South Africa could be subject to the provisions of a tax treaty.

- Section 10(1)(k)(ii) exempts foreign dividends received by or accruing to a person in any one of the following four situations:
 - “(aa) To the extent that the profits out of which the dividend has been declared have been taxed in South Africa or arose from dividends declared by a South African company to the company declaring the dividend.
 - (bb) If the dividend is declared by a foreign company which is listed both in South Africa and in a foreign country and more than 10% of the equity share capital is at the time of the declaration collectively held by the residents.
 - (cc) To the extent that the dividend does not exceed the profits that have been taxed in the shareholders hands in terms of s9D.
 - (dd) If the shareholder holds at least 20% of the foreign company's equity share capital and voting rights”.
- Section 10(1)(k)(ii) is deleted with effect from the following dates:
 - For natural persons, deceased and insolvent estates, and trusts – 1 March 2012
 - For other taxpayers (companies, etc) – 1 April 2012.
- Section 10B came into effect on the above dates and this section applies to foreign dividends as well as dividends from headquarter companies. It exempts certain dividends totally from tax and some dividends in part, so that a South African resident either pays no income tax on foreign dividends received (where the 10% participation exemption applies), or tax at a lesser rate. Residents will pay tax at an effective rate not exceeding 15%.
- Par 64B of the Eight Schedule disregards the capital gain or capital loss made by a South African resident on the disposal of an interest in the share capital of a foreign company if certain conditions are met. This is called the “participation exemption”. It also applies to the disposal of shares in a headquarter company.

Note: With effect from 1 January 2012 the definition of “foreign company” is removed from par 64B. The result is that the sale in a headquarter company will no longer be exempt in terms of this participation exemption if the sale is made by South African resident taxpayers.

- The capital gain or capital loss on the disposal of shares in a foreign company is disregarded if the person disposing of the asset held at least 10% of the equity shares and voting rights in that foreign company immediately before and for at least 18 months prior to the disposal; and
 - The disposal is to a non-resident (not being a controlled foreign company); or
 - The disposal is a deemed disposal as a result of the company ceasing to be a controlled foreign company or a person ceasing to be a resident; or
 - The disposal is to a controlled foreign company of that person, or a controlled foreign company that forms part of the same group of companies as the person.
- A headquarter company must disregard any capital gain or capital loss determined in respect of the disposal of any equity share in any foreign company (other than an interest contemplated in paragraph 2(2)) if that headquarter company (whether alone or together with any other person forming part of the same group of companies as that headquarter company) immediately before that disposal held at least 10% of the equity shares and voting rights in that foreign company.

Note: With effect from 1 April 2012 the words “at least 20%” are replaced with “at least 10%”. This means that the participation exemption is accessible to more South African shareholders of foreign companies.

- Select “**Yes**” or “**No**” for the following questions:
 - Does the company own any foreign assets or investments?
 - Did the company receive any income subject to foreign taxes paid / payable?
 - Is the company **a founder / settler / beneficiary of a foreign trust?**

- Did the company make any donations to a foreign trust?

11.2.6 FOREIGN EXCHANGE GAINS / LOSSES

Foreign Exchange Gains / Losses

Is the foreign exchange gain / loss incurred in respect of an exchange item where the counterparty is a connected person? Y ☐ N ☐

If Yes, was the foreign exchange gain / loss realised during this year of assessment? Y ☐ N ☐

Select "Yes" or "No" for the following question:

- Is the foreign exchange gain / loss incurred in respect of an exchange item where the counterparty is a connected person?
 - If "Yes" is selected, the following question must be completed with a "Yes" or "No":
 - If "Yes", was the foreign exchange gain / loss realised during this year of assessment?

11.2.7 FOREIGN DIVIDENDS

Foreign Dividends

Did the company receive any foreign dividends? Y ☐ N ☐

Has the company claimed an exemption for any foreign dividends as referred to in s10(1)(k)(ii)(dd) or s10B(2)(a)? Y ☐ N ☐

Were any of the foreign dividends subject to the participation exemption? Y ☐ N ☐

Select "Yes" or "No" for the following questions:

- Did the company receive any foreign dividends?
- Has the company claimed an exemption for any foreign dividends as referred to in s10(1)(k)(ii)(dd) or s10B(2)(a)?
- Where any of the foreign dividends subject to the participation exemption?

11.2.8 CAPITAL GAINS

Capital Gains

Has the company claimed an exemption for any amounts relating to the disposal of equity shares in a foreign company, as contemplated in par 64B of the Eighth Schedule? Y ☐ N ☐

Select "Yes" or "No" for the following question:

- Has the company claimed an exemption for any amounts relating to the disposal of equity shares in a foreign company, as contemplated in par 64B of the Eighth Schedule?

11.2.9 SA WITHHOLDING TAX

SA Withholding Tax

Was any tax withheld in terms of royalties, interest, dividends or services / management fees?

Y ☐ N ☐

If Yes, please specify the amount

R

Was the amount of tax withheld by virtue of:

Application of domestic law?

Y ☐ N ☐

Application of a double taxation agreement?

Y ☐ N ☐

Select “Yes” or “No” for the following questions

- **Was any tax withheld in terms of royalties, interest, dividends or services / management fees?**
If “Yes” is selected, the following question must be completed as a currency field (15 blocks):
 - If “Yes”, please specify the amount
- **Was the amount of tax withheld by virtue of:**
 - Application of domestic law?
 - Application of a double taxation agreement?

11.2.10 CONTROLLED FOREIGN COMPANY

Controlled Foreign Company

Does the company together with any connected person in relation to the company hold more than 10% of the participation rights in any CFC? If Yes, complete the applicable schedule (IT10) (refer to guide).

Y ☐ N ☐

Select “Yes” or “No” for the following question and if “Yes”, complete the relevant “schedule”
Does the company together with any connected person in relation to the company hold more than 10% of the participation rights in any CFC? If “Yes”, complete the applicable schedule (IT10A/B)

- A Controlled Foreign Company should complete the applicable IT10A/B Controlled Foreign Company CFC return available on www.sars.gov.za.

11.2.11 DOUBLE TAXATION

Double Taxation

Did the company earn any income from a foreign source that was exempt from tax in accordance with a double taxation agreement?

Y ☐ N ☐

Select “Yes” or “No” for the following question:

- **Did the company earn any income from a foreign source that was exempt from tax in accordance with a double taxation agreement?**

11.2.12 REPORTABLE ARRANGEMENT

This section will only display on the return if the question “**Did the company enter into any reportable arrangement in terms of s34 – 39 of the Tax Administration Act or s80M-s80T of the Income Tax Act?**” in the “*Information to create this income tax return*” page is “Yes”

Reportable Arrangement												RPTAA01			
Specify the reportable arrangement number:															
Is the company party to any arrangements which has the following features:															
Round trip financing (s80D)?												Y	☐	N	☐
Elements that have the effect of offsetting or cancelling each other?												Y	☐	N	☐
Presence of an accommodating or tax-indifferent party (s80E)?												Y	☐	N	☐

Note:

- The list of reportable arrangements has been significantly extended. Arrangements that constitute or would have constituted hybrid debt instruments (s8F) or hybrid equity instruments (s8E) remain reportable arrangements, but the prescribed period for determining this has been extended to ten years. Arrangements where the calculation of interest, finance costs, fees or other charges is wholly or partly dependent on the tax treatment of the arrangement also remain reportable arrangements. However, the requirement that provision be made for the variation thereof has been removed.
- Arrangements will constitute reportable arrangements if any tax benefit is derived by virtue of the arrangement and should the arrangement contain any of the following characteristics:
 - The quantification of any finance costs or other charges are partially or fully dependent on the tax benefits derived by the arrangement
 - The transaction results in round tripping of funds (a defined term), involving an accommodating or tax indifferent party (a defined term) or contains elements that have the effect of offsetting or cancelling each other
 - The transaction gives rise to a liability for generally accepted accounting purposes, but not for income tax purposes
 - The transaction does not result in a reasonable expectation of a pre-tax profit for any participant
 - The present value of the tax benefit exceeds the present value of the non-tax benefits derived by the participants.
- **Specify the reportable arrangement number:**
This alphanumeric field of length 12 will be repeated based on the numeric value entered in the field “Specify the number of reportable arrangements” in the “*Information to create this Income Tax Return*” page. Each field is mandatory for completion.
- In each of the following questions a “Yes” or “No” must be completed
Is the company party to any arrangements which have the following features?
 - **Round trip financing (s80D)?**
 - **Elements that have the effect of offsetting or cancelling each other?**
 - **Presence of an accommodating or tax-indifferent party (s80E)?**

11.2.13 DIVIDENDS DECLARED

This section will only display on the return if the question “**Were any dividends declared during the year of assessment?**” in the “*Information to create this income tax return*” is “Yes”

Dividends Declared

DIDEA01 ■

Specify the total dividends declared consisting of the following:

Total dividends subject to STC (Before 1 April 2012)

R

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Total dividends subject to dividends tax (From 1 April 2012)

R

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Total dividends exempt from dividends tax

R

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Total dividends subject to double taxation relief

R

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

Total dividends in specie declared

R

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Note:

- Dividends tax replaced Secondary Tax on Companies (STC) on 01 April 2012. The final dividend cycle for all companies ended on 31 March 2012, and any STC credit remaining at the end of the final cycle may be carried forward until 31 March 2015 to be utilised against the dividends tax liability.
- Dividends tax operates from the principle that the liability for dividends tax is triggered by the payment of the dividend and the tax liability on cash dividends falls on the recipient (i.e. beneficial owner) of the dividend. However, dividends tax is administered on the basis of withholding the applicable tax from the cash dividend payment by either the company declaring the dividend or, where relevant, regulated intermediaries.
- All currency fields (15 blocks) listed below must be completed. If a specific field is not applicable to the company, a zero (0) must be completed for the field.

Specify the total dividends declared consisting of the following:

- **Total dividends subject to STC (Dividends declared before 1 April 2012)**
- **Total dividends subject to dividends tax (Dividends declared and paid on or after 1 April 2012)**
- **Total dividends exempt from dividends tax**
- **Total dividends subject to double taxation relief**
- **Total dividends in specie declared.**

11.2.14 STC CREDITS

STC Credits

STCCT01 ☐

Were any STC credits (s64J) utilised against the total dividends declared? Y ☐ N ☐

If Yes, specify the following:

STC credits opening balance

R

Plus: STC credits received

R

Less: STC credits utilised

R

STC credits closing balance

R

Note:

- The dividends tax provisions allow a company which has STC credits to apply such credits to dividends declared and paid by it on or after 1 April 2012. To the extent that certain requirements are met, dividends to which STC credits are applied will not be subject to dividends tax.
- In order for a company to apply any STC credits which it may have to dividends declared and paid by it, the balance of STC credits will firstly need to be quantified. The STC credit of a company is reduced by the dividends declared and paid by the company to the extent that the dividends are paid by the company on or after 1 April 2012.
- In applying the STC credits which a company has, section 64J states that a dividend paid by a company will not be subject to dividends tax to the extent that:
 - The dividend does not exceed the STC credit of the company
 - The company has by the date of payment notified the person to whom the dividend is paid of the amount by which the dividend reduces the STC credit of the company.
- **Select “Yes” or “No” for the following question:**
Were any STC credits (s64J) utilised against the total dividends declared and paid?
 If “Yes” was selected, all currency fields (15 blocks) listed below must be completed. If a specific field is not applicable to the company, a zero (0) must be completed for the field:
 - STC Credits opening balance
 - Plus: STC credits received
 - Less: STC credits utilised
 - STC credits closing balance.

11.2.15 NON-RESIDENCY

This section will only display on the return if the question “**Is the company resident in South Africa for income tax purposes?**” in the “*Information to create this income tax return*” is “No”

Non-Residency

NRSYA01 ■

Is the company resident outside South Africa due to:

Foreign incorporation (and not being effectively managed in SA)? Y ☐ N ☐

By virtue of a treaty to avoid double taxation? Y ☐ N ☐

Note:

- A company will be a non-resident if it is not incorporated, established or formed in South Africa and does not have its place of effective management in South Africa. The place of effective management in the case of a company is the place where it is managed on a regular or day-to-day basis by the directors or senior managers of the company, irrespective of where the overriding control is exercised, or where the board of directors meets.
- Management by these directors or senior managers refers to the execution and implementation of policy and strategy decisions made by the board of directors. It can also be referred to as the place of implementation of the entity’s overall group vision and objectives.
- **Is the company resident outside South Africa due to:**
 - Foreign incorporation (and not being effectively managed in SA)?
 - By virtue of a treaty to avoid double taxation?

11.2.16 HEADQUARTER COMPANY SYSTEM

This section of the return will only display if the question “**Does the company elect to be a headquarter company in terms of s9I?**” in the “*Information to create this income tax return*” is “Yes”

Headquarter Company System

HQCIF01 ■

Note:

As the company is a headquarter company in terms of s9I, please complete the applicable schedule (refer to guide).

Does the company comply with the requirement that each of its shareholders (alone or together with any other company that forms part of the same group of companies as the shareholders) holds at least 10% of the equity shares and voting rights in the company throughout the year of assessment and all previous years of assessment? Y ☐ N ☐

Does the company comply with the requirement that at least 80% of the cost of its total assets (excluding cash and bank deposits payable on demand) is attributable to assets as listed in s9I(2)(b)? Y ☐ N ☐

Does the company comply with the requirement that where its gross income (excluding exchange differences determined in terms of s24I) exceeds R5 million, at least 50% of that gross income consists of amounts described in s9I(2)(c)? Y ☐ N ☐

Note:

HEADQUARTER COMPANY SYSTEM

This section of the return will only display if the question “**Does the company elect to be a headquarter company in terms of s9I?**” in the “*Information to create this income tax return*” is “Yes”

Note:

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ITR14 RETURN FOR COMPANIES

IT-GEN-G01

- The Headquarter Company (HQ) regime in terms of S9I of the Income Tax Act is intended to provide tax rules that promote South Africa ("SA") as the regional financial hub for Africa. Consequently, the purpose of HQ Company tax regime is to ensure that the existing tax system does not hinder the use of South Africa by foreign multinationals as the regional economic hub for investments into Africa.
- The current tax benefits enjoyed by HQ Companies include the following:
 - Dividends paid by HQ Companies not being subject to dividends tax
 - Exemption from normal tax on dividends received or accrued from a HQ Company
 - The attribution rules under the provisions of section 9D not applying to a HQ Company
 - The transfer pricing and thin capitalisation rules being relaxed on financial assistance provided by and to a HQ Company and on back to back licensing of intellectual property through the use of a HQ Company. This result in net losses incurred on interest and royalties being ring-fenced
 - Exemption from withholding tax on royalties in respect of royalties paid by a HQ Company to a foreign person under specified circumstances
 - Exemption from withholding tax on interest in respect of interest paid by a HQ Company to a foreign person in specified circumstances.
- In order to qualify as a HQ Company, a resident company must meet all of the following criteria as set out in Section 9I of the Act:
 - Each holder of shares in the HQ company (whether alone or together with any other company forming part of the same group of companies as that holder) must hold at least 10% of the HQ Company's equity shares and voting rights. This requirement need not be complied with during any period during a year of assessment before the HQ Company commenced the carrying on of a trade
 - The HQ Company's asset cost base must comprise at least 80% in foreign companies in which it holds (whether alone or together with a company forming part of the same group of companies as the HQ Company) at least 10% of the equity shares and voting rights (that is, any interest in equity shares, debt and intellectual property). This requirement need not be met in a year of assessment that the HQ Company did not at any time during that year of assessment own assets with a total market value not exceeding R50 000
 - If the income of the HQ exceeds R5 million per annum, at least 50% of the HQ Company's gross income (excluding certain exchange differences) must be derived from the aforementioned asset base.
- The 10% holder of shares test in a HQ Company must be satisfied for the relevant year of assessment that it elects to be a HQ Company. The 80% asset test must be satisfied for the relevant year of assessment, as well as all prior years of assessment in which that company existed, that is, "the always qualification rule". In contrast, the 50% gross income test needs to be satisfied only in respect of the relevant year of assessment. In addition the HQ Company must file an annual election to become (and remain) a HQ company.
- A company that elects to be a Headquarter Company must complete the RCH01 Schedule for companies electing to be a Headquarter Company available on www.sars.gov.za. The completed RCH01 and all relevant material requested in the RCH01 must be attached as relevant material to the ITR14.
- Select **"Yes"** or **"No"** for the following questions

- Does the company comply with the requirement that each of its holders of shares (alone or together with any other company that forms part of the same group of companies as the holders of shares) holds at least 10% of the equity shares and voting rights in the company throughout the year of assessment?
- Does the company comply with the requirements that at least 80% of the cost of its total assets (excluding cash and bank deposits payable on demand) is attributable to assets as listed in s9l(2)(b)?
- Does the company comply with the requirements that where its gross income (excluding exchange differences determined in terms of s24l) exceeds R5 million, at least 50% of that gross income consists of amounts described in s9l(2)(c)?

11.2.17 PERSONAL SERVICE PROVIDER

This section of the return will only display if the question “Is the company a Personal Service Provider as defined in the Fourth Schedule?” in the “Information to create this income tax return” is “Yes”

Personal Service Provider	PESPA01 ■
Was any service rendered on behalf of the company rendered by a connected person in relation to the company?	Y ☐ N ☐
How many full-time employees are on a full-time basis engaged in rendering any service of the company, excluding those who are shareholders or members or are connected to such shareholder or member?	
Would the person who is personally rendering the service have been regarded as an employee of the client if the service was rendered directly to the client and not through the company?	Y ☐ N ☐
Must the person who is rendering the service, perform the duties mainly at the premises of the client, and if so, is that person subject to the control or supervision of the client as to the manner in which the duties are performed or are to be performed?	Y ☐ N ☐
Does more than 80% of the income from services rendered by the company consist of or is likely to consist of amounts directly or indirectly received from any one client, or from any associated institution in relation to the client?	Y ☐ N ☐
Were the necessary adjustments made in respect of expenses not allowable in terms of s23(k)?	Y ☐ N ☐

Note:

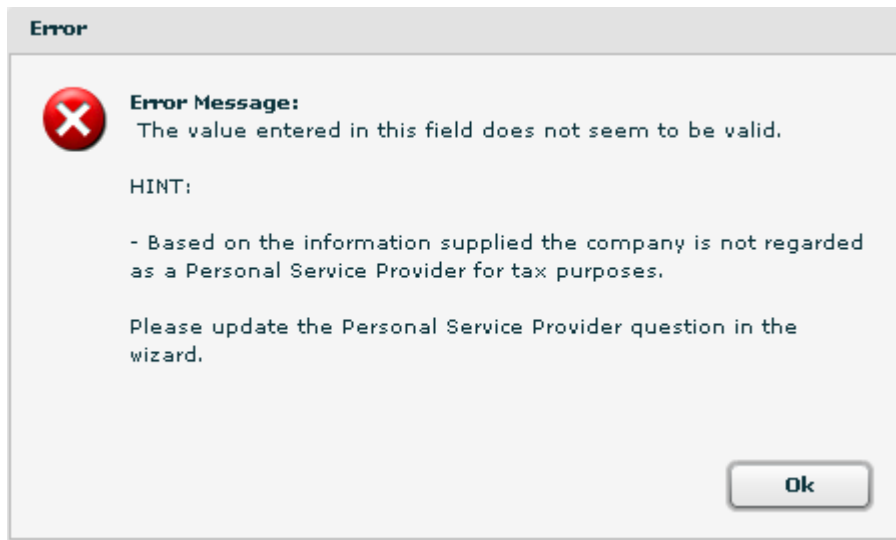
- A Personal Service Provider is any company or trust where services are rendered on behalf of such company or trust to a client of a company or trust is rendered personally by any connected person (usually the shareholder, a relative of the shareholder or beneficiary in the case of a trust) as defined in s1 of the Income Tax Act in relation to such company and:
 - The person rendering the service would be regarded as an employee of the client, had such service been performed directly to the client; or
 - The person or company or trust rendering the service is subject to the control and supervision of the client as to the manner in which the duties are performed in rendering such service and must be mainly performed at the premises of the client; or
 - More than 80% of the income of the company or trust is directly or indirectly derived during the tax year from one client of the company or trust or any associated institution as defined in the Seventh Schedule of the Income Tax Act; or
 - If the company or trust throughout the year of assessment employs three or more full-time employees who are on a full-time basis engaged in the business of such company of rendering any such service, other than any employee who is

a shareholder or member of the company or is a connected person in relation to such person will not be regarded as a personal service provider.

- S23(k) is applicable to a Personal Service Provider and prohibits a deduction of the following expenses incurred:
 - Legal expenses
 - Bad debts
 - Employers contribution to pension funds, provident funds or benefit funds
 - Refunds of any amount, including voluntary awards, that are received or accrued for services rendered or to be rendered or any amount received or accrued for or by virtue of any employment or the holding of any office as was included in the taxable income of that person
 - Refunds of restraint of trade payments
 - Expenses in respect of premises
 - Expenses for premises, finance charges, insurance, repairs and fuel and maintenance cost for assets where the premises or assets are used wholly or exclusively for the purposes of trade.
- **Was any service rendered on behalf of the company rendered by a connected person in relation to the company?**
“Yes” or “No” must be selected. If “No” is selected, the company will not be regarded as a Personal Service Provider and the below error message will be displayed. If “Yes” is selected, complete the next question.
- **How many full-time employees are on a full-time basis engaged in rendering any service of the company, excluding those who are shareholders or members or are connected to such shareholder or member?**
 - If this value is greater than two, the company will not be regarded as a Personal Service Provider and the below error message will be displayed. If this value is not in excess of two, complete the next question.

Note: For all the questions below “Yes” or “No” must be selected. If any of the following three questions is “No”, the company will not be regarded as a Personal Service Provider and the below error message will be displayed.

- **Would the person who is personally rendering the service have been regarded as an employee of the client if the service was rendered directly to the client and not through the company?**
- **Must the person who is rendering the service, perform the duties mainly at premises of the client, and if so, is that person subject to the control or supervision of the client as to the manner in which the duties are performed or are to be performed?**
- **Does more than 80% of the income from services rendered by the company consist of or is likely to consist of amounts directly or indirectly received from any one client or from any associated institution in relation to the client”?**



- **Were the necessary adjustments made in respect of expenses not allowable in terms of s23(k)?**
A “Yes” or “No” must be selected.

11.2.18 ADDITIONAL ASSESSMENT INFORMATION

Additional Assessment Information		OTHGA01	■		
Do you give consent that SARS can provide the attached financial statements to the Companies and Intellectual Property Commission (CIPC)?		Y	☐	N	☐
Have the financial statements been audited / reviewed?		Y	☐	N	☐
If Yes, provide the name of the firm that conducted the audit					
Have the financial statements been qualified?		Y	☐	N	☐
If Yes, does this have any tax effects?		Y	☐	N	☐
Did the company generate a capital gain / loss or revenue gain / loss in respect of the early termination of a foreign instrument?		Y	☐	N	☐
Did the company prematurely terminate / unwind a hedge position where the tax value differs in relation to the economic value?		Y	☐	N	☐
Is the company a beneficiary of a trust?		Y	☐	N	☐
If Yes, how many trusts?					
Is the company a Real Estate Investment Trust?		Y	☐	N	☐

- ### 11.2.19 SMALL BUSINESS CORPORATION

Small Business Corporation

[illegible]

Y ☐ N ☐

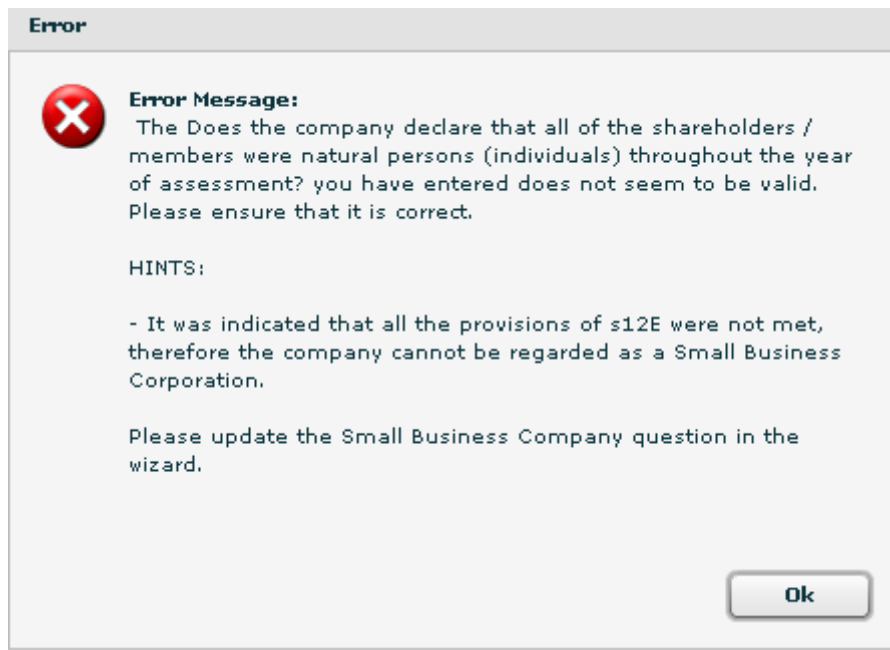
Y ☐ N ☐

Y ☐ N ☐

Y ☐ N ☐

- The taxpayer is incorporated within South Africa and is trading as either a close corporation, co-operative or private company
- All the holders of the shares in the company, close corporation or co-operative are, at all times, must be natural persons
- The gross income of the company, close corporation or co-operative does not exceed R20 million during the year of assessment
- The personal service income and investment income, collectively, does not exceed 20% of the total receipts and accruals (excluding capital receipts but including capital gains)
- The company is not a personal service provider.

- **State the gross income, as defined in s1 of the Income Tax Act, of the company**
 - Complete the currency field (15 blocks)
 - For Financial Year End prior to 20130430, the gross income should not be in excess of R14 million - if it is in excess of R14 million the business will not qualify as a Small Business Corporation
 - For Financial Year End on or after 20130430, the gross income should not be in excess of R20 million - if it is in excess of R20 million the business will not qualify as a Small Business Corporation.
- Complete the following lists of questions as “Yes” or “No”. If any of the following questions are “No”, the company will not be regarded as a small business corporation and the error message below will be displayed.
 - **Does the company declare that not more than 20% of the total of all receipts and accruals (other than of a capital nature) and all capital gains of the company consists collectively of investment income and income from rendering a personal service?**
 - **Does the company declare that the company is not a Personal Service Provider as defined in the Fourth Schedule?**
 - **Does the company declare that all of the shareholders / members were natural persons (individuals) throughout the year of assessment?**
 - **Does the company declare that none of the shareholders / members of the company held shares / interests in another close corporation, company or co-operative other than those specified in s12(E)(4)(a)(ii)?**



11.2.20 CONTRIBUTED TAX CAPITAL

This section of the return will only display if the question “**How many different classes of shares have been issued by the company?**” in the “*Information to create this income tax return*” is “Yes”

Contributed Tax Capital

CCTIF01 ■

Description of class of shares

Amount of contributed tax capital:

(a) Immediately before 1 January 2011; or

R																	
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(b) Where the company became a resident since 1 January 2011

R																	
---	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

Add: Consideration received or accrued for the issue of shares by the company

R																	
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Deduct: Amounts transferred to holders of shares

R																	
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Deduct: Reduction as a result of the application of s42

R																	
---	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

Deduct: Reduction as a result of the application of s44

R																	
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Deduct: Reduction as a result of the application of s46

R																	
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Balance of contributed tax capital at the end of the year of assessment

R																	
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Note:

- Companies must have a Contributed Tax Capital (CTC) register in place for each class of share, which reflects its CTC balance as at 1 January 2011. CTC consists of a company's pure share capital and share premium. This excludes any capitalised reserves as at 1 January 2011, but includes any consideration received after that date for the issue of shares, reduced by any subsequent distribution of CTC.
- Your company's CTC opening balance as at 1 January 2011 must have been calculated as follows:
 - The value of your company's share capital and share premium prior to 1 January 2011
 - The above result must have been reduced by so much of the share capital and share premium as would have constituted a dividend (as defined before 1 Jan 2011), had that share capital been distributed immediately before that date.
- The definition (applicable from 1 January 2011) of a dividend is linked to the CTC concept. If a company is distributing an amount to shareholders, an important question is whether the amount is a dividend or a reduction of CTC. A reduction of CTC will not constitute a dividend.
- In terms of the definition any buy-back of shares or distribution by a company will constitute a dividend unless the amount transferred:
 - Reduces the CTC
 - Constitutes shares in that company
 - Is a buy-back of listed shares
 - Constitutes a redemption in an interest of certain off-shore investment schemes

- **Description of class of shares**
 - Complete the description of class of shares in the 3 rows of 17 blocks each provided.
 - For Close Corporations, the definition of a “share” (any unit into which the proprietary interest in the company is divided) according to the Companies Act includes the members’ interests in a close corporation. Members’ interest therefore must be regarded as a class of share.
The distinction between different types of shares (e.g. ordinary, preference, redeemable etc.) must be declared separately. Furthermore, if the company has only issued one class of ordinary shares (for example) then a general description would be in order. However, if classes A, B and N ordinary shares have been issued then each class of ordinary share must be specified separately i.e. if there are shares with different rights for the different shareholders they must be declared separately.
- Complete the following currency fields (15 blocks) in Rands (No cents):
 - Amount of contributed tax capital:
 - (a) Immediately before 1 January 2011; or
 - (b) Where the company became a resident since 1 January 2011
 - Add: Consideration received of accrued for the issue of shares by the company
 - Deduct: Amounts transferred to holders of shares
 - Deduct: Reduction as a result of the application of s42
 - Deduct: Reduction as a result of the application of s44
 - Deduct: Reduction as a result of the application of s 46
- **Balance of contributed tax capital at the end of the year of assessment:** This field will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. The balance can never be a negative value.

11.2.21 URBAN DEVELOPMENT ZONE (s13quat)

This section of the return will only display if the question “**Did the company qualify for an Urban Development Zone deduction (s13quat)?**” in the “*Information to create this income tax return*” is “Yes”

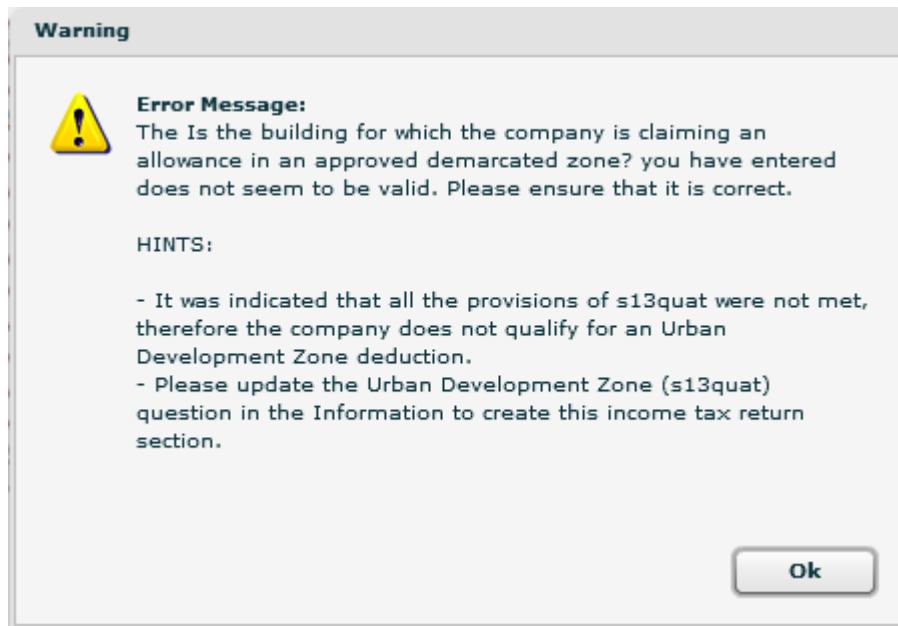
Urban Development Zone (s13quat)		URDEA01	☐
Is the building for which the company is claiming an allowance in an approved demarcated zone?	Y ☐	N ☐	
Did the company receive a certificate issued by the municipality confirming that the building for which the company is claiming an allowance is in an urban development zone?	Y ☐	N ☐	
Did the company erect, extend, add to or improve the building for which the company is claiming an allowance with the sole purpose of disposing thereof directly on completion?	Y ☐	N ☐	
If No, state the total amount incurred for the erection, extension, addition or improvement of the building			
R			
Did the company purchase the building or part thereof from a developer?	Y ☐	N ☐	
If Yes, state the purchase price of the building or part thereof			
R			
State the amount of the purchase price deemed to be cost incurred by the company in terms of s13quat(3B)			
R			
Did the company use the building erected, extended, improved or added on to solely for the trade of the company during the year of assessment?	Y ☐	N ☐	
Did the company incur costs for the erection, extension or addition relating to low cost housing (s13quat(3A))?	Y ☐	N ☐	

Note:

- A deduction in respect of the Urban Development Zone (UDZ) allowance will be allowed in the determination of the taxable income of a person that constructed, improved or purchased a building from a developer, provided all the requirements are complied with. When claimed, the tax incentive reduces the taxable income. The incentive is not limited to the taxable income and can create an assessed loss. This allowance (the UDZ allowance) is applicable in respect of the:
 - Erection, extension or improvement of or addition to an entire building
 - Erection, extension, improvement or addition of part of a building representing a floor area of at least 1 000 m²
 - Purchase of such a building or part of a building directly from a developer on or after 8 November 2005, provided that certain requirements are met.
- A person will only qualify for the UDZ allowance in respect of a building or part of the building constructed, improved or purchased directly from a developer within an urban development zone (UDZ), if the building or that part of the building is used solely for the purposes of that person's trade and was brought into use for these purposes on or before 31 March 2020. For more information on the "UDZ refer to the Guide to the Urban Development Zone (UDZ) Tax Incentive (Issue 4)" available on SARS website www.sars.gov.za.

The following questions must be completed with a "Yes" or "No":

- **Is the building for which the company is claiming an allowance in an approved demarcated zone?**
 - If "No" is selected, the error message below will tell you that an UDZ allowance cannot be claimed.
- **Did the company receive a certificate issued by the municipality confirming that the building for which the company is claiming an allowance is in an urban development zone?**
 - If "No" is selected, the error message below will tell you that an UDZ allowance cannot be claimed.
- **Did the company erect, extend, add or improve the building for which the company is claiming an allowance with the sole purpose of disposing thereof directly on completion?**
 - If "Yes" is selected, the error message below will tell you that an UDZ allowance cannot be claimed
 - If "No" is selected, the following currency field (15 blocks) must be completed in Rands (No Cents)
 - If No, state the total amount incurred for the erection, extension, addition or improvement of the building.
- **Did the company purchase the building or part thereof from a developer?**
 - If "Yes" is selected, the following currency field (15 blocks) must be completed in Rands (No Cents):
 - If Yes, state the purchase price of the building or part thereof
 - State the amount of the purchase price deemed to be cost incurred by the company in terms of s13quat(3B)
- **Did the company use the building erected, extended, improved or added on to in use solely for the trade of the company during the year of assessment?**
 - If "No" is selected, the error message below will tell you that an UDZ allowance cannot be claimed.
- **Did the company incur costs for the erection, extension or addition relating to low cost housing (s13quat(3A))?**



11.2.22 SHARES

Shares		COSHR01
Was there any change in shareholder's interest during the year of assessment (excluding listed companies)?	Y ☐	N ☐
Did the company convert par value shares to no par value shares during the year of assessment?	Y ☐	N ☐
If Yes, specify the value		
R		

The following questions must be completed with a "Yes" or "No":

- **Was there any change in shareholder's interest during the year of assessment (excluding listed companies)?**
- **Did the company convert par value shares to no par value shares during the year of assessment?**
 - ◻ If "Yes" is selected, the following currency field (15 blocks) must be completed in Rands (No Cents):
 - **If "Yes", specify the value**

11.2.23 COMPANY STRUCTURE

This section of the return will only display if the question "**Is the company a subsidiary of a group of companies as defined in s1?**" in the *"Information to create this income tax return"* is "Yes"

Company Structure

COMST01

Specify the name of the ultimate holding company

Is the ultimate holding company resident outside South Africa?

Y ☐ N ☐

If Yes, specify the tax residency country code of the ultimate holding company

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If No, specify the income tax reference number of the ultimate holding company

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Is the company a partner in an unincorporated joint venture?

Y ☐ N ☐

Is the company part of a group of companies with a group consolidated turnover greater than R1 billion or is the company a financial services, mining or multinational enterprise?

Y ☐ N ☐

- Specify **the name of the ultimate holding company**: Complete the free text field (maximum length 3 rows of 17 blocks)
- Is **the ultimate holding company resident outside South Africa**? Specify “Yes” or “No”.
 - **If Yes, specify the tax residency country code of the ultimate holding company**: If the user clicks on this field, a popup is displayed which contains a list box containing a list of valid country names. The popup also contains two buttons: “Ok” and “Cancel”. Alternatively refer to *Annexure F* for a list of all the valid country names.
 - If “No” is selected, complete the following field:
 - **If No, specify the income tax reference number of the ultimate holding company**: Enter the income tax number
- Select “Yes” or “No” to the following questions:
 - **Is the company a partner in an unincorporated joint venture?**
 - **Is the company part of a group of companies with a group consolidated turnover greater than R1 billion or is the company a financial services, mining or multinational enterprise?**

11.2.24 BALANCE SHEET

- The figures to be used for completion are the figures reflected in the annual financial statements of the Company (not the group or consolidated annual financial statements).
- All fields listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.

Balance Sheet	
Non-current Assets	
Fixed property	R
Fixed assets (plant and equipment)	R
Fixed assets - other	R
Goodwill and intellectual property	R
Investments in subsidiaries	R
Long-term loans - interest free: Connected (Local)	R
Long-term loans - interest free: Non-Connected (Local)	R
Long-term loans - interest free: Connected (Foreign)	R
Long-term loans - interest free: Non-Connected (Foreign)	R
Long-term loans - interest bearing: Connected (Local)	R
Long-term loans - interest bearing: Non-Connected (Local)	R
Long-term loans - interest bearing: Connected (Foreign)	R
Long-term loans - interest bearing: Non-Connected (Foreign)	R

Balance Sheet (Continued)	
Non-current Assets (Continued)	
Long-term loans - interest bearing: Non-Connected (Foreign)	R
Deferred tax assets	R
Other non-current assets	R
Please provide descriptions relating to other non-current assets listed above	
Total non-current assets	R
Current Assets	
Gross inventory (incl. spare parts and consumables and work in progress)	R
Less: Provisions for inventory write off	R
Gross trade and other receivables (excl. debtors)	R
Less: Provisions for trade and other receivables (excl. debtors)	R
Gross debtors (excl. trade debtors)	R

Balance Sheet (Continued)	
Current Assets (Continued)	
Less: Provisions for debtors (excl. trade debtors)	R
Prepayments	R
Group companies current accounts	R
Short-term investments	R
SA Revenue Service	R
Cash and cash equivalents	R
Other current assets	R
Please provide descriptions relating to other current assets listed above	
Total current assets	R
Capital and Reserves	
Credit Balances	
Share capital	R
Share premium	R

Balance Sheet (Continued)	
Capital and Reserves (Continued)	
Non-distributable reserves for credit balances	R
Distributable reserves (excl. retained profit / accumulated loss)	R
Retained profit	R
Other capital and reserves	R
Please provide descriptions relating to other capital and reserves (credit balances) listed above	
Debit Balances	
Accumulated loss	R
Other capital and reserves for debit balances	R
Please provide descriptions relating to other capital and reserves (debit balances) listed above	
Total Capital and Reserves	R

Balance Sheet (Continued)	
Non-current Liabilities	
Long-term loans - interest free: Connected (Local)	R
Long-term loans - interest free: Non-Connected (Local)	R
Long-term loans - interest free: Connected (Foreign)	R
Long-term loans - interest free: Non-Connected (Foreign)	R
Long-term loans - interest bearing: Connected (Local)	R
Long-term loans - interest bearing: Non-Connected (Local)	R
Long-term loans - interest bearing: Connected (Foreign)	R
Long-term loans - interest bearing: Non-Connected (Foreign)	R
Deferred tax liability	R
Other non-current liabilities	R
Please provide descriptions relating to other non-current liabilities listed above	
Total Non-current Liabilities	R

Balance Sheet (Continued)	
Current Liabilities	
Gross trade and other payables (Not older than 3 years)	R
Gross trade and other payables (Older than 3 years)	R
Provisions - excluding inventory and trade receivables	R
Deposits and funds received in advance (excl. contract progress payments)	R
Group companies current accounts	R
Contract progress payments received in advance	R
Current portion of interest bearing borrowings	R
Current portion of interest free borrowings	R
Overdraft and interest bearing short-term borrowings	R
SA Revenue Service	R
Shareholders for dividend / proposed dividend	R

Balance Sheet (Continued)	
Current Liabilities (Continued)	
Other current liabilities	R
Please provide descriptions relating to other current liabilities listed above	
Total Current Liabilities	R

Non-current assets

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Fixed property

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- Fixed assets (plant and equipment)
 - Fixed assets - other
 - Goodwill and intellectual property
 - Investments in subsidiaries
 - Long-term loans – interest free: Connected (Local)
 - Long-term loans – interest free: Non-Connected (Local)
 - Long-term loans – interest free: Connected (Foreign)
 - Long-term loans – interest free: Non-Connected (Foreign)
 - Long-term loans – interest bearing: Connected (Local)
 - Long-term loans – interest bearing: Non-Connected (Local)
 - Long-term loans – interest bearing: Connected (Foreign)
 - Long-term loans – interest bearing: Non-Connected (Foreign)
 - Deferred tax assets
 - Other non-current assets.
- **Please provide descriptions relating to other non-current assets listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “*Other non-current assets*”. The maximum length is 3 rows of 17 blocks
- **Total non-current assets:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Current Assets

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Gross inventory (incl. spare parts and consumables and work in progress)
 - Less: Provisions for inventory write off
 - Gross trade and other receivables (excl. debtors)
 - Less: Provisions for trade and other receivables (excl. debtors)
 - Gross debtors (excl. trade debtors)
 - Less: Provisions for debtors (excl. trade debtors)
 - Prepayments
 - Group companies current accounts
 - Short-term investments
 - SA Revenue Service
 - Cash and cash equivalents
 - Other current assets.
- **Please provide descriptions relating to other current assets listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “*Other current assets*”. The maximum length is 3 rows of 17 blocks
- **Total current assets:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Capital and Reserves

Credit balances

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Share capital
 - Share premium
 - Non-distributable reserves for credit balances
 - Distributable reserves (excl. retained profit / accumulated loss)
 - Retained profit
 - Other capital and reserves.

- Please provide descriptions relating to other capital and reserves (credit balances) listed above: Free text field – The maximum length is 3 rows of 17 blocks
- **Please provide descriptions relating to other capital and reserves (credit balances) listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “*Other capital and reserves*”. The maximum length is 3 rows of 17 blocks.

Debit balances

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Accumulated loss
 - Other capital and reserves for debit balances.
- **Please provide descriptions relating to other capital and reserves (debit balances) listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “*Other capital and reserves for debit balances*”. The maximum length is 3 rows of 17 blocks.
- **Total Capital and Reserves:** This field will automatically be calculated on eFiling or for non-eFilers, when the SARS agent captures the return in the branch.

Non-Current Liabilities

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Long-term loans – interest free: Connected (Local)
 - Long-term loans – interest free: Non-Connected (Local)
 - Long-term loans – interest free: Connected (Foreign)
 - Long-term loans – interest free: Non-Connected (Foreign)
 - Long-term loans – interest bearing: Connected (Local)
 - Long-term loans – interest bearing: Non-Connected (Local)
 - Long-term loans – interest bearing: Connected (Foreign)
 - Long-term loans – interest bearing: Non-Connected (Foreign)
 - Deferred tax liability
 - Other non-current liabilities.
- **Please provide descriptions relating to other non-current liabilities listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “*Other non-current liabilities*”. The maximum length is 3 rows of 17 blocks.
- **Total non-current liabilities:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Current Liabilities

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Gross trade and other payables (Not older than 3 years)
 - Gross trade and other payables (Older than 3 years)
 - Provisions – excluding inventory and trade receivables
 - Deposits and funds received in advance (excl. contract progress payments)
 - Group companies current accounts
 - Contract progress payments received in advance
 - Current portion of interest bearing borrowings
 - Current portion of interest free borrowings
 - Overdraft and interest bearing short-term borrowings

- SA Revenue Service
- Shareholders for dividend / proposed dividend
- Other current liabilities.

- **Please provide descriptions relating to other current liabilities listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “Other current liabilities”. The maximum length is 3 rows of 17 blocks.
- **Total current liabilities:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

11.2.25 INCOME STATEMENT

- The figures to be used are the figures reflected in the annual financial statement of the Company (not the group or consolidated annual financial statements).
- When completing the Gross Profit / Loss part of the return, the normal accounting meaning attached to the terms reflected in the tax return must be followed. In the event that a company does not have any cost of sales, for example a property rental company, the turnover and gross profit will be the same amount.
- All fields listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.

Income Statement	Income Statement (Continued) ISMLA01
Gross Profit / Loss	Income Items (Only credit amounts)
Gross Sales (excl. credit notes) – Foreign: Connected	Admin., management, secretarial, rentals, guarantee fees and other services – Connected (Local)
R	R
Gross Sales (excl. credit notes) – Other than foreign connected	Admin., management, secretarial, rentals, guarantee fees and other services – Connected (Foreign)
R	R
Less: Opening stock	Admin., management, secretarial, rentals, guarantee fees and other services – Non-connected
R	R
Less: Credit notes on sales	Bad and doubtful debts recovered
R	R
Less: Purchases – Foreign: Connected (excl. rebates)	Dividends – local
R	R
Less: Purchases – Other than foreign connected (excl. rebates)	Dividends – foreign
R	R
Add: Rebates	REIT dividends received
R	R
Add: Closing stock (Gross excl. adjustments)	Foreign exchange gain
R	R
Add: Inventory adjustments (Previous year stock provision reversed)	Interest – Financial institutions
R	R
Less: Inventory adj. (Current year stock provision (obsolete / slow-moving stock))	Interest – Connected
R	R
Gross profit – subtotal	Interest – Non-connected
R	R
Gross loss – subtotal	Accounting profit on disposal of fixed assets and / or other assets
R	R
	Gross royalties and license fees
	R
	Levy income
	R

Income Statement (Continued)	
Income Items (Only credit amounts)	
Reversal of impairment loss recognised in profit or loss	R
Other income	R
Please provide descriptions relating to other income listed above	
Control Total	R
Expense Items (Only debit amounts)	
Accommodation and travel expenses: Local	R
Accommodation and travel expenses: Foreign	R
Accounting loss on disposal of fixed assets / other assets	R
Admin., secretarial, rentals, guarantee fees and other services – Connected (Local)	R
Admin., secretarial, rentals, guarantee fees and other services – Connected (Foreign)	R
Admin., secretarial, rentals, guarantee fees and other services – Non-connected	R
Alterations and improvements (excluding repairs and maintenance)	R

Income Statement (Continued)	
Expense Items (Only debit amounts) (Continued)	
Bad debts written off	R
Capital improvements – farming operations (par 12 of the First Schedule)	R
Commission paid	R
Compensation for loss of office	R
Consulting, legal and professional fees	R
Depreciation	R
Directors' / members' remuneration	R
Donations – public benefit organisation (s18A)	R
Donations – other	R
Expenditure incurred directly or indirectly in effecting BEE and / or BEEE compliance	R
Employee expenses: Wages and salaries (excluding medical, provident and pension)	R
Employee expenses: Group life insurance	R
Employee expenses: UIF contributions and SDL	R

Income Statement (Continued)	
Expense Items (Only debit amounts) (Continued)	
Employee expenses: Pension and Provident fund contributions	R
Employee expenses: Medical scheme contributions	R
Employee expenses: Membership of a professional body	R
Employee expenses: Training	R
Foreign exchange loss	R
Impairment loss recognised in profit or loss	R
Interest – financial institutions	R
Interest – Connected (Local)	R
Interest – Connected (Foreign)	R
Interest – Non-connected	R
Interest and penalties paid to SARS	R
Insurance (excluding s37A payments)	R
Insurance premium in respect of rehabilitation obligations (s37A)	R

Income Statement (Continued)	
Expense Items (Only debit amounts) (Continued)	
Key man insurance (s11(w))	R
Operating lease payments - Connected	R
Operating lease payments – Non-connected	R
Lease payments other than operating leases	R
Management fees - Connected	R
Management fees – Non-connected	R
Partnership / Joint venture loss - Foreign	R
Partnership / Joint venture loss - Local	R
Provision for doubtful debts	R
Repairs and maintenance	R
Research and development costs (s11B)	R
Research and development costs (s11D)	R
Restraint of trade	R

Income Statement (Continued)	
Expense Items (Only debit amounts) (Continued)	
Royalties and license fees (excluding payments in terms of mineral and petroleum resources royalties) – Local	R
Royalties and license fees (excluding payments in terms of mineral and petroleum resources royalties) – Foreign	R
Royalty payments in respect of mineral and petroleum resources royalties – Local	R
Royalty payments in respect of mineral and petroleum resources royalties – Foreign	R
Small items and loose tools	R
Other expenses	R
Please provide descriptions relating to other expenses listed above	
Control Total	R
Net Profit / Loss	
Net Profit - Subtotal	R
Net Loss - Subtotal	R

Gross Profit / Loss

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Gross Sales (excl. credit notes) – Foreign: Connected
 - Gross Sales (excl. credit notes) – Other than foreign connected

- Less: Opening stock
 - Less: Credit notes on sales
 - Less: Purchases – Foreign: Connected (excl. rebates)
 - Less: Purchases – Other than foreign connected (excl. rebates)
 - Add: Rebates
 - Add: Closing stock (Gross excl. adjustments)
 - Add: Inventory adjustments (Previous year stock provision reversed)
 - Less: Inventory adj. (Current year stock provision (obsolete / slow-moving stock)).
- **Gross profit – subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a gross profit or gross loss applies. If a gross profit applies, the gross loss field is not applicable. If the net figure is R0 (zero), then this value applies to the gross profit field.
- **Gross loss – subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a gross profit or gross loss applies. A loss is indicated as a positive value in the gross loss field.

Income Items (Only credit amounts)

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Admin, secretarial, rentals, guarantee fees and other services – Connected (Local)
 - Admin, secretarial, rentals, guarantee fees and other services – Connected (Foreign)
 - Admin, secretarial, rentals, guarantee fees and other services – Non-connected
 - Bad and doubtful debts recovered
 - Dividends – local
 - Dividends – foreign
 - REIT dividends received
 - Foreign exchange gain
 - Interest – Financial institutions
 - Interest – Connected
 - Interest – Non-connected
 - Accounting profit on disposal of fixed assets and / or other assets
 - Gross royalties and license fees
 - Levy income
 - Reversal of impairment loss recognised in profit or loss
 - Other income.
- **Please provide descriptions relating to other income listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field “Other income”. The maximum length is 3 rows of 17 blocks
- **Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Expense Items (Only debit amounts)

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Accommodation and travel expenses: Local
 - Accommodation and travel expenses: Foreign
 - Accounting loss on disposal of fixed assets / other assets

- Admin, secretarial, rentals, guarantee fees and other services – Connected (Local)
- Admin, secretarial, rentals, guarantee fees and other services – Connected (Foreign)
- Admin, secretarial, rentals, guarantee fees and other services – Non-connected
- Alterations and improvements (excluding repairs and maintenance)
- Bad debts written off
- Capital improvements – farming operations (par 12 of the First Schedule)
- Commission paid
- Compensation for loss of office
- Consulting, legal and professional fees
- Depreciation
- Directors' / members' remuneration
- Donations – public benefit organisation (s18A)
- Donations – other
- Expenditure incurred directly or indirectly in effecting BEE and / or BEEEE compliance
- Employee expenses: Wages and salaries (excluding medical, provident and pension)
- Employee expenses: Group life insurance
- Employee expenses: UIF contributions and SDL
- Employee expenses: Pension and Provident fund contributions
- Employee expenses: Medical scheme contributions
- Employee expenses: Membership of a professional body
- Employee expenses: Training
- Foreign exchange loss
- Impairment loss recognised in profit or loss
- Interest – financial institutions
- Interest – Connected (Local)
- Interest – Connected (Foreign)
- Interest – Non-connected
- Interest and penalties paid to SARS
- Insurance (excluding s37A payments)
- Insurance premium in respect of rehabilitation obligations (s37A)
- Key man insurance (s11(w))
- Operating lease payments - Connected
- Operating lease payments – Non-connected
- Lease payments other than operating leases
- Management fees - Connected
- Management fees – Non-connected
- Partnership / Joint venture loss - Foreign
- Partnership / Joint venture loss - Local
- Provision for doubtful debts
- Repairs and maintenance
- Research and development costs (s11B): Only applicable from Year of Assessment 2003 onwards
- Research and development costs (s11D): Only applicable from Year of Assessment 2007 onwards
- Restraint of trade
- Royalties and license fees (excluding payments in terms of mineral and petroleum resources royalties) – Local
- Royalties and license fees (excluding payments in terms of mineral and petroleum resources royalties) – Foreign
- Royalty payments in respect of mineral and petroleum resources royalties – Local
- Royalty payments in respect of mineral and petroleum resources royalties – Foreign
- Small items and loose tools
- Other expenses.

- **Please provide descriptions relating to other income listed above:** This free text field must **only be completed** if a value exceeding R0 (zero) was entered in the field "Other income". The maximum length is 3 rows of 17 blocks
- **Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch

Net Profit / Loss

- **Net Profit – Subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a net profit or net loss applies. If a net profit applies, the net loss field is not applicable. If the net figure is R0 (zero), then this value applies to the net profit field.
- **Net Loss – Subtotal:** This currency fields (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a net profit or net loss applies. A loss is indicated as a positive value in the net loss field.

11.2.26 TAX COMPUTATION

In all instances where the accounting and tax treatment of items are different, the full accounting amount must be reversed and similarly the full tax treatment amount disclosed.

- For example: Prepayment is claimed for accounting purposes on the income statement but is limited by **s. 23H**. The portion that is limited (not allowed) must be added back as a credit adjustment. If the relevant payment is on the balance sheet, then only the qualifying portion must be indicated under the "Special allowances not claimed" section.

Please take note of the following provisions in the Income Tax Act, 1962 (Act No. 58 of 1962):

- **S. 11(B)** was effective for years of assessment commencing on or after 1 January 2004. The section applied to costs related to research and development conducted by a taxpayer. This section was repealed on 2 November 2006 and replaced by section 11(D), however the capital allowances (in s11B) in respect of buildings, plant, machinery, implements, utensils and articles brought into use prior to 2 November 2006 continue to apply to those assets.
- **S. 12J** - Any person can invest in an approved Venture Capital Company (VCC), in exchange for investor certificates. However there are certain limitations that apply to an investor for tax purposes when investing into an approved VCC, namely:
 - Where any loan or credit is used to finance the expenditure in acquiring a venture capital share and remains owing at the end of the year of assessment, the deduction is limited to the amount for which the taxpayer deemed to be at risk.
 - No deduction will be allowed where the taxpayer is a connected person to the Venture Capital Company at or immediately after the acquisition of any venture capital share in that Venture Capital Company.

The tax deduction is recouped if an investor disposes of the VCC shares to the extent of the initial VCC investment (under the general recoupment rules of section 8(4) of the Income Tax Act).

- **S. 12M** allows as a deduction an amount paid by an employer as a lump sum to a former employee who retired on the grounds of old age, ill health, or infirmity or to a dependant of that former employee or under a policy of insurance taken out with an insurer solely in respect of one or more former employees who retired on the grounds of old age, ill health, or infirmity, or their dependants, but only to the extent that the

lump sum is to be used to make contributions to a medical scheme or fund registered under the Medical Schemes Act, or under a similar provision in another country

The payment to the individual has to be that he or she can pay the future medical scheme payments. Where the payment is to an insurer, the policy must be only for the retired employee and his or her dependants. If the policy only relates partly to medical scheme coverage, only that part of the premium is deductible. No deduction is allowed if the employer or a connected person to the employer has any further obligation or retains any further obligation (even a contingent obligation) to pay any other amount in respect of any shortfall under the policy.

- **S. 12O** provides a 100% tax exemption (with effect from 1 January 2012) in respect of all receipts and accruals in respect of films of which principal photography commences on or after 1 January 2012, but before 1 January 2022.
- **S. 24F** provides a 100% deduction in respect of the cost of production and purchase of films. It will no longer apply to films in respect of which the principal photography commenced on or after 1 January 2012, and to any film after 31 December 2012.
- **Section 24K** provides that any amount contemplated in the definition of “interest rate agreement” is deemed to have been incurred (if it is an expense) or accrued (if it is income) on a day to day basis over the period in respect of which it is calculated.
- **Section 24K** defines an “interest rate agreement” basically as an agreement in terms of which:
 - A person acquires the right to receive an amount calculated with reference to an interest rate or rates on a notional amount or even a fixed amount; and
 - That same person becomes *liable* to pay an amount calculated with reference to an interest rate or rates or a fixed amount.
- The interest rate agreement applies where a rate of interest is applied to a notional amount. In other words, a real loan does not exist.
There are two parties to an interest rate swap. Interest rate swaps effectively allows a person to swap floating rates of interest for fixed rates of interest or *vice versa* in order to introduce certainty or make a profit out of potential change in the interest rates.
- In terms of **s. 18A**, a deduction (subject to a 10% limit of taxable income) is allowed in respect of the sum of *bona fide* donations of cash or property in kind made by a taxpayer during the year of assessment to any:
 - Public benefit organisation (PBO) approved by the Commissioner under s. 30;
 - Institution, board or body contemplated in s. 10(1)(cA)(i)
 - PBO approved by the Commissioner under s. 30 which provides funds or assets to any other approved PBO, or to any institution, board or body contemplated in s10(1)(cA)(i)
 - Agency as contemplated in the definition of “specialised agency” in s. 1 of the Convention on the Privileges and Immunities of the Specialised Agencies, 1947, set out in Schedule 4 to the Diplomatic Immunities and Privileges Act, 2001 (Act 37 of 2001)
 - Department of government in the national, provincial or local sphere as contemplated in s 10(1)(a).

11.2.27 DEBIT ADJUSTMENTS (Decrease net profit / Increase net loss) Non-Taxable Amounts Credited to the Income Statement

TXSLA01

Debit Adjustments (decrease net profit / increase net loss)

Non-Taxable Amounts Credited to the Income Statement

Selection

Accounting interest received / receivable

[illegible]

Accounting profit on disposal of fixed and / or other assets

[illegible]

Adjustments to comply with IFRS: Accounting

[illegible]

Adjustments to comply with IFRS: Fair value

[illegible]

Amounts previously taxed as received in advance

[illegible]

Exempt foreign dividends (s10(1)(k)(ii))

[illegible]

Exempt foreign dividends (s10B)

[illegible]

Income (other than foreign dividends) exempt from tax – s10 (excluding s10(1)(e))

[illegible]

Income exempt by virtue of double taxation agreement

[illegible]

Local dividends excluding dividends mentioned in s8E, s8EA and s103(5)

[illegible]

Receipts and / or accruals of a capital nature

[illegible]

Reversal of provisions

R

Tax Computation (Continued)

Debit Adjustments (decrease net profit / increase net loss)

Non-Taxable Amounts Credited to the Income Statement

Please provide descriptions relating to other listed above

[illegible]

Control Total

[illegible]

- Only complete the relevant currency fields (15 blocks) where the adjustment is applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up

- Accounting interest received / receivable
- Accounting profit on disposal of fixed and / or other assets
- Adjustments to comply with IFRS: Accounting: Only applicable from Year of Assessment 2006 onwards
- Adjustments to comply with IFRS: Fair value: Only applicable from Year of Assessment 2006 onwards
- Amounts previously taxed as received in advance
- Exempt foreign dividends (s10(1)(k)(ii))
- Exempt foreign dividends (s10B)
- Income (other than foreign dividends) exempt from tax – s10 (excluding s10(1)(e))
- Income exempt by virtue of double taxation agreement
- Local dividends excluding dividends mentioned in s8E, s8EA and 103(5)
- Receipts and / or accruals of a capital nature
- Reversal of provisions
- Other.

- #### 11.2.28 Special Allowances not claimed in the Income Statement

- Only complete the relevant currency fields (15 blocks) where the special allowances are applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up selection box will display from which only those special allowances relevant to the company must be selected and completed:

- COMPREHENSIVE GUIDE TO THE
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- Lease premium allowance (s11(f))
- Improvement to leasehold premises (s11(g))
- Doubtful debt allowance (s11(j))
- Amortisation of lump sum contributed to retirement / benefit funds (s11(l))
- Broad-based employee share plan (deduction this year) (s11(lA)): Only applicable from Year of Assessment 2005 onwards
- Depreciable asset allowance (s11(o))
- Expenditure before commencing trade (s11A)
- Deduction against Foreign Dividends (s11C): Only applicable from Year of Assessment 2005 onwards
- Research and development deduction (s11B): Only applicable from Year of Assessment 2003 onwards
- Research and development deduction (s11D) – Only applicable from Year of Assessment 2007 onwards
- Machinery, plant, implements, utensils and articles deduction (s12B)
- Manufacturers, hotelkeepers, aircraft, ship, storage and packing of agricultural products deduction (s12C)
- Pipelines, transmission and rail deduction (s12D): Only applicable from Year of Assessment 2000 onwards
- Rolling stock (s12DA): Only applicable from Year of Assessment 2008 onwards
- Plant and machinery where company qualifies as a SBC (s12E): Only applicable from Year of Assessment 2002 onwards
- Airport and port assets (s12F): Only applicable from Year of Assessment 2008 onwards
- Industrial assets used for qualifying industrial policy projects (s12G): Only applicable from Year of Assessment 2002 onwards
- Learnership agreements registered / in effect (s12H): Only applicable from Year of Assessment 2002 onwards
- Registered learnership agreements completed in current year (s12H): Only applicable from Year of Assessment 2002 onwards
- Industrial policy projects: Brownfield projects (s12I): Only applicable from Year of Assessment 2009 onwards
- Industrial policy projects: Greenfield projects (s12I): Only applicable from Year of Assessment 2009 onwards
- Deduction in respect of Venture Capital Company shares (s12J): Only applicable from Year of Assessment 2010 onwards
- Energy efficiency savings deduction (s12L)
- Certified emission reductions exemption (s12K): Only applicable from Year of Assessment 2009 onwards
- Deduction for medical lump sum payments (s12M): Only applicable from Year of Assessment 2010 onwards
- Deductions in respect of improvements not owned by taxpayer (s12N): only applicable from year of assessment 2010 onwards.
- Deductions in respect of improvements on property in respect of which government holds a right of use or occupation (s12NA): only applicable from year of assessment 2014 onwards.
- Exemption in respect of films (s12O): Only applicable from Year of Assessment 2012 onwards
- Deduction in respect of buildings in special economic zones (s12S): only applicable to year of assessment 2014 onwards.
- Deduction of buildings used in a manufacturing process (s13)
- Hotel building deduction (s13bis)
- Residential building deduction (s13ter)
- UDZ (s13quat) - erection of a new building this year: Only applicable from Year of Assessment 2005 onwards
- UDZ (s13quat) - improvements this year: Only applicable from Year of Assessment 2005 onwards
- Commercial building deduction (s13quin): Only applicable from Year of Assessment 2008 onwards

- Residential unit deduction (s13sex): Only applicable from Year of Assessment 2009 onwards
 - Low cost residential unit deduction (s13sept): Only applicable from Year of Assessment 2009 onwards
 - Reversal of closing values of work in progress (s 22(2A)) - previous year: Only applicable from Year of Assessment 2003 onwards
 - Reversal of closing values of consumable stock and spare parts (previous year): Only applicable from Year of Assessment 2000 onwards
 - Prepaid expenditure not limited by s23H: Only applicable from Year of Assessment 2000 onwards
 - Allowance for future expenditure (s24C)
 - Credit agreement and debtors allowance (hire-purchase) (s24)
 - Interest incurred (s24J)
 - Film allowance (s24F)
 - Deductions in respect of co-operatives (s27)
 - Environment asset deduction (s37B): Only applicable from Year of Assessment 2000 onwards
 - Environmental conservation and maintenance deduction (s37C)
 - Lease payments on capitalised leased assets
 - Other.
- **Please provide descriptions relating to 'other' consolidated above:** This free text field (maximum length of 3 rows with 17 blocks) must **only be completed** if a value exceeding R0 (zero) was entered in the field "Other". On eFiling and in the branch, this field will only display if "Other" was checked on the selection list.
 - **Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

11.2.29 CREDIT ADJUSTMENTS (Increase net profit / Decrease net loss): Non-deductible Amounts Debited to the Income Statement

Tax Computation (Continued) TXSLG01

Credit Adjustments (increase net profit / decrease net loss)

Non-Deductible Amounts Debited to the Income Statement

Please select / de-select the non-deductible items debited to the Income Statement

Selection

Accounting interest paid / payable

R

Accounting losses derived from foreign sources (excluding CFC)

R

Accounting loss on disposal of fixed and / or other assets

R

Credit Adjustments (increase net profit / decrease net loss)

Non-Deductible Amounts Debited to the Income Statement
(Continued)

Adjustments to comply with IFRS: Accounting

R

Adjustments to comply with IFRS: Fair value

R

Amortisation of lease premiums and improvements to leasehold premises

R

Capital expenditure and / or losses

R

Capital improvement - Farming operations (par 12 of the First Schedule)

R

Depreciation according to financial statements

R

Donations (s18A)

R

Donations - Other

R

Expenses attributable to exempt income - Local

R

Expenses attributable to exempt income - Foreign

R

Expenses not **actually** incurred in the production of income (s11(a))

R

Financial assistance (s31)

R

TXSLH01

Credit Adjustments (increase net profit / decrease net loss)

Non-Deductible Amounts Debited to the Income Statement (Continued)

Interest paid in respect of capitalised leased assets

[illegible]

Interest non-deductible in terms of s23K

[illegible]

Interest, penalties paid in respect of taxes (s23(d))

[illegible]

Lump sum contributions to retirement and / or benefit funds

[illegible]

Prepaid expenditure not allowed under s23H

[illegible]

Limitation of interest deduction under s23N

[illegible]

Provision for doubtful debt not deductible in current year

[illegible]

Provisions not deductible current year (excluding doubtful debt)

[illegible]

Transfer pricing adjustments

[illegible]

Other

[illegible]

Please provide descriptions relating to other listed above

[illegible]

Control Total

[illegible]

- Only complete the relevant currency fields (15 blocks) where the adjustments are applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up selection box will display from which only those special allowances relevant to the company must be selected and completed:
 - Accounting interest paid / payable
 - Accounting losses derived from foreign sources (excluding CFC): Only applicable from Year of Assessment 2000 onwards
 - Accounting loss on disposal of fixed and / or other assets
 - Adjustments to comply with IFRS: Accounting: Only applicable from Year of Assessment 2006 onwards

- Adjustments to comply with IFRS: Fair value: Only applicable from Year of Assessment 2006 onwards
 - Amortisation of lease premiums and improvements to leasehold premises
 - Capital expenditure and / or losses
 - Capital Improvement - Farming operations (par 12 of the First Schedule)
 - Depreciation according to financial statements
 - Donations (s18A)
 - Donations - Other
 - Expenses attributable to exempt income - Local
 - Expenses attributable to exempt income - Foreign
 - Expenses not actually incurred in the production of income (s11(a))
 - Financial assistance (s31)
 - Interest paid in respect of capitalised leased assets
 - Interest non-deductible in terms of s23K: Only applicable from Year of Assessment 2011 onwards
 - Interest, penalties paid in respect of taxes (s23(d))
 - Lump sum contributions to retirement and / or benefit funds
 - Prepaid expenditure not allowed under s23H: Only applicable from Year of Assessment 2000 onwards
 - Limitation of interest deduction under s23N
 - Provision for doubtful debt not deductible in current year
 - Provisions not deductible current year (excluding doubtful debt)
 - Transfer pricing adjustments
 - Other.
- **Please provide descriptions relating to ‘other’ consolidated above:** This free text field (maximum length of 3 rows with 17 blocks) must **only be completed** if a value exceeding R0 (zero) was entered in the field “Other”. On eFiling and in the branch, this field will only display if “Other” was checked in the selection list.
- **Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

11.2.30 ALLOWANCES / DEDUCTIONS GRANTED IN PREVIOUS YEARS OF ASSESSMENT AND NOW REVERSED

Tax Computation (Continued)

TXSLI01

Allowances / Deductions Granted in Previous Years of Assessment and now Reversed

Please select / de-select the allowances / deductions granted in previous years of assessment and now reversed.

Selection

Allowance for future expenditure (s24C)

R

Credit agreements and debtors allowance (hire-purchase) (s24)

R

Doubtful debt allowance (s11(j))

R

Other

R

Please provide descriptions relating to other listed above

Control Total

R

- Only complete the relevant currency fields (15 blocks) where the adjustments are applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up selection box will display from which only those special allowances relevant to the company must be selected and completed:
 - Allowance for future expenditure (s24C)
 - Credit agreements and debtors allowance (hire-purchase) (s24)
 - Doubtful debt allowance (s11(j))
 - Other.
- Please provide descriptions relating to 'other' consolidated above:** This free text field (maximum length of 3 rows with 17 blocks) must **only be completed** if a value exceeding R0 (zero) was entered in the field "Other". On eFiling and in the branch, this field will only display if "Other" was checked in the selection list.
- Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

11.2.31 AMOUNTS NOT CREDITED TO THE INCOME STATEMENT

Tax Computation															TXSLE01
Amounts not Credited to the Income Statement															
Please select / de-select the amounts not credited to the Income Statement															Selection
Amounts received in advance															
R															
Amounts accrued but not received															
R															
Closing value of consumable stock and spare parts															
R															
Income deemed to be from a South African source															
R															
Interest accrued (s24J)															
R															
Loans / advances granted by an insurer (par. (m) of def. of 'gross income')															
R															
Transfer pricing adjustment															
R															
Other															
R															
Please provide descriptions relating to other listed above															
Control Total															
R															0

- Only complete the relevant currency fields (15 blocks) where the adjustments are applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up selection box will display from which only those special allowances relevant to the company must be selected and completed:
 - Amounts received in advance
 - Amounts accrued but not received
 - Closing value of consumable stock and spare parts
 - Closing balance of stock values of work in progress - (s22(2A)): Only applicable from Year of Assessment 2003 onwards
 - Income deemed to be from a South African source
 - Interest accrued (s24J)
 - Loans / advances granted by an insurer (par. (m) of def. of "gross income")
 - Transfer pricing adjustment
 - Other.
- Please provide descriptions relating to 'other' consolidated above:** This free text field (maximum length of 3 rows with 17 blocks) must **only be completed** if a value exceeding R0 (zero) was entered in the field "Other". On eFiling and in the branch, this field will only display if "Other" was checked in the selection list.
- Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

11.2.32 RECOUPMENT OF ALLOWANCES PREVIOUSLY GRANTED

Tax Computation TXSLF01

Recoupment of Allowances Previously Granted

Please select / de-select the recoupment of allowances previously granted

Bad debts
R

Lease charges (s8(5))
R

Wear and tear (s8(4))
R

Other
R

Please provide descriptions relating to other listed above

Control Total
R 0

- Only complete the relevant currency fields (15 blocks) where the adjustments are applicable to the company in Rands (no cents). On eFiling and in the branch, a pop-up selection box will display from which only those special allowances relevant to the company must be selected and completed:
 - Bad debts
 - Lease charges (s8(5))
 - Wear and tear (s8(4))
 - Other.
- Please provide descriptions relating to 'other' consolidated above:** This free text field (maximum length of 3 rows with 17 blocks) must **only be completed** if a value exceeding R0 (zero) was entered in the field "Other". On eFiling and in the branch, this field will only display if "Other" was checked in the selection list.
- Control Total:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch.

11.2.33 AMOUNTS TO BE INCLUDED IN THE DETERMINATION OF TAXABLE INCOME (Excluding assessed losses brought forward and capital gains / losses)

Tax Computation (Continued) TXSLL01

Amounts to be included in the Determination of Taxable Income (Excluding assessed losses brought forward and capital gains / losses)

Calculated Profit excluding net income from CFC
R 0

Calculated Loss
R

Source code

Imputed net income from CFC
R 4278

- **Calculated profit excluding net income from CFC:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a calculated profit or calculated loss applies. If a calculated profit applies, the calculated loss field and associated source code is not applicable. If the net figure is R0 (zero), then this value applies to the calculated profit.
- **Source Code:** If a calculated profit applies, this source code is compulsory for completion. Numeric field, a pop-up list will be displayed on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Alternatively the source code booklet will be available on www.sars.gov.za.
- **Calculated loss:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Either a calculated profit or calculated loss applies. If a calculated loss applies, the calculated profit field and associated source code is not applicable. A loss is indicated as a positive value in the calculated loss field.
- **Source Code:** If a calculated loss applies, this field is compulsory for completion. Otherwise this field is not applicable. Numeric field, a pop-up list will be displayed on eFiling or for non-eFilers when the SARS agent captures the return in the branch. Alternatively the source code booklet is available on www.sars.gov.za.
- **Imputed net income from CFC:** This currency field (15 blocks) must be completed in Rands (No Cents)).

11.2.34 TAX ALLOWANCES / LIMITATIONS

Tax Allowances / Limitations

TASLA01

Note:

Schedules must be prepared in all cases where the questions below are answered in the affirmative. The schedules must be retained for a period of 5 years after submission of this return.

Did the company make any contributions to the benefit of the employees to any pension, provident or medical fund in excess of 20% of the approved remuneration (s11(l))?

Y ☐ N ☐

Was the doubtful debt allowance as referred to in s11(j) based on a fixed percentage of all debtors as at year end in respect of the current year of assessment?

Y ☐ N ☐

Did the company complete IT180's for learnership agreements in respect of s12H?

Y ☐ N ☐

Does the company carry on any business as a hotelkeeper (s13bis)?

Y ☐ N ☐

Was the allowance claimed in respect of s13ter for the erection of at least 5 residential units?

Y ☐ N ☐

Does the company use a building in the production of income in respect of trade other than the provision of residential accommodation (s13quin)?

Y ☐ N ☐

Did the company incur any insurance premiums on the lives of employees or directors?

Y ☐ N ☐

If Yes, state the total amount of insurance premiums incurred during the year of assessment:

R

Research and development information – s11D

Did the company incur any expense on scientific or technological research and development for the purpose of:

The discovery of non obvious information of a scientific and technological nature?

Y ☐ N ☐

The creating of any inventions, any design or computer programme or knowledge?

Y ☐ N ☐

Did the company incur any capital expenditure on buildings, machinery, plant, implements or utensils?

Y ☐ N ☐

Did the company receive a government grant for the purpose of scientific or technological research and development?

Y ☐ N ☐

Did the company complete an application and submit it to the Department of Science and Technology?

Y ☐ N ☐

Did the company enter into an instalment sale agreement as referred to in s12DA to use the rolling stock as an asset to generate income?

Y ☐ N ☐

Was the allowance claimed in term of s12F only in relation to assets used directly in the production of income?

Y ☐ N ☐

Was the strategic industrial project for which an allowance was claimed approved by the Minister of Trade and Industry (s12G)?

Y ☐ N ☐

- **Did the company make any contributions to the benefit of the employees to any pension, provident or medical fund in excess of 20% of the approved remuneration (s11(l))?**

This field must **only be completed** if the field *Amortisation of lump sum contributed to retirement / benefit funds (s11(l))* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".

- **Was the doubtful debt allowance as referred to in s11(j) based on a fixed percentage of all debtors as at year end in respect of the current year of assessment?**

This field must **only be completed** if the field *Doubtful debt allowance (s11(j))* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".

This question enquires whether a doubtful debt allowance as referred to in section 11(j) was claimed and whether the allowance was based on a fixed percentage of total debtors.

- **Did the company complete IT180's for learnership agreements in respect of s12H?**

This field must only be completed if the field *Learnership agreements registered / in effect (s12H)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".

- **Note:** A company can claim a deduction for registered learnership agreements in terms of the provisions of section 12H of the Income Tax Act.
 - The agreement must be registered with the relevant Sector Education Training Authority (SETA) in the prescribed manner.
 - For more information refer to the following publications on the SARS website:
 - Guide on Learnership Agreements
 - Interpretation Note: No. 20 (Issue 4) – Section 12H – Additional Deduction For Learnership Agreements
 - **Note:** The following relevant material must be made available on request by SARS:
 - A copy of the learnership agreement
 - Confirmation of the SETA registration,
 - The employment contract; and
 - Adequate proof that the learnership has been completed successfully or a confirmation from the SETA (if obtained within that year of assessment).

- **Does the company carry on any business as a hotelkeeper (s13bis)?**

This field must **only be completed** if the field *Hotel building deduction (s13bis)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".

- **Was the allowance claimed in respect of s13ter for the erection of at least 5 residential units?**

This field must **only be completed** if the field *Residential building deduction (s13ter)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".

- **Does the company use a building in the production of income in respect of trade other than the provision of residential accommodation (s13quin)?**

This field must **only be completed** if the field *Commercial building deduction (s13quin)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".

- **Did the company incur any insurance premiums on the lives of employees or directors?**

This field must be completed with a "Yes" or "No".

- If "Yes" is selected, the following currency field (15 blocks) must be completed in Rands (No Cents):
 - If Yes, state the total amount of insurance premiums incurred during the year of assessment:

- These fields must **only be completed** if the field *Research and development deduction (s11D)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select "Yes" or "No".

- Did the company incur any expense on scientific or technological research and development for the purpose of:
 - The discovery of non-obvious information of a scientific and technological nature?
 - The creating of any inventions, any design or computer programme of knowledge.
- Did the company incur any capital expenditure on buildings, machinery, plant, implements or utensils?

- Did the company receive a government grant for the purpose of scientific or technological research and development?
 - Did the company complete an application and submit it to the Department of Science and Technology?
- According to section 29 of Tax Administration Act all the relevant material relating to the Research and Development claimed must be retained for a period of five years from the date on which ITR14 return is submitted to SARS. The relevant material must contain the following information regarding the claimed expenditure under section 11D:
 - Proof that the research and development is approved by the Minister of Science and Technology in terms of section 11D (9)
 - Proof that the expenditure was incurred on or after the date of receipt of the application by the Department of Science for approval of the research and development
- **Did the company enter into an instalment sale agreement as referred to in s12DA to use the rolling stock as an asset to generate income?**
 This field must **only be completed** if the field *Rolling stock (s12DA)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select “Yes” or “No”.
- **Was the allowance claimed in terms of s12F only in relation to assets used directly in the production of income?**
 This field must **only be completed** if the field *Airport and port assets (s12F)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select “Yes” or “No”.
- **Was the strategic industrial project for which an allowance was claimed approved by the Minister of Trade and Industry (s12G)?**
 This field must **only be completed** if the field *Industrial assets used for qualifying industrial policy projects (s12G)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select “Yes” or “No”.
- **Was the industrial policy project for which an allowance was claimed approved by the Minister of Trade and Industry (s12I)?**
 This field must **only be completed** if the field *Industrial policy projects: Brownfield projects (s12I) or Industrial policy projects: Greenfield projects (s12I)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select “Yes” or “No”.
- **Did the company receive a certificate from the venture capital company for which a deduction as claimed (s12J)?**
 This field must **only be completed** if the field *Deduction in respect of Venture Capital Company shares (s12J)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select “Yes” or “No”.
- **Is the company the owner of the film as contemplated in s12O?**
 This field must **only be completed** if the field *Exemption in respect of films (s12O)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select “Yes” or “No”.
- **Is the building for which an allowance is claimed used in the process of manufacturing (s13)?**
 This field must **only be completed** if the field *Deduction for buildings used in a manufacturing process (s13)* was completed in the *Tax Computation: Special Allowances Not Claimed in the Income Statement*. Select “Yes” or “No”.
- **Is the company the owner of the film as contemplated in s24F?**
 This field must **only be completed** if the field *Film allowance (s24F)* was completed in

the *Tax Computation: Special Allowances Not Claimed in the Income Statement*.
Select “Yes” or “No”.

11.2.35 CORPORATE RULES

Corporate Rules	CRSML01 ■
Was the company a party to any of the following transactions during the year of assessment:	
Asset-for-share transaction as defined in s42?	Y ☐ N ☐
Amalgamation transaction as defined in s44?	Y ☐ N ☐
Intra-group transaction as defined in s45?	Y ☐ N ☐
Unbundling transaction as defined in s46?	Y ☐ N ☐
Liquidation, winding-up or deregistration distribution as defined in s47?	Y ☐ N ☐

Select “Yes” or “No” to the following questions:

- **Was the company a party to any of the following transactions during the year of assessment:**
 - Asset-for-share transactions as defined in s42?
 - Amalgamation transaction as defined in s44?
 - Intra-group transaction as defined in s45?
 - Unbundling transaction as defined in s46?
 - Liquidation, winding-up or deregistration distribution as defined in s47?

11.2.36 CAPITAL GAINS / LOSSES

Determining a capital gain or a capital loss

Use the financial information relating to any disposals or deemed disposals to complete this section. The Proceeds (selling price of the asset - Part VI of the Eighth Schedule) and the Base Cost (which includes the acquisition cost, improvement cost and direct cost in respect of the acquisition and disposal of the asset - Part V of the Eighth Schedule) must be completed to calculate the capital gain or loss.

Since the return does not make provision for the separate disclosure of “Roll over base cost” and “Exclusions/Adjustments (excluding annual exclusion rate)”, a manual calculation must be performed to calculate the correct capital gain or loss per main asset. The result of the manual calculation must be captured in the Capital Gain/Loss field against the applicable asset. Should there be more than one transaction for a specific asset type the amounts must be added together per asset type therefore the reason for the column “Number of Transactions”.

Note:

- Refer to *Annexure E* for the main asset type source codes.
- The amount declared must be prior to the application of the inclusion rate as this will programmatically be applied by SARS during the assessment process.
- Even numbered codes refer to gains and uneven numbered codes refer to losses.

11.2.37 SCHEDULE OF LOCAL CAPITAL GAINS AND LOSSES IN RESPECT OF ASSETS

The “Schedule of Local Capital Gains and Losses in respect of the disposal of assets” will only display on the return if the question “**Did the company have any local capital gain/loss transactions?**” in the “*Information to create this income tax return*” is “Yes”

[illegible]

Note: At least one row in this schedule must be completed. If one of the fields in a row is completed with a value, then all the fields in that specific row must be completed.

- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Proceeds
 - Base Cost
 - Capital Gain/Loss.
- **Number of Transactions:** Numeric field, complete the number of transactions
- **Main Asset Type Source Code:** Refer to Annexure E – Foreign Assets to complete this numeric field. An even source code represents a capital gain and an uneven source code represents a capital loss.
- **Add: Adjustment for clogged losses included in amounts listed above to be carried forward (par. 39 of the Eight Schedule):** This field is mandatory from 2014 onwards. For prior years it is optional. This currency field (15 blocks) must be completed with the relevant amount.
- **Less: Allowable deduction i.r.o. prior year clogged losses carried forward on capital gain(s) to connected person(s) (par.39 of the Eighth Schedule):** This field is mandatory from 2014 onwards. For prior years it is optional. This currency field (15 blocks) must be completed with the relevant amount.
- **Aggregate Gain:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch by subtracting all capital losses (Capital gain/loss with uneven asset source code) from capital gains (Capital gain/loss with even asset source code). Either an aggregate gain or aggregate loss applies. If an aggregate gain applies, the aggregate loss field is not applicable. If the net figure is R0 (zero), then this value applies to the aggregate gain field.
- **Aggregate Loss:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch by subtracting all capital losses (Capital gain/loss with uneven asset source code) from capital gains (Capital gain/loss with even asset source code). Either an aggregate gain or aggregate loss applies. If an aggregate loss applies, the aggregate gain field is not applicable.

- **Foreign tax credit in respect of Capital Gains (Rand value only):** This currency field (15 blocks) must **only be completed** if a value exceeding R0 (zero) was calculated in the field Aggregate Gain or Aggregate Loss.

11.2.39 PAYE CREDITS (excluding provisional tax)

This section of the return will only display if the question “Will the company be claiming any PAYE credits reflected on an IRP5 tax certificate issued to the Company?” in the “Information to create this income tax return” is “Yes”

PAYE Credits Available (excluding provisional tax)															CTAVL01				
IRP5 certificate number															PAYE Credit				
															R , 4102				

Note:

- The PAYE credits Available section will be repeated according to the numeric value completed in the question “Specify the number of IRP5 certificates” field on the “Information to create this income tax return” page.
- The following fields must be completed for each *PAYE Credits Available* section:
 - **IRP5 certificate number:** Alphanumeric field (maximum length is 30 blocks)
 - **PAYE Credit:** Currency field - complete in Rands (15 blocks) and Cents (2 blocks)

11.2.40 FOREIGN TAX CREDITS: Taxable Foreign Sourced Income of Resident Companies – s6quat (excluding foreign capital gain / loss)

This section of the return will only display if the question “Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quat?” in the “Information to create this income tax return” is “Yes”

Foreign Tax Credits: Taxable Foreign Sourced Income of Resident Companies – s6quat (excluding foreign capital gain / loss)															TXFQT01
															7454
Net Losses															7455
Taxable Income															Foreign Tax Credit (Rand value only) R
															7454
															7455

During the assessment process the information in this section is used when calculating the allowable amount in foreign tax credits in terms of s. 6quat.

- **Relief from double taxation**
 - A South African resident is subject to normal tax on income derived worldwide (i.e. income derived from sources within and outside of the Republic of South Africa). However, any income which is derived by a resident from a foreign source may have been or may be subjected to tax in a foreign country, resulting in double taxation on this amount. S. 6quat grants relief from any potential double taxation, in that any foreign taxes payable in respect of income derived from a foreign source which is included in the taxable income of a resident, may (subject to certain conditions) be allowed as a rebate against normal income tax payable in South Africa by the resident.
- **Conditions governing the granting of a rebate**
 - The sum of foreign taxes payable may qualify for a rebate against the normal income tax payable by a resident if the following condition is met:
 - The taxes must be taxes payable on income

- **Limitation on the amount of the rebate**
 - The amount of foreign taxes which qualify for the s. 6quat rebate is limited to a *pro rata* amount calculated in accordance with the following formula:

<i>Taxable income derived from all foreign sources (A)</i>	×	<i>Normal tax payable on (B)</i>
<i>Taxable income derived from all sources (B)</i>		

- **Instances where no rebate is forthcoming**
 - No foreign tax relief will be granted where the foreign taxes do not qualify for the rebate, for example if the actual source of the amount is located in South Africa. In such instances the amount may qualify as a deduction in terms of s.6quat (1C) in determining taxable income for a particular year of assessment. The foreign taxes must have been incurred in respect of the resident's trading

operations and must be proved to be payable without a right of recovery. A resident may not elect to claim the foreign taxes either as a rebate or alternatively as a deduction. Only those foreign taxes that do not qualify for a rebate may be considered as a deduction.

- If a resident elects for the relief provided in a tax treaty which does not refer to the s. 6quat method of relief, none of the provisions of s. 6quat will apply. It should be noted that the carry forward of excess tax credits is only allowed in terms of the s. 6quat method of relief. None of South Africa's double taxation agreements provide for the carry forward of excess tax credits.
- All fields listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.
- **Net losses:** This currency field (15 blocks) must be completed in Rands (No Cents) for **Foreign income**.
- **The following currency fields (15 blocks) for Foreign income and Imputed net income CFC** must be completed in Rands (No Cents):
 - Taxable Income
 - Foreign Tax Credits.
- **Foreign Tax Credits:** This currency field (15 blocks) will automatically be calculated on eFiling or for non-eFilers when the SARS agent captures the return in the branch as the sum of Foreign Tax Credits.

11.2.41 FOREIGN TAX CREDITS: South African Sourced Income – s6quin (already elsewhere included in this return) – s6quin (Rands only, unless cents specified)

This section of the return will only display if the question “Will the company be claiming any Foreign Tax credits not relating to Capital Gain transactions in terms of s6quin?” in the “Information to create this income tax return” is “Yes”

Foreign Tax Credits – South African Sourced Income (already elsewhere included in this return) – s6quin (Rands only, unless cents specified)

FTCRA01

Taxable income from services rendered in South Africa taxed outside the RSA

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Was the declaration of foreign tax withheld (FTW01) submitted to the Commissioner within 60 days? Y ☐ N ☐

Please confirm that this amount was not claimed as a deduction in terms of s6quat(1C)? Y ☐ N ☐

Foreign Tax Credits

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Section 6quin provides for a rebate for foreign taxes paid on income derived by a taxpayer from services rendered in South Africa.

- The return of foreign tax withheld (FTW01) and the relevant material in respect of foreign tax withheld must be sent to SARS within 60 days from the date the tax was withheld or paid. The declaration must be sent to 6quin@sars.gov.za

- The return of Foreign Tax Withheld (FTW01) can be downloaded from the SARS website on www.sars.gov.za
- The amount of income must be from a source within the Republic and received by or accrued to a resident for services rendered.
- With the submission of the ITR14 the currency must be translated to RSA currency at the last day of the year of assessment by applying the average exchange rate for the year of assessment.
- The tax credit may be in respect of an amount of tax levied by any sphere of the government of any country -
 - Other than the Republic
 - With which the Republic has concluded a Double Tax Agreement (DTA).
- Where a DTA is not concluded between the Republic and the other country a tax credit may also be in respect of the amount of tax imposed in terms of the laws of that country.
- The following currency fields (15 blocks) must be completed in Rands (No Cents):
 - Taxable Income from services rendered in South Africa taxed outside the RSA
 - Select "Y" or "N" to the question "Was the declaration of foreign tax withheld (FTW01) submitted to the Commissioner within 60 days? Select "Y" if the submission was made to the Commissioner within 60 days
 - Select "Y" or "N" to "Please confirm that this amount was not claimed as a deduction in terms of *s6quat* (1C)?", Select "Y" if the amount was not claimed as a deduction in terms of *s6quat*(1C)
 - Foreign Tax Credits.

11.2.42 FOREIGN TAX CREDITS REFUNDED / DISCHARGED BY THE GOVERNMENT OF A FOREIGN COUNTRY IN RESPECT OF A REBATE ALLOWED BY SARS IN A PREVIOUS YEAR – *s6quin*

**Foreign Tax Credits Refunded / Discharged
by the government of a Foreign Country in
respect of a rebate allowed by SARS in a
previous year – *s6quin***

FTCRD01

Specify the portion of the amount so refunded / discharged as was previously allowed by SARS as a rebate

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This section will display if "Y" was selected to "Were any foreign tax credits refunded / discharged during the year of assessment for which a rebate was allowed during a previous year of assessment in terms of *s6quin*?"

- Complete the amount refunded /discharged under "Specify the portion of the amount so refunded / discharged as was previously allowed by SARS as a rebate" field.

11.2.43 PARTNERSHIPS

This section of the return will only display if the question "Is the company a partner in a partnership?" in the "Information to create this income tax return" is "Yes"

Partnerships																									PRTIF01
Partnership Name																									
Specify the company's profit / loss sharing % during the year of assessment:			%	Indicate if the company derived a profit / loss from this partnership during the year of assessment:	Profit ☐ Loss ☐		Indicate if this information is in respect of a local or a foreign partnership:	Local ☐ Foreign ☐																	

Note:

- The Partnerships section will repeat according to the numeric value entered in the question “How many partnerships” on the “Information to create this income tax return” page.
- If 5 Partnerships sections were created, it is mandatory that all 5 must be completed. If incorrectly created, refer back to the “Information to create this income tax return” to rectify.
- The following fields must be completed for each *Partnerships* section
 - Partnership Name: Free text field (maximum length is 53 blocks)
 - Specify the company's profit / loss sharing % during the year of assessment: Numeric field – complete the percentage
 - Indicate if the company derived a profit / loss from this partnership during the year of assessment: Select “Profit” or “Loss”
 - Indicate if this information is in respect of a local or a foreign partnership: Select “Local” or “Foreign”.

11.2.44 TRANSFER PRICING: RECEIVED / RECEIVABLE

This section of the return will only display if the question “Referring to legislation applicable to years of assessment commencing on or after 1 April 2012 (refer to guide for years of assessment prior to 1 April 2012), did the company enter into an affected transaction, as set out in s31(1) “affected transaction” (a), where the company: Received / earned foreign income?” in the “Information to create this income tax return” is “Yes”

Transfer Pricing: Received / Receivable																									TPPRA01
In terms of section 46 of the Tax Administration Act, specify the total aggregate value (where applicable) for the year of assessment where the transaction, operation, scheme, agreement or understanding directly or indirectly entered into, resulted in:																									
Received / Receivable	Total Aggregate Value - Local								Total Aggregate Value – Foreign: Connected								Total Aggregate Value – Foreign: Non-connected								
Sale of goods																									
Commission received / receivable																									
Interest received / receivable																									
Royalties or license fees received / receivable																									
Admin., mgmt., secretarial fees, rentals received / receivable																									
Guarantee fees received / receivable																									
Insurance premiums received / receivable																									
Other finance charges received / receivable																									
Research & Development fees received / receivable																									
Other income received / receivable																									

Note:

- Transfer pricing happens whenever two related companies – that is, a parent company and a subsidiary, or two subsidiaries controlled by a common parent – trade with each other, as when a US-based subsidiary of Company X, for example, buys something from a South African-based subsidiary of Company X. When the parties establish a price for the transaction, they are engaging in transfer pricing.
- If two unrelated companies trade with each other, a market price for the transaction will generally result. This is known as “arms-length” trading, because it is the product of genuine negotiation in a market. This arm’s length price is usually considered to be acceptable for tax purposes.
- For years of assessment commencing before 1 April 2012, the data to be provided in the Transfer pricing Received and Receivable section of the return is for direct transactions between persons (as described in section 31(2)(a) and (b) of the “old

section 31”). Reference to the words ‘operation, scheme, agreement or understanding directly or indirectly entered into’ should be ignored.

- All fields listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.
- The following currency fields (15 blocks) must be completed in Rands (No Cents) for each column:
 - Sale of goods
 - Commission received / receivable
 - Interest received / receivable
 - Royalties or license fees received / receivable
 - Admin, secretarial fees, rentals received / receivable
 - Insurance premiums received / receivable
 - Other finance charges received / receivable
 - Research & Development fees received / receivable
 - Other income received / receivable.
- The columns are subdivided into the following categories:
 - Total Aggregate Value – Local
 - Total Aggregate Value – Foreign: Connected
 - Total Aggregate Value – Foreign: Non-connected.

11.2.45 TRANSFER PRICING: PAID / PAYABLE

This section of the return will only display if the question “**Referring to legislation applicable to years of assessment commencing on or after 1 April 2012 (refer to guide for years of assessment prior to 1 April 2012), did the company enter into an affected transaction, as set out in s31(1) “affected transaction” (a), where the company: Incurred expenditure?”** in the “*Information to create this income tax return*” is “Yes”

Paid / Payable	Total Aggregate Value - Local	Total Aggregate Value - Foreign: Connected	Total Aggregate Value - Foreign: Non-connected
Purchase of goods			
Commission paid / payable			
Interest paid / payable			
Royalties or license fees paid / payable			
Admin, mg., secretarial fees, rentals paid / payable			
Guarantee fees paid / payable			
Insurance premiums paid / payable			
Other finance charges paid / payable			
Research & Development fees paid / payable			
Other expenses paid / payable			
Specify the financial assistance to fixed capital ratio			
Specify the debt in relation to EBITDA (earnings before interest, taxes, depreciation, and amortisation) ratio			
Specify the EBITDA (earnings before interest, taxes, depreciation, and amortisation) to finance cost ratio			

- All fields listed in this section are compulsory for completion. If a specific field is not applicable to the company, a zero (0) must be completed for the field.
- For years of assessment commencing before 1 April 2012, the data to be provided in the Transfer Pricing Paid and Payable section of the return is for direct transactions between persons (as described in section 31(2)(a) and (b) of the “old section 31”). However, interest paid/ payable includes indirect financial transactions such as back to back arrangements. Reference to the words ‘operation, scheme, agreement or understanding directly or indirectly entered into’ should be ignored. Please refer to section 31(3) of the “old section 31” read together with Practice Note 2 of 14 May 1996

for further guidance relating to the calculation of the financial assistance to fixed capital ratio for years of assessment commencing prior to 1 April 2012.

- The following currency fields (15 blocks) must be completed in Rands (No Cents) for each column:
 - Purchase of goods
 - Commission payable
 - Interest paid / payable
 - Royalties or license fees paid / payable
 - Admin, secretarial fees, rentals paid / payable
 - Guarantee fees paid / payable
 - Insurance premiums paid / payable
 - Other finance charges paid / payable
 - Research & Development fees paid / payable
 - Other expenses paid / payable.
- The columns are subdivided into the following categories:
 - Total Aggregate Value – Local
 - Total Aggregate Value – Foreign: Connected
 - Total Aggregate Value – Foreign: Non-connected.
- The following 3 fields are decimal fields that must be completed:
 - **Specify the financial assistance to fixed capital ratio**
 This question is only relevant if financial assistance was received by the company. If the year of assessment commenced prior to 1 April 2012, only complete if the company received financial assistance from a non-resident connected person or from an investor as defined in section 31(3), or else complete with a zero(0).
 This is the debt to equity ratio for years of assessment commencing on or after 1 April 2012 and should be calculated as follows:
 - The debt is the debt determined in terms of International Financial Reporting Standards (“IFRS”) during the year of assessment. Debt for purposes of arm’s length testing will therefore include, for example straightforward loans, advances and debts and items that are economically equivalent to debt such as finance leases, certain structured derivative financial instruments and components of hybrid instruments.
 - The equity amount to be used for the purposes of this calculation is all items that are treated as equity in terms of IFRS.
 - **Specify the debt in relation to EBITDA (earnings, before interest, taxes, depreciation, and amortisation) ratio:**
 - This field must **only be completed** if the value of the field “Interest paid / payable” exceeds R0 (zero).
 - This question is only relevant for years of assessment commencing on or after 1 April 2012. For years of assessment commencing prior to 1 April 2012, complete with a zero (0).
 - The debt to EBITDA (earnings before interest, taxes, depreciation and amortisation) ratio should be calculated as follows:
 - The ratio to be calculated should be read as follows: Debt to EBITDA and the reference to the words ‘interest paid’ should be ignored.
 - In determining the nature of debt the principles and treatment which would be adopted in financial statements prepared in terms of IFRS should be used. Debt for purposes of arm’s length testing will therefore include, for example, straightforward loans, advances and debts and items that are economically equivalent to debt such as

finance leases, certain structured derivative financial instruments and components of hybrid instruments.

- EBITDA should be determined in accordance with the principles and basis of recognition of its component parts as would be adopted in financial statements prepared in terms of IFRS.
- **Specify the EBITDA (earnings, before interest, taxes, depreciation, and amortisation) to finance cost ratio:** This field must **only be completed** if the value of the field “Interest paid / payable” exceeds R0 (zero).

This question is only relevant for years of assessment commencing on or after 1 April 2012. For years of assessment commencing prior to 1 April 2012, complete with a zero (0).

This ratio should be calculated as follows

- **EBITDA should be determined in accordance with the principles and basis of recognition of its component parts as would be adopted in financial statements prepared in terms of IFRS.**
- **The ‘interest paid’ must include interest, dividends and other charges paid and accrued on all items treated as debt in terms of IFRS. Items that are economically equivalent to debt such as finance leases, certain structured derivative financial instruments and components of hybrid instruments should also be taken into account.**
- **The “interest” component, for purposes of ‘interest paid’ should be computed on a gross basis (excluding interest received and equivalent items in terms of IFRS).**
- **This ratio should only be completed if the value of the field exceeds R0 (zero).**

11.2.46 TRANSFER PRICING SUPPORTING INFORMATION

This section of the return will only display if the question “**Did the company enter into an affected transaction as defined in s31 where the company: Received / earned foreign income?**” in the “*Information to create this income tax return*” is “Yes”

Transfer Pricing Supporting Information	TPSIA01
Does the company have transfer pricing documentation that supports the pricing policy applied to each transaction between the company and the foreign connected person during the year of assessment as being at arm's length?	Y ☐ N ☐
Did the company conduct any outbound transaction, operation, scheme, agreement for no consideration with a connected person that is tax resident outside South Africa?	Y ☐ N ☐
Did the company transact with a connected person that is tax resident in a tax haven / low tax jurisdiction?	Y ☐ N ☐
Did the company make a year-end adjustment to achieve a guaranteed profit margin?	Y ☐ N ☐

Select “Yes” or “No” for the following questions:

- **Does the company have transfer pricing documentation that supports the pricing policy applied to each transaction between the company and the foreign connected person during the year of assessment as being at arm's length?**
Please note that this question must be answered as “NO” if:
 - The transfer pricing documentation supporting the pricing policy applied does not cover each transaction with the company and the foreign connected person; or
 - Where such documentation is incomplete at the time of completing this return and is not available for immediate submission to the SARS if requested.
- **Did the company conduct any outbound transaction, operation, scheme, agreement for no consideration with a connected person that is tax resident outside South Africa?**

- **Did the company transact with a connected person that is tax resident in a tax haven / low tax jurisdiction?**
Please note that for the purposes of answering the question the term ‘tax haven/ low tax jurisdiction’ means: any country with an effective corporate tax rate that is less than 75% of South Africa’s statutory corporate tax rate.
- **Did the company make a year-end adjustment to achieve a guaranteed profit margin?**
Please note that this question must be answered “YES” if:
 - A year end adjustment was made to achieve a guaranteed profit margin either for the company itself OR for a foreign connected person.

11.2.47 INDUSTRY RELATED INFORMATION

Industry Related Information	
Mining and Quarrying	IRIMQ01
Note: Complete the applicable mining schedules (Schedules A and B) (refer to guide).	
Did the company conduct mining operations in more than one separate and distinct mine?	Y ☐ N ☐
Did the company acquire a mining operation as a going concern during the year of assessment?	Y ☐ N ☐
Did the company acquire / dispose of mining property and equipment as envisaged in s37?	Y ☐ N ☐
Specify the % of the company's total turnover that relates to the buy-in of minerals.	%
Did the company conduct prospecting outside South Africa?	Y ☐ N ☐
Did the company conduct mining / mining operations where the company is not the legal owner of the mining right?	Y ☐ N ☐
Construction IRICCA01	
Did the company have any creditor's retentions with sub-contractors of services?	Y ☐ N ☐
Did the company incur any losses on contract work in progress, which is required to be declared as into trading stock in terms of s22(3)?	Y ☐ N ☐
For all tax allowances claimed under s12B, s12C and s11(e), did the company bring the assets into use in the year that the allowance was claimed?	Y ☐ N ☐
Wholesale and Retail Trade (incl. Mail Order) IRI RT01	
Did the company enter into an agreement to disclose the debtor's book to a 3rd party?	Y ☐ N ☐

11.2.48 MINING AND QUARRYING

This section of the return will only display if the main industry code starts with 05, 06, 07, 08 or 09 the in the “Information to create this income tax return”.

- Select “Yes” or “No” for the following questions:
 - **Did the company conduct mining operations in more than one separate and distinct mine?**
 - **Did the company acquire a mining operation as a going concern during the year of assessment?**
 - **Did the company acquire / dispose of mining property and equipment as envisaged in s37?**
 - **Specify the % of the company’s total turnover that relates to the buy-in of minerals.**
 - **Did the company conduct prospecting outside South Africa?**
 - **Did the company conduct mining / mining operations where the company is not the legal owner of the mining right?**

- **Note:** A company that conducted mining activities must complete the GEN-001 mining schedule available on www.sars.gov.za. The completed GEN-001 must be attached as a relevant material to the ITR14.

11.2.49 CONSTRUCTION

This section of the return will only display if the main industry code starts with 41, 42 or 43 in the *“Information to create this income tax return”*.

- Select **“Yes”** or **“No”** for the following questions
 - **Did the company have any creditor’s retentions with sub-contractors of services?**
 - **Did the company incur any losses on contract work in progress which is required to be declared as into trading stock in terms of s22(3A)?**
 - **For all tax allowances claimed under s12B, s12C and 11(e), did the company bring the assets into use in the year that the allowance was claimed?**

11.2.50 WHOLESALE AND RETAIL TRADE

This section of the return will only display if the main industry code starts with 45, 46 or 47 in the *“Information to create this income tax return”*.

- Select **“Yes”** or **“No”** for the following question:
 - **Did the company enter into an agreement to disclose the debtor’s book to a 3rd party?**

11.2.51 FINANCIAL AND INSURANCE ACTIVITIES

This section of the return will only display if the main industry code starts with 64, 65 or 66 in the *“Information to create this income tax return”*.

- Select **“Yes”** or **“No”** for the following questions:
 - **If the company is a bank, has the company claimed a doubtful debt provision in excess of the amount agreed upon with SARS?**
 - **Has the company made a capital contribution or advanced a loan to any trust?**
 - **Where the taxpayer has claimed a deduction for any provision related to claims intimated but not reported or to outstanding claims, does such provision factor in an amount related to ex gratia payments?**
- **Note:** A company that conducted short term insurance activities must complete the ICS01 - short term insurance schedule available on www.sars.gov.za. The completed ICS01 and all relevant material requested in the ICS01 must be attached as relevant material to the ITR14.

12 ANNEXURE E – MAIN ASSET TYPE SOURCE CODE FOR CAPITAL GAINS TAX

Local assets are used only for the Local Capital Gains Tax Schedule and foreign assets are used only for the Foreign Capital Gains Tax Schedule.

Description of assets	Local assets	Foreign assets
GAIN: Immovable assets (e.g. land, buildings, mining and mineral rights)	6502	6530
LOSS: Immovable assets (e.g. land, buildings, mining and mineral rights)	6503	6531
GAIN: Primary residence (e.g. house, townhouse, flat, boathouse, caravan)	6504	6532
LOSS: Primary residence (e.g. house, townhouse, flat, boathouse, caravan)	6505	6533
GAIN: Financial instruments – Listed, including assets of which prices are regularly published in newspaper (e.g. shares, a participatory interest in a portfolio of a collective investment scheme, gold and platinum coins of which value is mainly derived from their metal content, bonds, futures, options)	6506	6534
LOSS: Financial instruments – Listed, including assets of which prices are regularly published in newspaper (e.g. shares, a participatory interest in a portfolio of a collective investment scheme, gold and platinum coins of which value is mainly derived from their metal content, bonds, futures, options)	6507	6535
GAIN: Financial instruments – Unlisted (e.g. shares, debentures, promissory notes, bonds, options, forward contracts, swaps, debt)	6508	6536
LOSS: Financial instruments – Unlisted (e.g. shares, debentures, promissory notes, bonds, options, forward contracts, swaps, debt)	6509	6537
GAIN: Intangible assets (e.g. goodwill, trademarks, copyrights, franchises, licences)	6510	6538
LOSS: Intangible assets (e.g. goodwill, trademarks, copyrights, franchises, licences)	6511	6539
GAIN: Plant and machinery	6514	6540
LOSS: Plant and machinery	6515	6541
GAIN: Other movable property used mainly for trade purposes (e.g. aircraft, boats, motor vehicles, office furniture and equipment)	6516	6542
LOSS: Other movable property used mainly for trade purposes (e.g. aircraft, boats, motor vehicles, office furniture and equipment)	6517	6543
GAIN: Other movable property not used mainly for trade purposes other than personal-use assets (e.g. Boats > 10 metres and personal use aircraft > 450 kg, fiduciary, usufructuary or similar interests, leases of immovable property, time-sharing interests)	6518	6544
LOSS: Other movable property not used mainly for trade purposes other than personal-use assets (e.g. Boats > 10 metres and personal use aircraft > 450 kg, fiduciary, usufructuary or similar interests, leases of immovable property, time-sharing interests)	6519	6545

13 ANNEXURE F – LIST OF ALL VALID COUNTRY NAMES

Code	Country of Citizenship	Code	Country of Citizenship	Code	Country of Citizenship
ABW	Aruba	GGY	Guernsey	PRI	Puerto Rico
AFG	Afghanistan	ATF	French Southern Territories - TF	NOR	Norway
AGO	Angola	GIB	Gibraltar	PNG	Papua New Guinea
AIA	Anguilla	GRC	Greece	PRY	Paraguay
ALA	Aland Islands	GAB	Gabon	PSE	Occupied Palestinian Territory
ALB	Albania	GMB	Gambia	OMN	Oman
AND	Andorra	GHA	Ghana	PAN	Panama
ARG	Argentina	GUM	Guam	POL	Poland
ARM	Armenia	GTM	Guatemala	PRT	Portugal
ARS	Arabia Saudi	GLP	Guadeloupe	PCN	Pitcairn
ASM	American Samoa	DEU	Germany	PLW	Palau
ATA	Antarctica	GRL	Greenland	PER	Peru
ATG	Antigua and Barbuda	GRD	Grenada	PHL	Philippines
AUS	Australia	GIN	Guinea	QAT	Qatar
AUT	Austria	GNB	Guinea-Bissau	KOR	Republic of Korea
AZE	Azerbaijan	GUI	Guiana French	REU	Réunion
BDI	Burundi	KAZ	Kazakhstan	SGP	Singapore
BEL	Belgium	HUN	Hungary	SHN	Saint Helena
BEN	Benin	IND	India	LCA	Saint Lucia
BFA	Burkina Faso	JOR	Jordan	SLE	Sierra Leone
BGD	Bangladesh	HMD	Heard and McDonald Islands	RWA	Rwanda
BGR	Bulgaria	JEY	Jersey	SYC	Seychelles
BHR	Bahrain	HTI	Haiti	RUS	Russian Federation
BHS	Bahamas	GUY	Guyana	ROU	Romania
BIH	Bosnia and Herzegovina	IRL	Ireland	VCT	Saint Vincent and the Grenadines
BLR	Belarus	HND	Honduras	BLM	Saint-Barthélemy
BLZ	Belize	ISL	Iceland	KNA	Saint Kitts and Nevis
BMU	Bermuda	IDN	Indonesia	MAF	Saint-Martin (French part)
BOL	Bolivia	IRQ	Iraq		
BRA	Brazil	CIV	Ivory Coast (see Cote d'Ivoire)	STP	Sao Tome and Principe
BRB	Barbados	VAT	Holy See	SAH	Sahara
BRN	Brunei Darussalam	JPN	Japan	SRB	Serbia
BTN	Bhutan	IRN	Iran, Islamic Republic of	SPM	Saint Pierre and Miquelon
BVT	Bouvet Island	ISR	Israel	SMR	San Marino
BWA	Botswana	IMN	Isle of Man	WSM	Samoa
CAF	Central African Republic	LVA	Latvia	SGS	S. Georgia and S. Sandwich Is.
CAN	Canada	KWT	Kuwait	SLB	Solomon Islands
CCK	Cocos (Keeling) Island	LIE	Liechtenstein	SJM	Svalbard and Jan Mayen Islands
CHL	Chile	LSO	Lesotho	LKA	Sri Lanka
CHN	China	LBR	Liberia	SDN	Sudan
CIV	Côte d'Ivoire	MLT	Malta	MKD	The former Yugoslav Republic of Macedonia
CMR	Cameroon	KIR	Kiribati	SVN	Slovenia
COD	Democratic Republic of the Congo	FSM	Micronesia, Federated States of	TUR	Turkey
COG	Congo	MYS	Malaysia	TAI	Taiwan

Code	Country of Citizenship	Code	Country of Citizenship	Code	Country of Citizenship
COK	Cook Islands	MDV	Maldives	TJK	Tajikistan
COL	Colombia	MDG	Madagascar	CHE	Switzerland
COM	Comoros	MWI	Malawi	SYR	Syrian Arab Republic
CPV	Cape Verde	KGZ	Kyrgyzstan	SOM	Somalia
CRI	Costa Rica	MLI	Mali	THA	Thailand
CUB	Cuba	MTQ	Martinique	TGO	Togo
CXR	Christmas Island	LBY	Libyan Arab Jamahiriya	SUR	Suriname
CYM	Cayman Islands	LAO	Lao People's Democratic Republic	ZAF	South Africa
CYP	Cyprus	MRT	Mauritania	TKL	Tokelau
CZE	Czech Republic	MUS	Mauritius	TON	Tonga
CZF	Czechoslovakia (Former)	MYT	Mayotte	TTO	Trinidad and Tobago
DJI	Djibouti	MCO	Monaco	TCA	Turks and Caicos Islands
DMA	Dominica	MNG	Mongolia	TUV	Tuvalu
DNK	Denmark	MDA	Moldova	TKM	Turkmenistan
DOM	Dominican Republic	MNE	Montenegro	UGA	Uganda
DZA	Algeria	GEO	Georgia	PAK	Pakistan
EAT	East Timor	MSR	Montserrat	UKR	Ukraine
ECU	Ecuador	MAR	Morocco	ARE	United Arab Emirates
EGY	Egypt	MOZ	Mozambique	GBR	United Kingdom of Great Britain and Northern Ireland
ERI	Eritrea	NRU	Nauru	VIR	United States Virgin Islands
EST	Estonia	NPL	Nepal	USM	US Minor Outlying Islands
ETH	Ethiopia	NLD	Netherlands	URY	Uruguay
EUU	European Union	ANT	Netherlands Antilles	UZB	Uzbekistan
FIN	Finland	NER	Niger	WLF	Wallis and Futuna Islands
FJI	Fiji	NIC	Nicaragua	VNM	Viet Nam
FLK	Falkland Islands (Malvinas)	NZL	New Zealand	VEN	Venezuela (Bolivarian Republic of)
FRA	France	NGA	Nigeria	ESH	Western Sahara
FRO	Faeroe Islands	NCL	New Caledonia	VUT	Vanuatu
GNQ	Equatorial Guinea	NAM	Namibia	USA	United States of America
GUF	French Guiana	NIU	Niue	YEM	Yemen
HKG	Hong Kong Special Administrative Region of China	LTU	Lithuania	SWZ	Swaziland
HRV	Croatia	MHL	Marshall Islands	TLS	Timor-Leste
IOT	British Indian Ocean Territory	ITA	Italy	SAU	Saudi Arabia
KHM	Cambodia	KEN	Kenya	SVK	Slovakia
MAC	Macao Special Administrative Region of China	LUX	Luxembourg	SWE	Sweden
PRK	Democratic People's Republic of Korea	MEX	Mexico	TUN	Tunisia
PYF	French Polynesia	NFK	Norfolk Island	ZMB	Zambia
SLV	El Salvador	MMR	Myanmar	TZA	United Republic of Tanzania
TCO	Chad	LBN	Lebanon	ESP	Spain
VGB	British Virgin Islands	JAM	Jamaica	SEN	Senegal
ZNC	Any country not on this list	MNP	Northern Mariana Islands	ZWE	Zimbabwe

DISCLAIMER

The information contained in this guide is intended as guidance only and is not considered to be a legal reference, nor is it a binding ruling. The information does not take the place of legislation and readers who are in doubt regarding any aspect of the information displayed in the guide should refer to the relevant legislation, or seek a formal opinion from a suitably qualified individual.

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